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OECD ECONOMIC SURVEYS

1998

SPECIAL FEATURES
Banking, financial markets
Labour market

CZECH REPUBLIC

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1997-1998

CZECH REPUBLIC

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF THE CZECH REPUBLIC

THE LAND

Area (sq. km)	78 864
Arable land (sq. km)	42 798

Population of major cities (thousands)	
Prague	1 209.9
Brno	388.9
Ostrava	324.8
Plzen	171.2

THE PEOPLE

Population (thousands, 1997)	10 299
Number of inhabitants per sq. km	130.6
Annual population growth, 1991-1996 (per cent)	–0.02
Employment (thousands, 1997)	4 889

Employment by sector (per cent of total, 1997)	
Agriculture	5.8
Industry	41.6
Services	52.6

THE PARLIAMENT

Parliament, as of April 1998 (number of seats)

Czech Social Democratic Party	58
Civil Democratic Party	38
Freedom Union	30
Communist Party	22

Christian Democratic Union	19
Republican Party	18
Civic Democratic Alliance	12
Independent	3
Total	200

THE PUBLIC SECTOR

As a percentage of GDP, 1996

Current receipts	41.5
Direct taxes	9.5
Indirect taxes	13.7
Social security contributions	14.9

Total expenditure	42.7
Government consumption	10.1
Subsidies	7.0
Social security benefits	17.7

THE PRODUCTION

GDP (million US$, 1997)	47 621
GDP per capita (US$, 1997)	4 624
Gross fixed investment (% of GDP, 1997)	30.7

Structure of production (% of GDP, 1995)	
Agriculture	5.2
Industry	41.0
of which: manufacturing	26.7
Services	53.8

THE FOREIGN TRADE

Exports of goods and services (1997)	
(billion US$)	27.4
(per cent of GDP)	57.6
Main merchandise exports (% of total, 1997)	
Machinery and transport equipment	37.9
Manufactures	27.0
Chemicals	8.8
Other	26.3

Imports of goods and services (1997)	
(billion US$)	30.0
(per cent of GDP)	63.0
Main merchandise imports (% of total, 1997)	
Machinery and transport equipment	38.1
Manufactures	19.5
Chemicals	12.3
Petroleum products	5.0
Other	25.1

THE CURRENCY

Monetary unit: Czech koruna

Currency units per US$	
Year 1997	34.6
March 1998	33.7

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of the Czech Republic by the Economic and Development Review Committee on 16 April 1998.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 6 May 1998.

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The previous Survey of Czech Republic was issued in July 1996.

Assessment and recommendations

A gradual erosion of competitiveness associated with lack of business restructuring...

As described in previous OECD surveys, the 1990 decision to devalue the currency by as much as 50 per cent, followed by very rapid economic growth between 1993 and 1996, permitted the Czech Republic to negotiate the first years of transition with low unemployment. Unfortunately, few firms took advantage of this opportunity to restructure, as the prevailing economic institutions did not provide them with the incentives to do so. As a result, many enterprises misinterpreted their low costs as an indication that no fundamental changes were required. Such behaviour translated into poor growth of both capital and labour productivity, so that, with real wages growing very rapidly and domestic inflation stuck at about 10 per cent, the competitive cushion provided by the devaluation was rapidly eroded.

... led to the spring 1997 exchange rate crisis

As a result, export performance gradually deteriorated, while domestic demand outstripped production by a wide margin, pushing the trade and current account deficits to 11 and 9 per cent of GDP, respectively, by the first quarter of 1997. These factors led to substantial downward pressure on the exchange rate, which were later reinforced by the financial disturbances in Asia. Despite a first stabilisation package and real interest rates in excess of 20 per cent, the authorities were forced to abandon the fixed-exchange regime on 27 May 1997 in favour of a managed float.

Since then, economic activity has slowed significantly...

The ensuing depreciation of the koruna, of about 10 per cent with respect to its previous parity basket, helped to restore calm in financial markets, but both the psychological impact of the currency crisis and the stabilisation measures themselves caused domestic demand to slow further. Investment activity, whose rate of growth had begun to decline in mid-1996 following the sharp upswing in interest rates, fell in reaction to the turmoil and the measures taken in defence of the koruna. Rising unemployment, which had reached 5.6 per cent of the labour force by early 1998, contributed to a decline in households' confidence and a marked slowdown in private consumption. The summer floods also played a role in the weakening of both aggregate demand and supply. As a result, for 1997 as a whole, real GDP increased by only 1 per cent. Inflation, which had been declining in the first half of 1997, reflecting decelerating food prices, picked up in the second half as a result of the exchange-rate depreciation and large increases in regulated prices. For the whole year, it averaged 8.5 per cent, about the same rate as in 1996, although on a twelve-month basis it had reached 13.4 per cent by March 1998. Over the same period, ''net inflation'', which corrects for the direct impact of the increases in indirect taxes and administered prices, was lower, but also rose, reaching 7.9 per cent at the beginning of 1998.

... thus reducing the extent of external imbalance

The slowdown in economic activity, growing European export markets, and the continued depreciation of the currency, which has fallen a further 9 per cent since June 1997, helped reverse previous trends in the external balance. Export performance improved, recapturing some previously lost international market share, while imports grew less quickly than in earlier years, rising by an estimated 6 per cent for 1997 as a whole. By the fourth quarter, the trade and current account deficits had fallen considera-

bly, but were still large at 8.1 and 4.4 per cent of GDP, respectively.

Overall performance is expected to improve somewhat...

So far, these developments have allowed the economy to avoid a serious recession and major disruptions such as those currently observed in Asia. Over the medium-term, domestic demand growth is expected to remain moderate, supporting further external adjustment. Assuming no further decline in the exchange rate, output is projected by the OECD to increase by only 1 per cent this year, with net exports contributing positively to overall growth as the previous currency depreciation has temporarily restored some of the lost competitiveness of Czech firms. Private-sector wage moderation and a government-sector wage freeze in 1998 should keep consumer demand in check, while private investment is likely to be sedate, in part because cost structures remain unfavourable and foreign investors are still wary. The pace of export expansion is projected to slow and that of imports to increase from the second half of 1998 as the effects of the depreciation wear off and market growth decelerates, moderating the improvement in the external accounts.

... but risks of renewed balance of payments difficulties persist...

There are two upside risks to this scenario, however. One relates to the exchange rate: by boosting exports and reducing imports, any additional currency depreciation would lead, for a time, to higher GDP growth than projected here. However, this would imply even higher inflation and, by temporarily improving corporate profitability, could reduce the incentives to restructure, thereby eroding the competitiveness gains associated with the depreciation. Another risk is possible excessive wage growth leading to higher domestic demand. Indeed, private consumption may not decelerate to the extent foreseen if the easing in the labour market situation fails to yield sufficient wage moderation.

In either case, there could ultimately be a stagnation or worsening of the trade and current account deficits, leaving the economy very sensitive to external shocks.

... unless the fiscal equilibrium is restored...

In order to increase domestic savings and, thereby, support a more rapid improvement in the external position, the trend towards government deficits should be reversed. While some of the expenditures that contributed to the 2.2 per cent budget deficit recorded in 1997 could not have been foreseen, the principal cause of the overrun was overly optimistic assumptions for output growth and inflation. Similarly, the 1998 budget appears to have also been based on optimistic expectations, so that the projected deficit of 1 per cent of GDP could well be missed again. Already additional expenditures, equal to 0.9 per cent of GDP, have been announced. This means that, if the above projection for output and inflation proves correct, spending would be even higher and revenues lower, which may generate a deficit as high as 2 or 2.5 per cent of GDP. Additional fiscal consolidation, comprising both spending cuts and tax measures, would therefore appear to be necessary.

... and monetary conditions remain tight

At the same time, it is critical that monetary policy remain restrictive in order to keep domestic demand and inflation in check. Since mid-1996 monetary conditions have tightened, with real interest rates facing producers currently over 11 per cent, while the growth of money supply has slowed sharply. However, the conduct of monetary policy has been complicated by the loss of its nominal anchor (the fixed exchange rate), which was not replaced until 22 December 1997 when the Czech National Bank announced its intention to target *net inflation* directly. This decision is welcome. The 6.0 ± 0.5 per cent target retained for the end of 1998 appears achievable given that net inflation was 7.9 per cent in March. Although the large gap between

actual and net inflation (5.5 percentage points in February 1998) may result in the Bank's longer-term inflation objective (4.5 ± 1 per cent by the end of 2000) being seen by workers and firms as irrelevant when forming their price expectations. This may raise difficulties in reaching the target, all the more so if people perceive much higher actual price increases as an indication that the target was missed. The central bank will have to ensure that its communication strategy overcomes this problem. More timely information about inflation developments and greater transparency in the conduct of monetary policy would help in this regard.

Sustained growth in the future will depend on productivity enhancements

In order to achieve low inflation and a rapid increase in living standards over the longer term, productivity growth will have to improve substantially. Although some sectors of the Czech economy increased output rapidly (notably manufacturing), in recent years performance in other transition countries has been much stronger and Czech exporters have been losing international market share. Many related factors contributed to these developments. The widely dispersed structure of ownership that emerged from voucher privatisation and poor capital-market regulation resulted in an ineffective system of corporate governance, while an unworkable bankruptcy law and a banking system that failed to call in bad loans allowed loss-making enterprises to continue operations without restructuring. Meanwhile, new capital to support the expansion of profitable firms was in short supply, having been scared off by apparently fraudulent behaviour in Czech capital markets. To remedy these problems, action is required on three fronts: ownership restructuring, bank privatisation and financial reform.

In this regard, further ownership restructuring appears crucial...

The inefficiencies in corporate governance and the dispersed pattern of firms' ownership will be particularly difficult to overcome. At the time of their creation in 1992, Czech Investment Privatisation Funds (IPFs) were restricted by law to holding no more than a 20 per cent stake in any one company – a limit since reduced to 11 per cent. As a result, they have been unable (and unwilling) to influence directly the performance of enterprises which, in many cases, have engaged in dubious activities to the benefit of managers or controlling shareholders and to the detriment of the majority of small investors. One solution to this problem would be to pass legislation that would allow IPFs to transform themselves more easily into holding companies, who could take majority positions in firms. This would require, however, that adequate safeguards were put in place to prevent such a transformation from being used to appropriate the value of small stake-holders' shares – as has happened in the past.

... as well as bank privatisation...

Firm-level restructuring cannot, however, be expected to occur on a large scale as long as banks are not able to or do not insist on repayment of loans. Recent changes to the bankruptcy law should help here, while the government's programme to complete the privatisation of the banking-sector by selling its remaining stakes to strategic investors is of crucial importance. When finished, this process will go a long way to recapitalising the banks and hardening the budget constraint faced by debtor firms, thereby increasing their incentives to adopt productivity enhancing reforms. Not only will strong strategic investors bring the banks welcome expertise and know-how, they should also allow them to clear up their balance sheets by writing off the large stock of non-performing loans that they currently carry. By simplifying the ownership structure of the banks, the privatisation should help them rationalise their lending

practices to their own and the economy's benefit. So far, progress in this direction has been disappointingly slow. The sale of *Investicni a Postovni banka*, the third largest commercial bank, took much more time than anticipated, while that of the other three major banks is still in the earliest planning stages. The more quickly these privatisations are successfully completed, the better.

... a fuller separation of investment and commercial banking activities...

Recent government initiatives to separate the investment and commercial activities of banks (so-called ''Chinese walls'' legislation) is another important component in the overall strategy to reform the banking sector. Legislative changes, which place limits on banks' participation in non-financial enterprises, should help reduce conflicts of interest (in the past, they have cross-subsidised non-performing loans, by ''forcing'' companies in which they had equity positions to take loans at above market rates). Although these changes make such behaviour more difficult, they do not go far enough. Many banks own companies that manage the assets of one or more IPF and, therefore, it remains possible for them to exercise *de facto* control over enterprises in which their actual ownership position is small. In order to prevent banks from exploiting such opportunities, the law should be amended to forbid them to operate IPF management companies.

... and greater transparency in financial transactions

Following the currency crisis, the government of the Czech Republic acknowledged that a lack of transparency and inadequate protection of minority shareholder rights had contributed to the poor productivity growth and the ensuing loss of competitiveness. At that time, it pledged itself to implement a number of reforms, including the creation of a Securities Exchange Commission (SEC) whose enabling legislation was passed in January 1998. Although an important first step, the SEC, as constituted, is not a fully inde-

pendent body and has no rule-making authority. As a result, its success will depend upon the speed with which the Ministry of Finance puts in place the kind of disclosure rules and prohibitions on secret and insider trading that are common in other countries. Furthermore, it will be essential that the politically-appointed SEC be allowed to exercise independently its powers to impose penalties for breach of these rules and to investigate and intervene in cases where there is a suspicion of wrongdoing. Until these additional measures are implemented and the credibility of the SEC is established, it is unlikely that international (and domestic) confidence in Czech markets will be restored.

With labour market conditions deteriorating...

Beginning in 1996, the weak competitiveness of Czech firms began to be felt in rising unemployment, which reached 5.6 per cent of the labour force in early 1998, and even as much as 8.9 per cent in regions such as North Bohemia. Despite this deterioration, the Czech Republic still has one of the lowest rates of unemployment in the OECD area. The low minimum wage and the relatively wide dispersion of salaries may help to explain why unemployment has not become concentrated among the young and the unskilled to the same extent as in other OECD countries, although the low-skilled are over represented among job losers. Employment rates are comparatively high for all age groups, except older workers, reflecting both early-retirement programmes and a low statutory pension age. While labour market turnover is high compared with other transition countries, it is low to average in the context of the OECD, and long-term unemployment is rising.

... high levels of structural unemployment need to be avoided...

High turnover is associated with low rates of structural unemployment and, in past years, Czech labour market policy appropriately focused on the rapid reinsertion of the unemployed, principally through employment subsidies and stringent enforcement of job-search conditions for able-

bodied social-assistance recipients. These kinds of programmes tend, however, to be very resource intensive and difficult to maintain in the face of rising unemployment. While they should continue to be pursued, to the extent possible, attention needs to turn to harnessing market forces to aid in keeping structural unemployment low. In this regard, experience in a number of OECD countries suggests that some of the labour market policies and institutions in the Czech Republic may contribute to the kind of inflexibility that allows a rise in cyclical unemployment to be transformed into a permanent increase in structural unemployment.

... requiring reform of employment protection legislation and...

In analysing the factors behind this potential problem, the last chapter of this survey identifies restrictive employment protection practices as among the factors that lessen flexibility on the job market. Recently, the government announced its intention to adopt a new labour code substantially liberalising employment regulations. In the near term the authorities intend to reduce the notice periods that firms are required to provide employees prior to layoff and, in order to meet European Union (EU) directives, to introduce distinct rules governing collective dismissals, which until now have been regulated in the same way as for individuals. The first of these two initiatives is a clear step in the right direction, as notice requirements imposed on firms seeking to restructure can slow hiring and reduce employment levels in the long run. The second proposal is, as yet, less well defined, as the EU directives are sufficiently general as to be compatible with a wide range of practice. In drafting the new legislation, the government should keep in mind the *OECD Jobs Study* recommendation that, while employment protection rules should strive to prevent arbitrary dismissal, arrangements providing job security are

most appropriately negotiated at a decentralised level rather than imposed from the top.

... social assistance

Another important determinant of overall flexibility and the tendency for high rates of structural unemployment to emerge is the extent to which social assistance and unemployment insurance benefits generate serious work disincentives. The Czech authorities have been particularly vigilant as regards unemployment insurance, and, within the OECD, the Czech system is among those that introduce the fewest labour market distortions. The social assistance system, however, does appear to produce substantial work disincentives and, as unemployment rises, more and more people will face them. Unemployment traps are particularly serious for persons with large families for whom effective marginal tax rates are 100 per cent over a wide range of incomes. Not surprisingly, the incidence of long-term unemployment is relatively high in this group. In this respect, the government should give careful consideration to revising the manner in which the social minimum (the minimum living standard) is calculated, as its current proximity to the average wage is the principal source of these distortions. The problem is particularly acute as concerns the increments paid for additional household members, which are much higher, in percentage terms, than in other countries.

To sum up

In sum, following the exchange rate crisis the Czech economy slowed to a below potential rate of growth and external accounts are improving slowly. Continued progress requires that growth of domestic demand and real wages remain moderate, which will necessitate a return to fiscal balance and maintaining or even further tightening monetary conditions. Such a macropolicy configuration would increase the chances that the recently announced central

bank inflation target could be met and that confidence in the currency is strengthened. In the longer run, a more rapid rate of growth will only be sustainable if bank-sector privatisation proceeds and reforms in financial markets, including further liberalisation of international capital flows, succeed in restoring investor confidence and improving corporate governance. In combination with these policies, a moderation of the more onerous aspects of employment protection legislation and the elimination of the worst disincentives emanating from the social security system would help ensure that labour market flexibility is preserved and that structural unemployment remains low. Such changes would help smooth the path towards accession to the European Union.

I. Recent trends and prospects

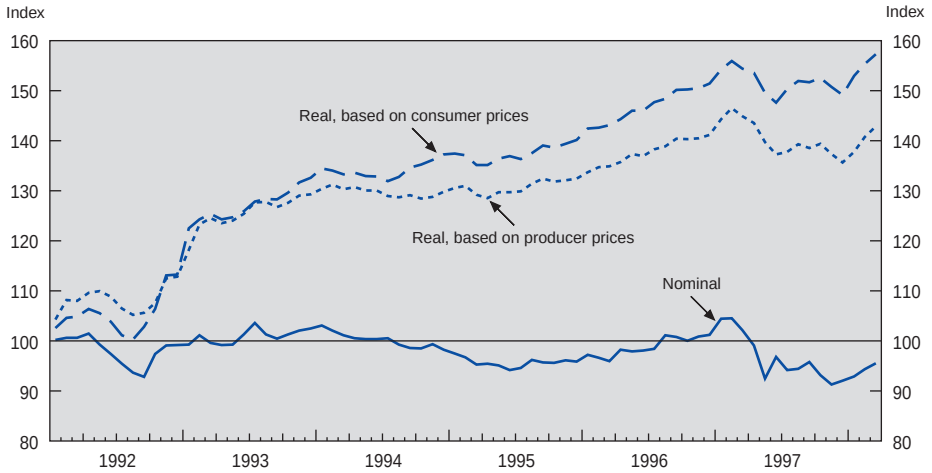
Recent economic developments in the Czech Republic have been dominated by the May 1997 exchange-rate crisis, which saw the koruna depreciate by 10 per cent with respect to its parity basket[1] (15 per cent over the twelve months ending December 1997) in the context of growing internal and external imbalances. Domestic demand, which had been growing by between 10 and 6 per cent per year during the period 1994-96, fell by 1 per cent in 1997, resulting in a moderate 1 per cent rise in GDP. This, together with the currency depreciation, contributed to a strong recovery in net exports and a reduction in the current account deficit from $4.3 billion in 1996 to an estimated $3.2 billion in 1997. Inflation, which was falling during the first six months of 1997, reaccelerated beginning in July as a result of increases in regulated prices and higher import prices, while the unemployment rate rose to 5 per cent. Further improvement in the current account is expected this year, if, as projected, domestic demand remains restrained and net exports continue to improve. The paragraphs below discuss these developments in more detail, following a brief review of the factors having led to the crisis.

The spring 1997 exchange rate crisis

Although undeniably a setback, the events of 1997 should not detract from the enormous progress made since the beginning of the 1990s. As compared with other former communist countries, the Czech Republic managed to absorb a sharp and sudden fall in output without provoking massive unemployment or rampant inflation, while at the same time conducting an extensive privatisation programme. In part, this was made possible by the authorities' 1990 decision to devalue the koruna by a full 50 per cent. The country's diversified economic structure and its highly-skilled labour force also played a role.

Figure 1. **REAL AND NOMINAL EXCHANGE RATES**

Against the Deutschemark, 1991 = 100



Source: Czech National Bank; OECD, *Main Economic Indicators.*

Table 1. **Demand and output**

Volume, annual percentage change

	1994	1995	1996	1997
Private consumption	5.3	7.0	7.1	1.7
Government consumption	–2.3	–2.0	4.1	–2.1
Gross fixed investment	17.3	21.0	8.7	–4.9
Final domestic demand	**6.7**	**9.1**	**7.0**	**–1.2**
Stockbuilding[1]	0.2	0.8	1.6	0.9
Total domestic demand	**6.8**	**9.8**	**8.5**	**–0.4**
Exports of goods and services	0.2	16.1	5.4	10.2
Imports of goods and services	7.8	22.0	12.9	6.7
Foreign balance[1]	**–4.0**	**–3.6**	**–5.0**	**1.4**
GDP at market prices	**2.7**	**6.4**	**3.9**	**1.0**
GDP price deflator	11.0	10.1	8.7	6.6
Consumer price index	10.0	9.1	8.8	8.5
Memorandum items:				
Unemployment rate (percentage of labour force)	4.0	3.7	3.9	4.7
Export of goods (billion US$, level)	16.0	21.5	21.7	22.5
Import of goods (billion US$, level)	17.3	25.1	27.6	27.0

1. Contribution to GDP growth.

Source: Czech Statistical Office; Czech National Bank; *OECD, Main Economic Indicators.*

Unfortunately, the competitive cushion provided by the devaluation was rapidly eroded as real wages grew much faster than productivity, thereby contributing to an inflation rate that was substantially higher than in the rest of the OECD area (Figure 1). Rising costs, both absolutely and in comparison with major competitors in international markets, contributed to a gradual slowing in export growth (goods' exports actually stopped growing by mid-1996) and a continuous loss in international market shares (Figure 2). Meanwhile, imports – driven by buoyant consumption and investment demand (Table 1) – expanded rapidly. As a result, the current account and trade balances, which had been in

Box 1. **The April 1997 stabilisation package**

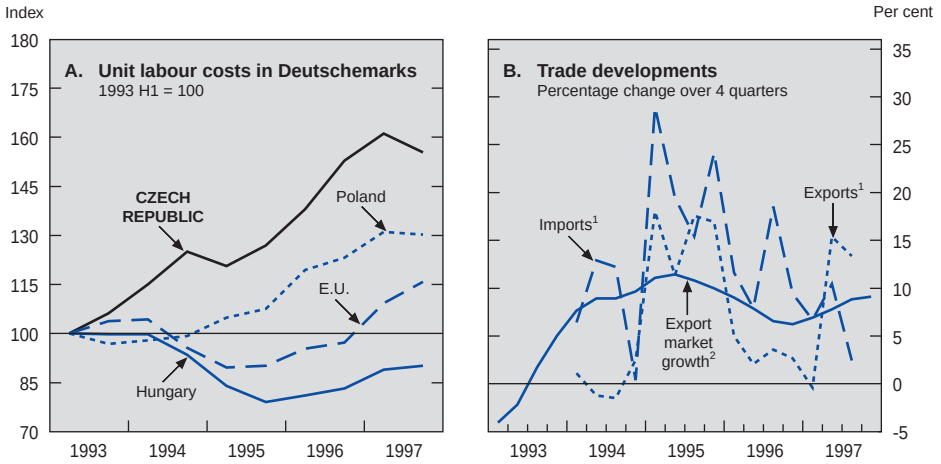
Short-term measures:

- A Kc 25.5 billion reduction in government expenditure, corresponding to a 5 per cent decline in budgeted current spending, based on:
  - a freeze in the government sector real-wage bill achieved principally by the abolition of the ''14th monthly wage'' at the end of the year;
  - a 25 per cent reduction in public-sector capital expenditures, except in the defence and telecommunications sectors, where the cut was a more modest 8 per cent; and
  - unspecified savings in non-investment subsidies.
- The introduction of an import-deposit scheme, whereby importing firms were required to place a non-interest bearing deposit equal to 20 per cent of the value of selected imports for a period of six months.

Long-term measures:

- a promise to accelerate the conclusion of the privatisation of strategic enterprises, including banks;
- a pledge to increase the transparency and regulation of capital markets by creating a Security and Exchange Commission and by enhancing rules protecting minority shareholders. New articles concerning ''financial crimes'' were to be drafted and included in the Criminal Code;
- a recommendation to give preferential treatment to domestic suppliers in public procurement; and
- an increase in the resources allocated to export promotion.

Figure 2. **TRADE PERFORMANCE**

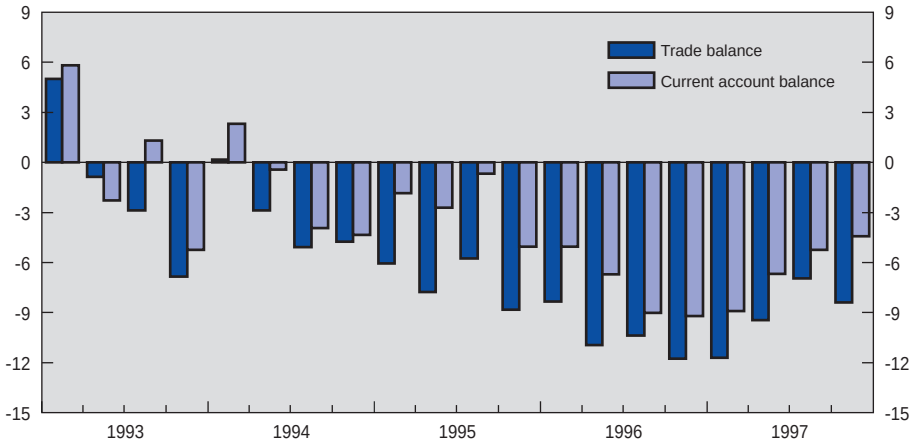


1. Goods and services; constant 1994 prices.
2. Weighted average of import volumes in the exporting markets of the Czech Republic.

Source: Czech Statistical Office; OECD.

Figure 3. **TRADE AND CURRENT ACCOUNT BALANCES**

Per cent of GDP



Source: OECD, *Main Economic Indicators.*

surplus, began deteriorating towards the end of 1994, reaching deficits of 7.6 and 10 per cent respectively by the end of 1996 (Figure 3).

The attempts by the monetary authorities to slow domestic demand and reduce inflation were constrained by the prevailing fixed-exchange rate regime. Indeed, prior to mid-1996 and the earlier widening of the fluctuation band of the exchange rate, the Central Bank was unable to raise interest rates due to significant inflows of short-term capital, which proved difficult to sterilise. At the same time, although general government deficits were small, fiscal policy was not restrictive enough to absorb the excess demand. When output slowed in 1997, the fiscal position began to deteriorate which, in the context of the increased external imbalances, prompted the government to introduce a policy package comprising a 2.5 per cent of GDP cut in expenditures and promises to address a number of outstanding short and medium-term issues (Box 1).

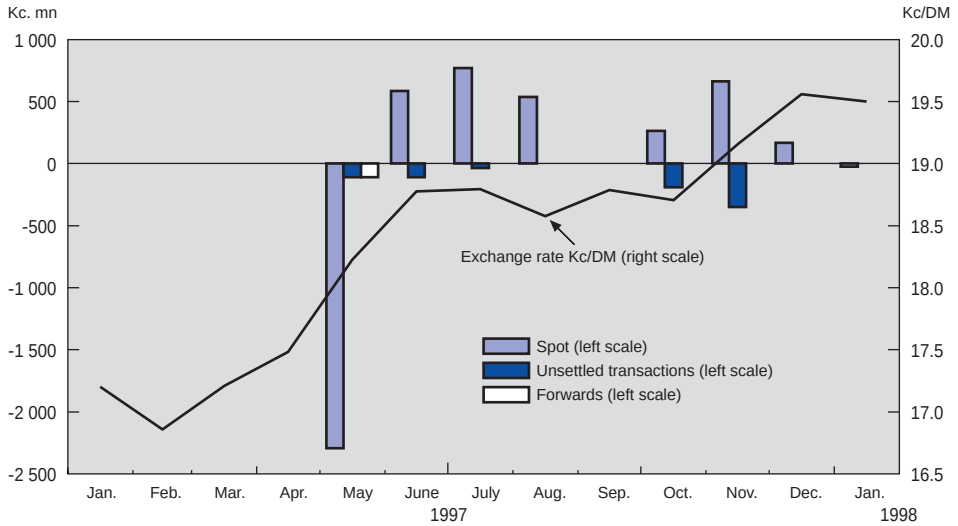
Immediately after the introduction of these measures, the pressure on the currency eased, before intensifying once more several weeks later following the exchange-rate turmoil in Asia. Despite massive official intervention (Figure 4), exceptional administrative measures[2] and sharp increases in interest rates, the Czech National Bank (CNB) was unable to maintain its fixed exchange-rate

Box 2. **The May 1997 stabilisation package**

The additional measures announced in May included further spending cuts for 1997, but focused on medium-term structural issues and some spending restraint in 1998. The document included an extraordinary acknowledgement of the structural roots of the crisis and the need for reform to progress rapidly. Concrete measures called for included:

- A freeze in the nominal wage bill of the state sector in 1998, coupled with an appeal for wage moderation in the private sector and among firms with a significant state ownership participation.
- Reductions in social and investment spending, with the aim of achieving a surplus in the state budget.
- A reduction of budget-financed imports.
- An acceleration of the implementation of the structural measures included in the April package.

Figure 4. **OFFICIAL INTERVENTION AND THE EXCHANGE RATE**



Source: Czech National Bank.

regime and, ultimately, on 26 May, abandoned it for a managed float of the currency. The koruna depreciated almost immediately, reaching a level of Kc 18.8 to the Deutschemark and 32.4 to the dollar as compared with 17.2 and 27.5 in January 1997, representing a *de facto* devaluation of 10 per cent with respect to the original parity basket. The government responded with a second package, reinforcing and accelerating the measures announced in the first (Box 2). Some further pressure on the currency was felt for a short while but financial markets appeared satisfied with this new level and the CNB's pronouncement that it considered a ratio of between Kc 17 and Kc 19.5 per Deutschemark as ''appropriate''. A larger depreciation and the extended turmoil observed in Asia was avoided because of the speed with which the CNB abandoned the fixed exchange rate regime and because of the much smaller foreign debt of the Czech economy (Box 3).

Box 3. **The Czech and Asian crises: a comparison**

While sharing several common features, the May currency crisis in the Czech Republic and those in Asia are fundamentally different in many respects.

Similarities

- Large current account deficits.
- Non-standard accounting practices and opaque financial markets.
- Investment represented a large share of GDP.
- The ratio of domestic bank assets to GDP was high, thus exposing the banking sector to serious risks.
- The banking sector was burdened by bad debts and other dubious assets.
- A fixed exchange rate and a rapidly expanding current account deficit.

Differences

- Czech foreign liabilities are much lower than that of Asian countries.
- Although higher than in other transition countries, the stock of bank credit to GDP is much lower than in many Asian countries.
- There is no evidence of an asset bubble in terms of inflated real estate prices and empty office buildings.

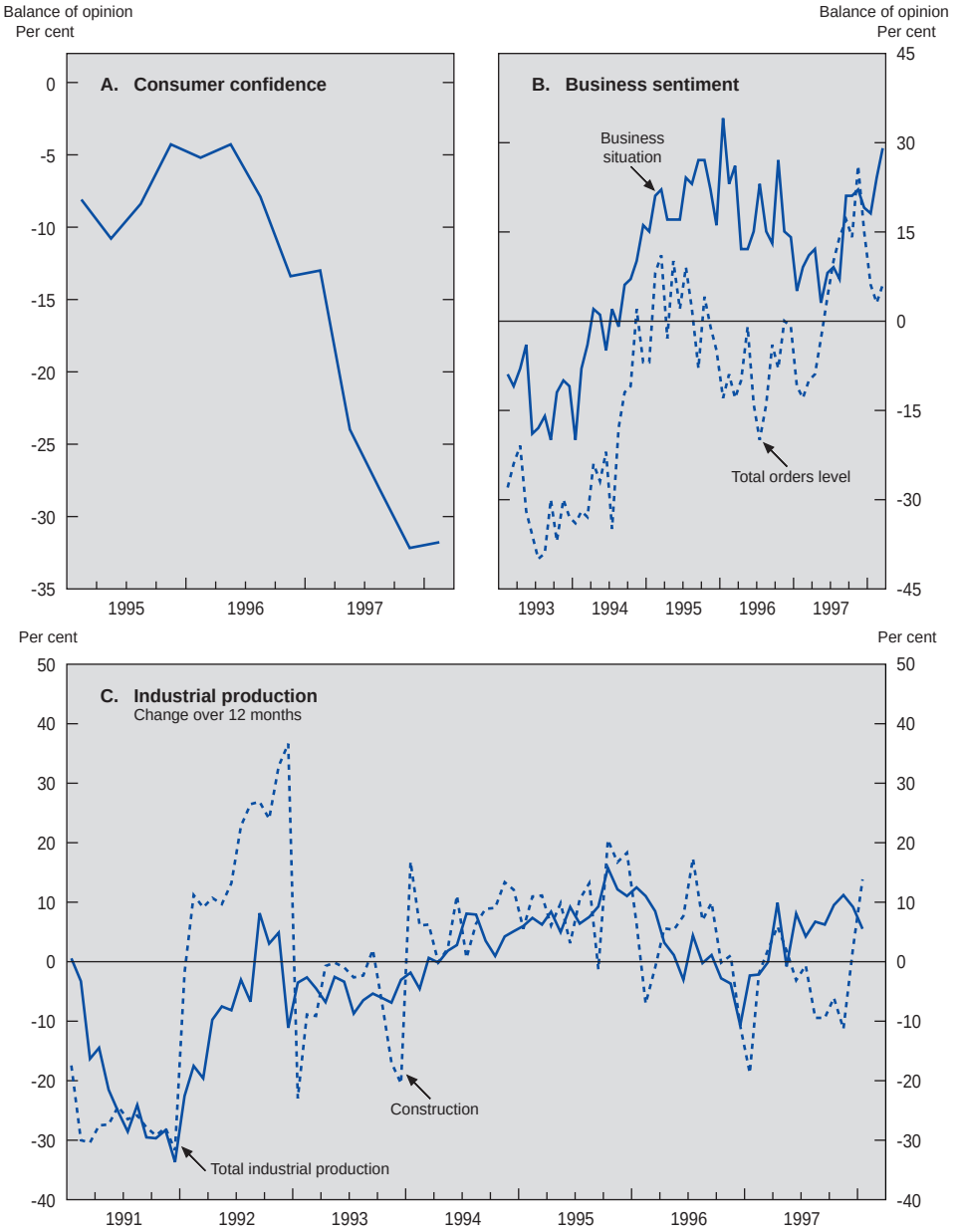
These differences, especially the smaller foreign debt, reduced the extent of the depreciation, its domestic impact and its duration. As well, the rapid adoption of a floating exchange rate limited the extent of overshooting and reduced the likelihood of additional attacks. Nevertheless, the still large current account deficit leaves the Czech economy exposed to the risk of contagion from crises in other emerging markets, which could lead to a loss of confidence in the koruna and a further depreciation.

Economic developments since the crisis

Slowdown in activity

The slowdown in economic activity observed towards the end of 1996 and the beginning of 1997 intensified after the currency depreciation, in part because of heavy flooding, which covered a substantial portion of the country for several weeks in July (see Box 6 in chapter II for more details). A decline in consumption growth and a large fall in investment contributed to a 1 per cent decrease in domestic demand which, along with a recovery in net exports, yielded a gradual improvement in the current balance. For the year as a whole GDP grew by a

Figure 5. **PRIVATE-SECTOR SENTIMENTS AND INDUSTRIAL PRODUCTION**



Source: OECD, *Main Economic Indicators.*

moderate 1 per cent, although it showed signs of accelerating towards the end of the year, posting a 2.2 per cent (year over year) increase in the fourth quarter.

Consumer confidence, which was already falling in late 1996, plummeted in the second and third quarters of 1997 due to the real-income effects of large hikes in administered prices, the prospect of lower wage increases, higher unemployment, the summer floods and the political turmoil that ultimately resulted in the resignation of the government in December 1997 (Figure 5). The fall in confidence was reflected in a slowdown of retail sales, which grew 3.5 per cent in the first half of 1997, but only 1.9 per cent over the year as a whole. National accounts data show a similar decline, with private consumption in 1997 only 1.6 per cent higher than a year before as compared with about 6 per cent yearly increases during the preceding two years.

At the same time, the stabilisation packages, which cancelled a number of infrastructure projects, contributed to a 5 per cent decline in investment activity in 1997. High interest rates, poor enterprise profitability and generalised uncertainty also played a role. In 1997, foreign direct investment in dollar terms fell 9.2 per cent as compared with 1996. More recently, business prospects appear to have been improving; outstanding orders are increasing and the build-up in inventories observed in the first half of 1997 has slowed. This is reflected in stronger business confidence, although it is still lower than in the past.

Stabilisation of the external balance

The currency depreciation contributed to a reversal of the trend in exports and imports, which allowed the trade and current account deficits to fall somewhat. On a customs basis and for the year as a whole, the trade deficit fell from Kc 158 billion in 1996 to Kc 141 billion in 1997, or from 10.3 to 8.5 per cent of GDP, which explained almost all of the reduction in the current account deficit (Figure 3). The slowdown in domestic demand and higher prices for imported goods contributed to a moderation in merchandise imports which grew by 8.7 per cent for the year as a whole, 3 per cent slower than in 1996. Reflecting, in part, a surge in European import demand, Czech exports (in koruny) accelerated strongly and increased by 20 per cent for the whole year (Figure 6) with a 40 per cent nominal expansion in the sales of machinery and transport equipment playing a significant role.

Table 2. **Balance of payments**

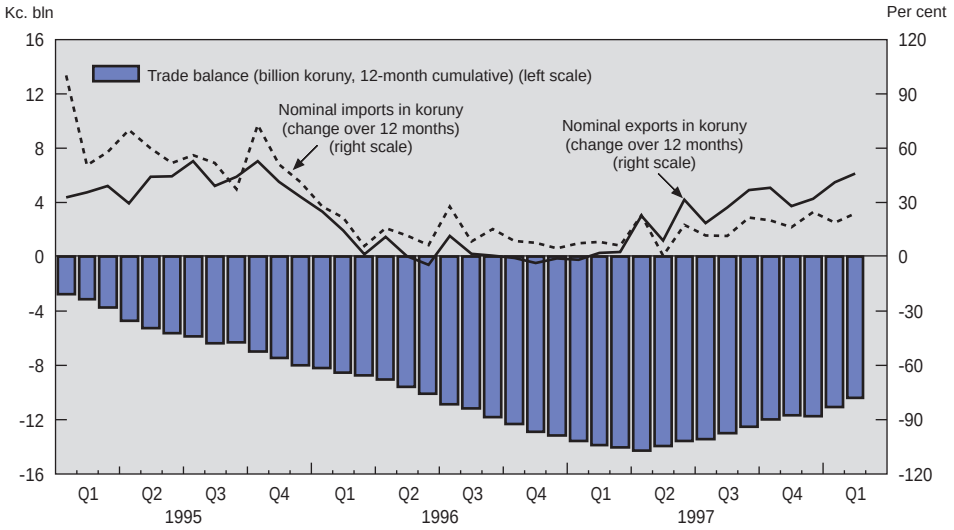
$ billion

	1993	1994	1995	1996	1997[1]	1997 Q1	1997 Q2	1997 Q3	1997 Q4
Current account	**456**	**–787**	**–1 369**	**–4 292**	**–3 156**	**–1 069**	**–835**	**–651**	**–601**
Exports of goods	14 229	15 929	21 463	21 691	22 530	5 240	5 715	5 387	6 188
Imports of goods	14 754	17 310	25 140	27 568	27 120	6 648	6 901	6 246	7 325
Trade balance	–525	–1 381	–3 678	–5 877	–4 590	–1 407	–1 186	–859	–1 138
Non-factor services, credits	4 723	5 157	6 718	8 179	7 149	1 467	1 962	1 747	1974
Non-factor services, debits	3 712	4 668	4 876	6 256	5 417	1 114	1 512	1 384	1 407
Balance of non-factor services	1 011	488	1 842	1 923	1 732	353	450	362	567
Factor income, credits	547	789	1 195	1 170	1 519	269	496	308	445
Factor income, debits	665	809	1 300	1 893	2 169	452	625	501	591
Balance of factor income	–118	–20	–106	–723	–650	–183	–138	–184	–146
Transfers, net	88	126	572	385	352	168	38	30	116
Capital account	–555	0	6.8	0.6	10.2	n.a.	n.a.	n.a.	n.a.
Financial account	**3 025**	**3 371**	**8 226**	**4 297**	**1 082**	**782**	**–242**	**1 040**	**–498**
Direct investment, net	563	749	2 526	1 388	1 275	280	169	372	454
Portfolio investment, net	1 600	855	1 362	726	1 086	–196	51	750	481
Other investment, net	861	1 768	4 338	2 183	–1 279	699	–462	–82	–1 434
of which: short-term capital	56	659	971	–927	–1 687	306	–903	–138	–952
Errors and omissions	104	–213	595	–833	297	248	–53	207	–104
Changes in reserves	–3 029	–2 372	–7 458	828	1 768	40	1 130	–596	1 193
Memorandum items:									
Trade balance/GDP (per cent)	–0.9	–2.2	–7.3	–10.6	–8.8	–11.9	–8.7	–7.3	–8.1
Current account/GDP (per cent)	0.3	–0.1	–2.7	–7.6	–6.1	–9	–6.1	–5.5	–4.4

1. Preliminary data.

Source: Czech National Bank.

Figure 6. **FOREIGN TRADE**



Source: OECD, *Main Economic Indicators.*

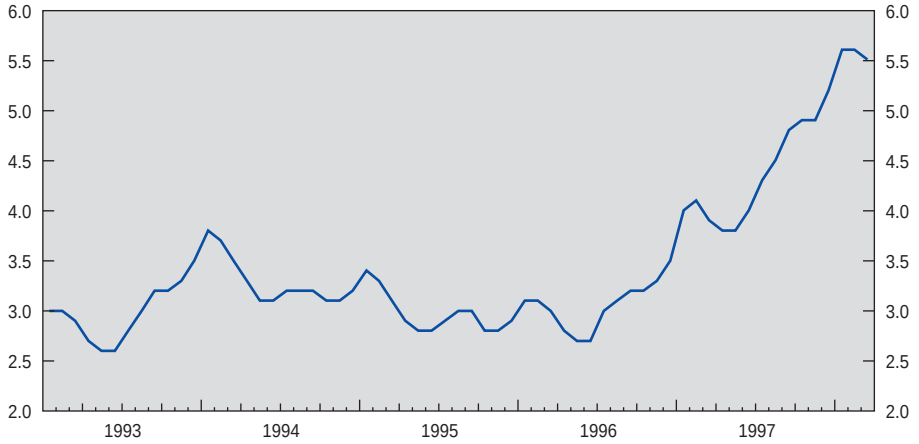
Developments on the capital account were strongly influenced by activity in the currency market. In the first half of 1997, the stock of foreign-held portfolio investments fell by $144 million and $600 million of short-term capital left the country. At the same time, the inflow of foreign direct investment (FDI) continued to decrease. As a result, official reserves were drawn down as the Central Bank intervened in the exchange market to smooth the depreciation of the koruna (Table 2).

Deteriorating labour market conditions

The slowdown in economic activity has begun to generate an increase in unemployment and a fall in vacancies (Figure 7). Registered unemployment rose, from 3.1 per cent of the labour force in 1996 to 5.6 per cent in February 1998, while regional rates, on a labour force survey basis, range from 2.6 per cent in Prague to as high as 8.9 per cent in North Bohemia. Despite unemployment developments and a 0.7 per cent fall in employment, the participation rate

Figure 7. **REGISTERED UNEMPLOYMENT RATE**

Per cent of labour force



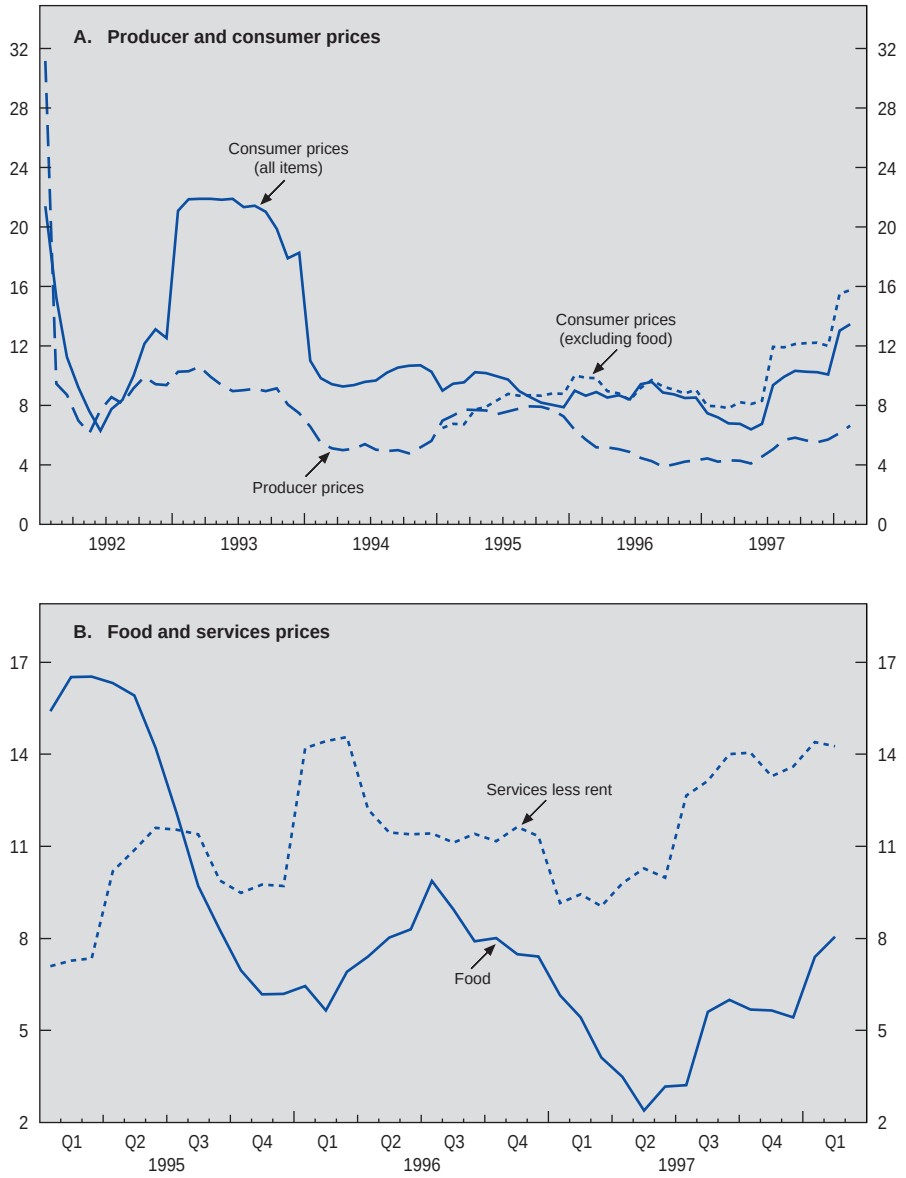
Source: OECD, *Main Economic Indicators.*

increased somewhat in 1997. Long-term unemployment grew steadily, accounting for about one third of total unemployment by the end of the year. At that time, youth represented 33 per cent of all the jobless, their unemployment rate being almost twice that of older workers. Labour market developments are dealt with in more detail in Chapter IV.

The deterioration in overall conditions and government-sector wage restraint in both 1997 and 1998 contributed to a slowdown in nominal wage growth. In the manufacturing sector, the rate of increase in wages slowed from 17.9 per cent in 1996 to 13.7 per cent in 1997, which nevertheless corresponds to a 5 per cent rise in real terms. The deteriorating conditions in the labour market and moral suasion on the part of the government brought about a slowdown in wage growth that actually resulted in a sharp decline in real wages in January 1998. At the same time, wage agreements in industry are pointing to a growing tendency to link real wage increases to productivity gains.[3]

Figure 8. **INFLATION DEVELOPMENTS**

Per cent change over 12 months



Source: OECD, *Main Economic Indicators.*

Higher inflation

The recent wage moderation has not been reflected in lower inflation, which after falling in the first six months of 1997 due to the favourable evolution of food prices, rose sharply following the devaluation and even more so after increases to administered prices in July (Figure 8).[4] The near simultaneity of these price shocks makes the isolation of each of their inflationary impacts difficult. A central bank estimate suggests that, by the end of September 1997, the depreciation had contributed to a 2 per cent increase in the overall price level, which had been attenuated by about 0.6 percentage points by the slowdown in output.[5] The fact that service prices (net of rents), which should not have been directly affected by these increases, rose by almost as much as the overall index suggests that much of their inflationary impact was passed through into other prices. Another round of indirect tax increases in January 1998, pushed the yearly inflation rate even higher, to 13.4 per cent, while net inflation rose 7.5 per cent in March.[6] The CPI net of food rose by 15.7 per cent in the twelve months ending February 1998.

The short-term outlook

Continued slow growth in domestic demand can be expected to yield further progress in reducing external imbalances in 1998 and 1999 (Table 3). Household consumption should grow only slowly as private sector wage restraint and the public-sector wage-bill freeze limit income growth and rising unemployment increases precautionary saving. Although moderate increases in unit labour costs are expected to improve enterprise profitability, high interest rates will probably keep private investment weak. Some rebound in public investment is projected but it would probably not be enough to provide significant stimulus to growth. The stagnation in real incomes and slow domestic demand should keep imports moderate, while – given the technical assumption of a constant exchange rate – the rate of growth of exports should slow as unit labour costs rise more quickly than abroad. Reflecting these developments, GDP is projected by the OECD to expand by a modest 1 per cent in 1998 and 1.2 per cent in 1999, while the current account deficit is projected to decline, but remain high at about 4.1 per cent of GDP in 1999. Unemployment is expected to continue rising and may exceed 6 per cent by the end of the projection period. Inflation should fall marginally as

Table 3. **Short-term projections**

Volume, annual percentage changes

	1994 current prices Kc billion	1995	1996	1997	1998	1999
Private consumption	564.0	7.0	7.1	1.7	0.9	2.1
Government consumption	263.0	–2.0	4.1	–2.1	–0.8	0.0
Gross fixed capital formation	339.9	21.0	8.7	–4.9	–1.5	3.0
Final domestic demand	1 166.9	9.1	7.0	–1.2	–0.2	2.0
Stockbuilding[1]	6.2[2]	0.8	1.6	0.9	0.0	0.0
Total domestic demand	1 173.1	9.8	8.5	–0.4	–0.2	1.7
Exports of good and services	608.0	16.1	5.4	10.2	6.5	4.1
Imports of good and services	632.5	22.0	12.9	6.7	4.0	4.3
Net exports[1]	–24.5[2]	–3.6	–5.0	1.4	1.2	–0.8
GDP at market prices	1 148.6	6.4	3.9	1.0	0.9	1.2
GDP implicit price deflator	..	10.1	8.7	6.6	10.0	9.2
Memorandum items:						
Private consumption deflator		9.1	8.0	7.9	10.6	9.6
Industrial production		8.7	5.9	4.5	3.5	4.0
Unemployment rate		3.7	3.9	4.7	6.1	7.1
General government financial balance[3]	..	–2.2	–1.2	–2.2	–2.2	–2.5
Current account balance[3]	..	–2.7	–7.6	–6.1	–3.9	–4.1

1. Contributions to GDP growth.
2. Actual amount.
3. As a percentage of GDP.

Source: OECD.

continued upward adjustments in administered prices outweigh the effect of wage moderation and more slowly rising import prices. Nonetheless, the 9 per cent increase in the GDP deflator projected for 1999 suggests that the upper bound of the net inflation target for 2000 (5.5 per cent) may be at risk.

The above projections, which are based on information available in April 1998, assume that monetary policy remains strict, with short-term interest rates of about 17 per cent in 1998 and 15 per cent in 1999 and that fiscal policy is mildly expansionary (the general government deficit averages 2 per cent of GDP) due: to revenue shortfalls, indexation-based increases in pension payments and transfers to shore up the banking system.

These projections are surrounded by several uncertainties. A further currency depreciation could, by boosting exports and reducing imports, lead – for a time – to faster growth than projected here. However, this would imply even higher inflation and, by temporarily improving corporate profitability, could reduce the incentive to restructure, thereby eroding the competitive gains associated with the depreciation. Another risk is that domestic demand expands more quickly than projected, if, in particular, excessive wage growth keeps private consumption strong. In either case, there could ultimately be a stagnation or worsening of the trade and current account deficits, leaving the currency and the economy very sensitive to external shocks. Finally, should fiscal policy not be sufficiently supportive of monetary policy, more tightening of the latter would be necessary, with potentially significant impacts on banking-sector and enterprise health. On the other hand, faster progress in implementing structural measures could result in a more rapid and forceful improvement in productivity growth which would allow exports and output to expand more quickly than projected here.

II. Macroeconomic policies

This chapter reviews the conduct of monetary and fiscal policies since the exchange rate crisis. It discusses the central bank's newly-adopted inflation targets as a new anchor for monetary management. It also highlights a number of potential fiscal liabilities that are not currently included in the government accounts and which, if realised, would have implications for the government debt.

Monetary management

The new framework

Since the beginning of the transition, the Czech National Bank (CNB), which is independent of the government and has sole responsibility for the conduct of monetary policy, has been committed to achieving a gradual reduction in inflation, while retaining its ''primary objective to ensure the stability of the Czech national currency''.[7] In the past, it has sought to achieve these goals by relying on the fixed-exchange rate to encourage the convergence of domestic inflation to world levels, while attempting to influence the evolution of money supply (M2) through open market operations and changes in reserve requirements, as well as in its discount and Lombard rates (see OECD 1996*a*). As described in Chapter I, a failure to contain real-wage growth and to realign inflation with that observed in the Czech Republic's trading partners contributed to the May 1997 decision to let the currency float and its subsequent 10 per cent depreciation as compared with its previous parity basket.

With the exchange rate floating, monetary policy no longer had a highly visible nominal anchor, a situation that persisted until 22 December 1997, when the CNB adopted an inflation-targeting framework. The new approach seeks to

make more concrete the goals of monetary policy by committing the authorities to a well-defined medium-term strategy and, in so doing, providing a firm basis for inflation expectations. The Bank will be targeting net inflation, defined as the rate of increase of consumer prices excluding administered prices and the impact of indirect taxes increases, which it hopes to reduce to a rate of 6 plus or minus 0.5 per cent by the end of 1998 and 4.5 plus or minus 1 per cent by the end of 2000. The authorities chose to concentrate on this measure because its movements better reflect the price changes over which monetary policy can exercise some control.

Box 4. **Net inflation**

The Czech National Bank does not target ''headline'' inflation, the change in the consumer price index (CPI), but rather ''net inflation''. Net inflation is not seasonally adjusted and the basket of goods used to calculate it is the same as for headline inflation except that regulated or administered prices are excluded as are the effects of changes in some indirect taxes on the price of the remaining goods and services.

Administered (or, regulated) prices represent 18 per cent of all goods and services in the CPI basket. They are either directly set by the authorities (*e.g.* water and heat fees) or have a maximum price fixed by either the Minister of Finance (*e.g.* electricity and gas fees, telephone rates, rents) or by local authorities (*e.g.* parking and taxi fees). Insurance fees and charges (*e.g.* health insurance and motor car insurance) are also included in the group of regulated prices. Within the net inflation basket, tradeables represent 85 per cent of the value all goods and services, of which 42 per cent is represented by food, and only 15 per cent by non-tradeables. As a result, the weight of tradeables in the net inflation measure is much higher than in the CPI, making it more sensitive to exchange rate fluctuations. In mechanical terms, whereas a 15 per cent depreciation would increase the CPI by 10 per cent (the weight of tradeables being $^{2}/_{3}$ in the CPI) the net inflation index would rise by 12.8 per cent.

For 1998, the following will be excluded from the calculation of net inflation:

- increase in the VAT on electricity, gas and coal;
- hikes in the excise taxes on cigarettes, alcoholic beverages and petrol; and
- the price impact of the cancellation of some consumption-based subsidies (*e.g.* lunches in school canteens).

The list of items and tax increases to be excluded is updated once a year, in January. Other changes in indirect taxes (*e.g.* an across the board increase in VAT rates or the imposition of an import surcharge) would also be omitted.

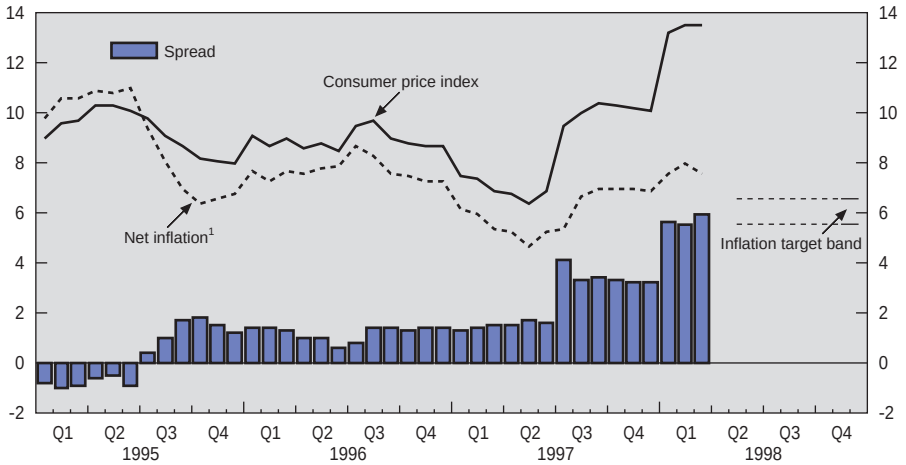
At the time of the initial announcement, net inflation,[8] which has been calculated and published on a monthly basis by the Central Statistics Office (CSO) since February 1998, was 6.8 per cent as compared with 10 per cent for normal CPI inflation. The goods and services excluded from the CPI in calculating the target index are listed annually in the Ministry of Finance's *Price Bulletin*. In 1998, these constituted 18 per cent of the total consumer price index (CPI) basket, but some 60 per cent of the non-tradeables (Box 4). In February (CNB, 1998), the Bank elaborated further on the new system, providing information on its expectations for inflation, output and interest rates until the year 2000.

The change in nominal anchor will necessarily require some new strategy in the conduct of policy. On the whole, the solid reputation of the CNB, its independence and its declaration that it will not intervene in currency markets except to smooth adjustments, should make the transition to the new regime easier. Similarly the transparency and credibility of the new framework is enhanced by the fact that since February 1998 an independent body, the Czech Statistical Office (CSO), produces the net inflation estimates.[9]

However, while the initial target of 6 plus or minus 0.5 per cent in 1998 appeared easy to achieve when it was announced (net inflation was 6.8 per cent at the time), subsequent developments are making it less so. The official measure of net inflation for 1997 was higher than the estimate initially used by the Bank[10] and has climbed even higher since then, reaching 7.9 per cent in February 1998. At the same time, the growing gap between headline and net inflation (5.5 percentage points) poses a serious challenge to reaching the targets (and particularly the target for 2000) because it tends to undermine their capacity to shape expectations (Figure 9). Thus, even if the bank achieves its 1998 target, its credibility may be hurt if a much higher rate of headline inflation leads workers and firms to disregard the Bank's net inflation target when forming their price and wage expectations for 1999 and 2000.

In this context, the Bank may be confronted with the necessity to reconsider the measure of inflation it targets. Focusing on CPI inflation would facilitate expectations formation, but may prove more difficult because of the large adjustments in regulated prices that are still required and over which the Bank has no control. Thus, unless the government can provide the CNB with a firm schedule for such price increases, it is unlikely that it could accurately target headline inflation.

Figure 9. **NET AND CPI INFLATION**
Per cent change over 12 months



1. See text for the definition of net inflation. For 1995 and 1996 net inflation includes changes in indirect taxes.
Source: Czech National Bank; Czech Statistical Office.

Another concern arises because, despite having endorsed the Bank's inflation targets, the Ministry of Finance's current forecast is for 11 per cent in 1998, having been revised upwards from 9 per cent in December 1997. It is not clear whether this revision reflects the government's plans to raise regulated prices by more than previously planned (implying no change in the government's implicit forecast of net inflation), or whether the fiscal stance (see below) is perceived to be compatible with higher-than-targeted net inflation. In either case, the divergence between the announced inflation among macro policymakers has yet to be explained and cannot help but reduce confidence in the targets.

In this regard, the Bank's communication strategy will be critical to the medium-term success of its new framework and its plan to release the first of a regular series *Inflation Reports* at the end of April 1998 is welcome. The report should form an integral part of a concerted effort to provide both domestic and international observers with a maximum amount of information concerning the conduct of monetary policy and recent price and monetary developments. Ideally, it should explain the principles by which monetary policy will be conducted,

provide a description of the Bank's inflation forecasts and the methodology by which they are derived as well as the measures it will take if it appears that its interim targets are liable not to be met. The report should also explain the past actions (and inactions) of the Bank, providing an interpretation of recent developments (such as the larger-than-expected rise in prices in January 1998) and how they might affect future policy and the probability of meeting its targets (Mishkin and Posen, 1997).

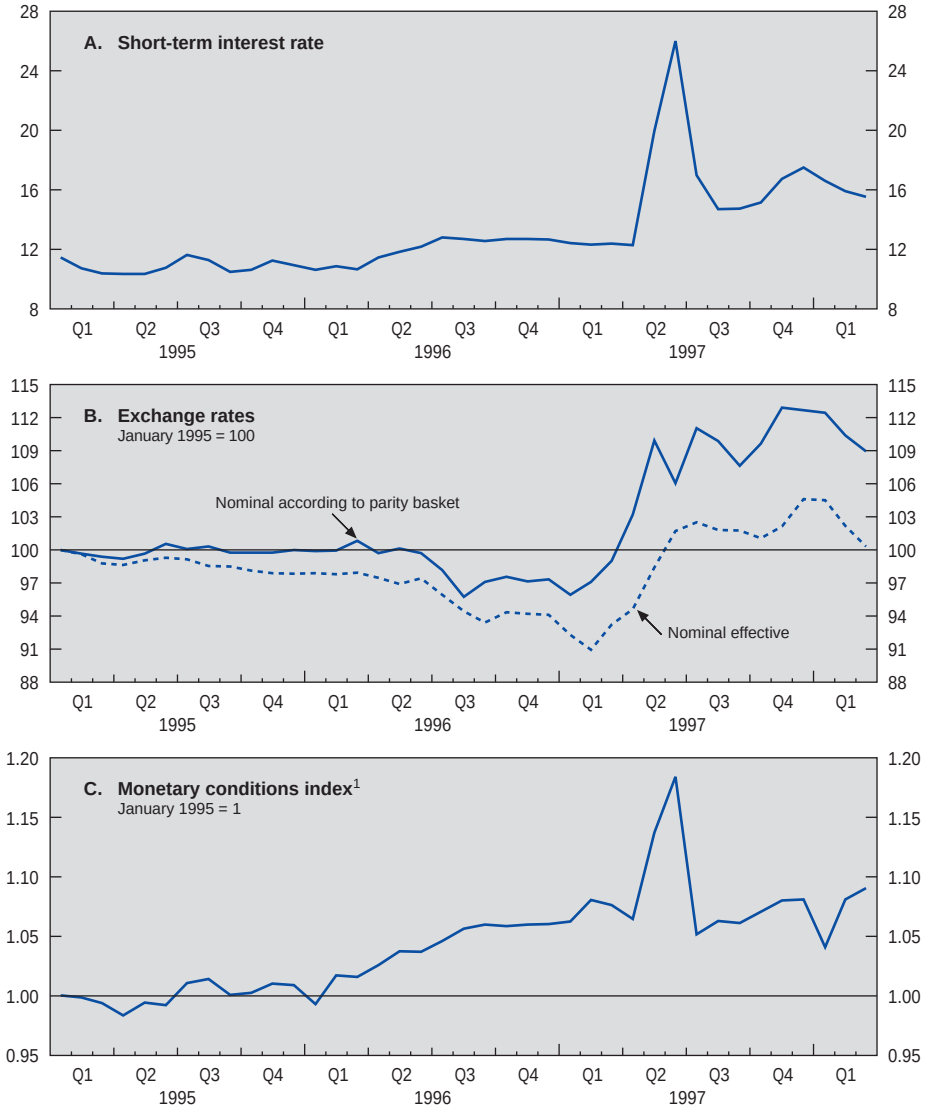
Recent interest and exchange rate developments

In assessing monetary developments, the CNB looks at a wide range of indicators. Given its new (December 1997) policy framework, the current focus is on interest rates and the exchange rate. Leading up to the currency crisis, the bank tightened monetary policy raising its discount rate by 100 basis points to 10.5 per cent, thereby contributing to a real appreciation of the koruna and a rise in market-interest rates (Figure 10). During the currency crisis, these rose dramatically, with the three-month PRIBOR rate averaging 26 per cent in May 1997 and the Bank's Lombard rate set at a punitive 50 per cent.

Monetary conditions have been kept tight since then and are more restrictive than they were in 1995 or the first half of 1996. The CNB lowered its Lombard rate in two steps, first to 23 per cent in June 1997 and then again to 19 per cent in January 1998. It has, nevertheless maintained a wide margin between it and the discount rate, leaving ample room for market forces to determine short-term interest rates, which fell from highs of 26 per cent in June 1997 to 15 per cent in August and September before climbing to 17 per cent in the autumn (Figure 11). A number of monetary policy considerations have been served by this restrictive stance. In the first few months following the crisis, the bank was concerned to prevent an excessive depreciation of the currency, while in the autumn its principal motivations were the containment of domestic demand as well as the inflationary impact of the currency depreciation and of the July administrative price hikes.

Fears of a further sharp fall in the koruna's exchange rate dissipated towards the end of July and market rates declined substantially, while the central bank replenished its foreign exchange reserves. Interest rates rebounded somewhat in the autumn of 1997 when, following developments in Asia and the resignation of the Government, renewed downward pressure was felt on the currency. The

Figure 10. **MONETARY CONDITIONS**

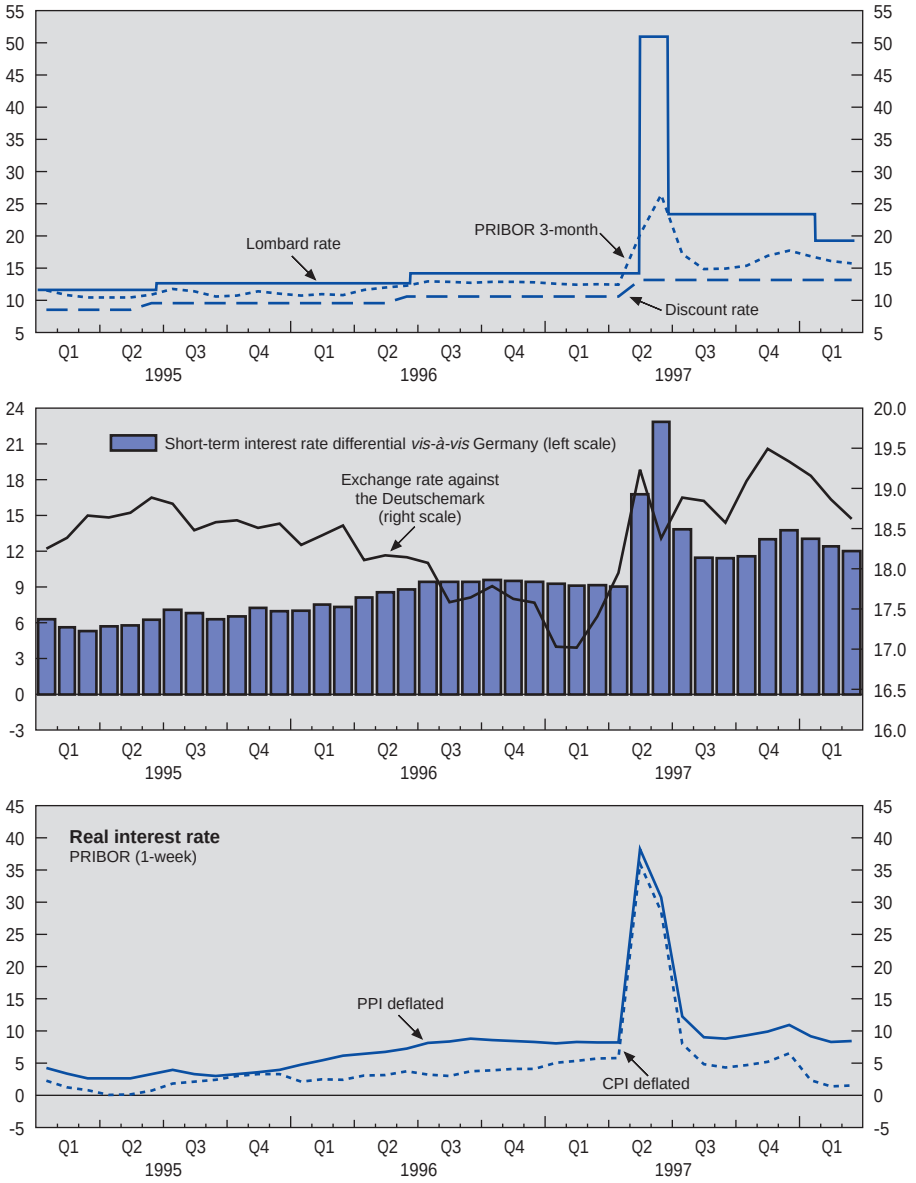


1. The Monetary Conditions Index was computed according to the following formula:
   I(t) = I(t-1) * [1 + (r(t) – r(t – 1)) + a * log(RER(t))], where
   r = real (CPI deflated) short-term interest rate;
   RER = real exchange rate with respect to the Deutschemark;
   a = the exports to GDP ratio.
   See "Les notes bleues de Bercy", No. 81, February 1996.

Source: Czech Statistical Office; OECD.

Figure 11. **INTEREST RATE AND EXCHANGE RATE DEVELOPMENTS**

Per cent



Source: Bloomberg; OECD.

central bank intervened several times to help smooth developments but did not attempt to defend a particular exchange-rate level so that the koruna fell about 4 per cent against the Deutschemark between October 1997 and January 1998. For the year as a whole (December to December), the currency was down 13 per cent against the Deutschemark and 21 per cent against the US dollar.

Money and credit

A reduction in capital inflows, following the widening of the exchange-rate fluctuation band in February 1996, and high interest rates contributed to a dramatic slowdown in the rate of monetary expansion. After growing at an annual rate of almost 20 per cent from 1993 to 1995, money supply (M2) decelerated sharply to 9 per cent in 1996 and 10 per cent in 1997 (Table 4). This was principally the result of a fall in the rate of expansion of net foreign assets (NFA), which, after stagnating in mid-1996, started declining in 1997 as expectations of a currency depreciation began to build. Towards the end of 1997, this trend reversed itself somewhat, as commercial banks built up their foreign assets in response to increasing exchange rate uncertainty. Responding to tighter monetary policy, banks became more cautious in lending and, except for a relapse in the

Table 4. **Money and credit**

Annual percentage change

	1993	1994	1995	1996	1997
Monetary growth					
M1	16.3	15.2	14.3	4.9	–6.4
M2	19.8	19.9	19.8	9.2	10.1
Credit expansion	17.9	14.8	6.9	8.1	9.4
Market interest rates					
7 day PRIBOR	10.7	8.5	10.9	12.1	18.3
3 month PRIBOR	13.1	9.1	11.0	12.0	16.0
6 month PRIBOR	14.0	9.3	11.0	12.0	15.2
Memorandum items:					
Nominal GDP growth	n.a.	14.6	17.4	13.6	7.6
Income velocity (GDP/M1)[1]	n.a.	3.07	3.15	3.30	3.60
Income velocity (GDP/M2)[1]	n.a.	1.48	1.45	1.45	1.42

1. Computed as follow:
   Velocity = $GDP_t / [(M_{t-1} + M_t)/2]$
   where M_{t-1} = M1 (or M2) at the end of year ''t–1''
   M_t = M1 (or M2) at the end of year ''t''

Source: Czech National Bank.

second quarter of 1997, the twelve-month growth rate of bank credit declined from 14 per cent in the first half of 1996 to 3 per cent in 1997. This moderation in the expansion of the net domestic assets (NDA) in the banking system was partly offset by increased government borrowing.

Rising interest rates in the second half of 1996 prompted a shift in money holdings from demand to term deposits, which was reflected in a 10 per cent decline in M1 by the middle of 1997. More recently, M1 has increased somewhat. These same forces, and the expansion of foreign-currency deposits, were behind the growth of M2 and, together with the slowdown in nominal GDP, the increase in the income velocity of M1 and the end of its decline with respect to M2.

Assessment

Globally, monetary policy has successfully negotiated a very difficult period. The decision to abandon the fixed-exchange rate regime was made before too many reserves had been spent and the Central Bank has managed to use the subsequent period to partially restock them. Although subject to volatility emanating from the developments in Asia, there have been no precipitous falls in the currency since the Spring 1997 crisis and the depreciation observed in recent months appears to be in line with economic fundamentals. Appropriately, given the still large trade and current account deficits, monetary policy has remained restrictive, while the announcement of a new inflation-targeting framework brought a welcome end to a period of uncertainty as to the main focus of policy. For the immediate future, continued tightness will contribute to a slow expansion of demand, thereby helping to improve the external accounts and to reduce inflationary pressures. In the medium-term, as structural change in the economy begins to generate better productivity performance, the Bank should be able to slowly relax its stance in support of higher rates of growth.

In the longer run, changes in financial markets (and EU accession) will cause the traditional distinctions between banks and other financial intermediaries to become increasingly blurred. In response to these developments, the authorities should perhaps consider integrating bank and financial market supervision as has been done in some countries, thus relieving the central bank of its current supervisory and regulatory responsibilities, which would prevent them from unduly influencing the conduct of monetary policy. As a preliminary step, bank

supervision could be delegated to an independent agency, leaving full integration with the newly-established Security and Exchange Commission to a later date.

The fiscal stance

Since the beginning of the transition, the government has maintained a nearly balanced state budget (Table 5). However, this balance does not reflect the true stance of fiscal policy because the revenue and expenditure data are not fully

Table 5. **State budget**
(Including the State Financial Assets)
Kc billion

	1994	1995	1996	1997[1]	1998[2]
Current expenditure	**339.9**	**371.9**	**414.3**	**470.6**	**484.9**
Wages and salaries	40.3	40.5	45.5	47.8	48.4
Transfers	237.0	280.8	311.8	344.6	347.4
to enterprises	61.5	84.7	86.3	33.2	28.3
to households	138.0	160.5	159.7	206.0	222.7
of which: social security	134.4	153.2	151.3	172.8	185.9
Other current expenditure	62.6	50.6	57.0	60.6	69.8
Capital expenditure	**40.1**	**55.6**	**57.1**	**50.6**	**46.3**
Lending minus repayments	**–5.6**	**4.3**	**–2.7**	**–4.8**	**–6.4**
Total expenditure	**374.4**	**431.8**	**468.7**	**516.4**	**524.8**
Tax revenues	**349.0**	**391.2**	**444.7**	**478.5**	**511.6**
Direct taxes	69.4	71.8	77.4	74.8	67.9
Corporate income	63.6	63.3	47.7	41.6	34.8
Personal income	5.8	8.5	29.7	33.2	33.1
Indirect taxes	136.4	155.4	174.8	186.4	206.4
VAT	85.8	94.8	109.3	117.6	128.0
Other	50.6	60.6	65.5	68.8	78.4
Social security contributions	119.7	140.7	162.5	191.0	209.5
Other tax revenues	23.5	23.3	30.0	11.4	12.6
Non-tax revenue	**40.1**	**37.2**	**16.7**	**22.3**	**13.3**
Total revenues	**389.1**	**428.4**	**461.4**	**500.6**	**524.9**
Balance of current expenditure	**49.2**	**56.5**	**47.1**	**30.0**	**40.0**
Total balance	**14.7**	**–3.4**	**–7.3**	**–15.8**	**0.1**

1. Preliminary.
2. Budget.
Source: Ministry of Finance, OECD.

Table 6. **Government accounts**

Per cent of GDP

	1994	1995	1996	1997[1]	1998[2]
A. State budget balance	**1.3**	**0.4**	**–0.1**	**–1.0**	**0.0**
Current expenditures	29.7	27.8	27.8	28.5	26.5
Total revenues	34.0	32.0	31.2	30.3	28.7
Balance	4.3	4.2	3.5	1.8	2.2
Capital expenditures	3.5	4.2	3.7	3.0	2.5
Lending minus repayments	–0.5	0.3	–0.2	–0.3	–0.3
B. Local authorities balance	**–0.1**	**–0.2**	**–0.6**	**–0.3**	**–0.5**
Expenditures	9.8	9.9	11.2	9.0	7.7
Revenues	9.7	9.6	10.6	8.7	7.2
C. Extra-budgetary funds balance	**0.0**	**0.0**	**0.1**	**0.0**	**0.0**
Expenditures	0.7	0.6	0.5	0.4	0.4
Revenues	0.7	0.6	0.6	0.4	0.4
D. State Financial Assets balance	**–0.2**	**–0.9**	**–0.2**	**–0.4**	**–0.3**
E. Use of privatisation revenues (–)	**–1.6**	**–1.1**	**–0.2**	**–0.4**	**–0.1**
F. Balance of the health fund	**–0.2**	**–0.3**	**–0.1**	**–0.1**	**–0.1**
General Government balance[3]	**–0.8**	**–2.2**	**–1.2**	**–2.2**	**–1.0**
Nominal GDP (Kc bn)	1 149	1 349	1 533	1 650	1 831

1. Preliminary.
2. Budget.
3. Equal to A + B + C + D + E + F.

Source: Ministry of Finance, IMF, OECD.

consolidated and include the proceeds from privatisation used to finance current expenditure as well as transfers from the State Financial Assets (SFA), the account into which past surpluses have been stored. Nevertheless, the general government deficit, which corrects for these irregularities and includes the net position of the extra-budgetary and health-care funds, has been low, rarely exceeding 2 per cent of GDP (Table 6).

The 1997 budget outcome

In 1997, the *state* budget, which includes the social security system, assumed a 5 per cent increase in real output, 8 per cent rate of inflation and a small Kc 0.1 billion surplus. Almost immediately after the budget was introduced, output growth and revenues fell below target and a substantial deficit

Box 5. **The impact of the floods**

Between 7 and 22 July 1997, Moravia and part of East Bohemia were hit by severe floods, in which about 50 people were killed, 2 500 were injured and 10 000 were left homeless. Over 5 000 homes were rendered uninhabitable and 1 000 kilometres of railway track, thirteen train stations and fifteen bridges were destroyed. Economic activity in the region came to a virtual standstill for a period of three to four weeks. Total damage is estimated to have been about Kc 60-80 billion (about 3 per cent of GDP). Insurance companies covered Kc 10.4 billion of this amount, while the government is picking up the tab for about Kc 18 billion in flood relief, with the remainder being borne by private citizens.

Approximately Kc 8 billion of the government spending came from the assets or revenues of various off-budget entities (Table), while Kc 1.8 billion come from the PHARE* and Kc 3.3 billion from the 1998 budget. Approximately Kc 5.5 billion was to be raised through the sale of inflation-indexed ''flood bonds''. However, only Kc 3 billion of bonds were sold as higher-than-expected inflation in the second half of 1997 made them unattractive, forcing the cabinet to ask the parliament to release an additional Kc 4 billion from the small privatisation fund of the NPF in February 1998.

The Ministry of Finance estimates that the floods will contribute to a Kc 9 billion shortfall in the 1998 state budget revenues (about 2 per cent of 1997 tax revenues) and a Kc 4 billion fall in local government revenues (about 6 per cent of 1997 tax revenues). To compensate, the 1998 budget included increases of excise duties on cigarettes (Kc 1.2 billion), licence fees for operating game machines (Kc 1.8-1.9 billion, of which two-thirds are to be allocated to local budgets), and highway fees (Kc 0.8-0.9 billion).

Flood related expenditures

Funding	Kc billion	
Extraordinary resources	**12.9**	
State budget 1997	0.2	
Flood bonds	5.0[1]	
National Property Fund (revenue from small privatisation)	5.0	
State financial assets	0.9	
Czech Land Fund	1.5	
The Fund for Environmental Protection	0.3	
Regular expenditures of state budget 1998	**3.3**	
PHARE	**1.8**	
Total	**18.0**	
Expenditures in 1997	Approved expenses	Paid[2]
Central government total	**5.12**	**5.01**
Ministry of Regional Development	1.75	1.60
Ministry of Industry and Trade	0.27	0.27
Ministry of Transportation	2.05	2.50
Ministry of Education	0.24	0.24
Transfer to local governments	2.65	2.57
Czech-Moravian Development and Guarantee bank	**1.77**	**0.82**
Other	**1.85**	**1.85**
Total	**8.74**	**7.68**

1. In the event only Kc 3 billion in bonds were sold.
2. Preliminary (without refunds).

* PHARE (Poland/Hungary aid for restructuring the economy) is the technical assistance programme of the EU for Central and Eastern Europe.

began to accumulate. The government responded with the two stabilisation packages described in Chapter I, although only the first one included measures that had an immediate effect on the 1997 fiscal accounts. Associated expenditures cuts, for 1997, were estimated to have been about Kc 42 billion or 2.5 per cent of GDP, with investment reduction accounting for much of this (Table 7). These savings were partially offset by additional expenditures associated with the summer floods (about Kc 9 billion) mostly financed from extra-budgetary resources (see Box 5). These included a 26 per cent increase in transfers to local authorities and a 20 per cent overshoot in transfers to enterprises, mostly due to a ''last minute'' infusion of Kc 5.1 billion to *Konsolidacni banka* to cover its 1996 losses. As for tax revenues, they proved 8.7 per cent lower than budgeted, with shortfalls in almost every category – especially corporate income tax. As a result, instead of a balanced budget, as originally anticipated, the State sector recorded a Kc 16 billion (1 per cent of GDP) deficit.

The difficulties encountered in the state budget were mirrored at the *local government* level. Total revenues of local authorities were slightly higher than planned, with the additional transfers mentioned above offsetting tax revenue shortfalls of Kc 7.1 billion or 8.4 per cent of the original budget. Their expenditures, on the other hand, exceeded initial projections by 7.1 per cent and as a result the sector as a whole registered a 0.4 per cent of GDP deficit.

The general government deficit, estimated at 2.2 per cent of GDP in 1997, exceeded that of the state and local authorities, because of additional transfers from the SFA of 0.5 per cent of GDP, as well as a small deficit in the health fund and the use of an estimated Kc 5 billion in privatisation revenues to finance flood-related expenditures. Overall general government revenues (including these transfers) were 6.4 per cent below budget and fell from 42.4 to 40.6 per cent of GDP between 1996 and 1997. Expenditures were also 4.2 per cent lower than originally planned, principally because of the spending cuts introduced in the two stabilisation packages. As a share of GDP, they fell from 43.3 to 42.2 per cent.

The budget plan for 1998

As per past practice, the government approved a balanced *state* budget for 1998, based on the assumption that nominal GDP would grow by 11.2 per cent, corresponding to a real growth rate of 2.2 per cent. Revenues are expected to increase by 4.9 per cent, with the majority of the increase to come from social

Table 7. **State budget, actual vs planned**

(Kc billion)

	1997 (budget)	1997 (actual)	1998 budget	Percentage difference: 1997 actual *vs* budget	Percentage difference: 1998 budget *vs* 1997 actual
Current expenditure	**479.5**	**470.6**	**484.9**	**–1.9**	**3.0**
Wages and salaries	50.9	47.8	48.4	–6.1	1.3
Interest payments	14.4	17.6	19.3	22.2	9.7
Transfers	341.9	344.6	347.4	0.8	0.8
To enterprises	27.6	33.2	28.3	20.3	–14.8
To subsidised organisations	61.0	61.0	55.4	0.0	–9.2
To local authorities	19.6	24.8	19.8	26.5	–20.2
To households	212.5	206.0	222.7	–3.1	8.1
Social security	177.4	172.8	185.9	–2.6	7.6
Unemployment	3.1	3.4	3.9	9.7	14.7
State social support	32.0	29.2	33.0	–8.8	13.0
Other	0.0	0.6	–0.1		
Other current expenditure	72.3	60.6	69.8	–16.2	15.2
Capital expenditure	**65.8**	**50.6**	**46.3**	**–23.1**	**–8.5**
Transfers to enterprises	5.9	5.9	5.3	0.0	–10.2
Transfers to local authorities	5.9	10.9	9.3	84.7	–14.7
Other	54.0	33.8	31.7	–37.4	–6.2
Lending minus repayments	**–5.2**	**–4.8**	**–6.4**	**–7.7**	**33.3**
Total expenditure	**540.1**	**516.4**	**524.8**	**–4.4**	**1.6**
Tax revenues	**524.1**	**478.5**	**511.6**	**–8.7**	**6.9**
Direct taxes	90.9	74.8	67.9	–17.7	–9.2
Corporate income	55.0	41.6	34.8	–24.4	–16.3
Personal income	35.9	33.2	33.1	–7.5	–0.3
Indirect taxes	197.4	186.4	206.4	–5.6	10.7
VAT	127.8	117.6	128.0	–8.0	8.8
Other	69.6	68.8	78.4	–1.1	14.0
Social security contributions	205.6	191.0	209.5	–7.1	9.7
From employers	151.1	n.a.	153.8	n.a.	n.a.
From employees	46.5	n.a.	47.3	n.a.	n.a.
Self-employed	8.0	n.a.	8.4	n.a.	n.a.
Taxes on international trade	19.6	14.9	15.2	–24.0	2.0
Other tax revenues	10.6	11.4	12.6	7.5	10.5
Non-tax revenue	**16.1**	**22.3**	**13.3**	**38.5**	**–40.4**
Total revenues	**540.2**	**500.6**	**524.9**	**–7.3**	**4.9**
Balance of current expenditure	**60.7**	**30.0**	**40.0**	**–50.6**	**33.3**
Total balance	**0.1**	**–15.8**	**0.1**	**. .**	**. .**

Source: Ministry of Finance, OECD.

security contributions. A cut in the corporate income tax rate from 39 to 35 per cent and an increase in personal exemptions is expected to reduce revenues, but to be largely offset by an increase in the VAT rate applied to fuels. Increases in various excise duties will also contribute to an expansion in revenues, while expenditures are budgeted to rise by only 1.6 per cent in nominal terms, falling as a share of GDP by 2 per cent, with a public-sector wage-bill and spending-freeze in most ministries contributing importantly to the overall decline. Cuts in subsidies should contribute Kc 11 billion to savings (including reductions in transfers to enterprises and local authorities, Kc 4.8 and 6 billion respectively) and further savings may be generated through the substitution of loan guarantees for investment subsidies. Finally the 1998 budget includes about 0.2 per cent of GDP in net spending associated with the 1997 flooding.

The 1998 budget envisages that *local governments* will limit their expenditure in line with the reductions in revenues and that their deficit will not exceed Kc 9 billion. The cuts to personal and corporate income taxes are expected to reduce shared revenues by Kc 0.6 billion.

Combining the Kc 9 billion state and local government deficits with the planned Kc 5.4 billion drawdown of the SFA and the expected balance of the extra-budgetary funds, the *general government* deficit is budgeted to be 1 per cent of GDP, about half its 1997 level. Planned expenditures are expected to fall by 3.2 per cent of GDP and revenues by 3.6 percentage points (see Table 6).

Prospects for achieving a 1 per cent deficit without a supplementary budget do not appear good. Early developments indicate that expenditures will probably exceed planned levels. Indexing provisions in the pension law will oblige the government to spend an additional Kc 10 billion, while further losses at *Konsolidacni banka* will require at least a similar amount to be paid out (or 0.8 per cent of GDP in total). Furthermore, there is reason to believe that the revenue estimates of the government will not be met, in part because projected improvements in collections may have been too optimistic and because the assumptions upon which the estimates were based may not materialise. Already the government has revised its inflation forecast upwards to 11 per cent and output growth seems unlikely to expand by the assumed 2.2 per cent. Barring a supplementary budget, the general government deficit could well exceed 2.5 per cent of GDP in 1998, which points out the need for a more restrictive fiscal stance in order to

support monetary policy in restraining domestic demand and stabilising the economy.

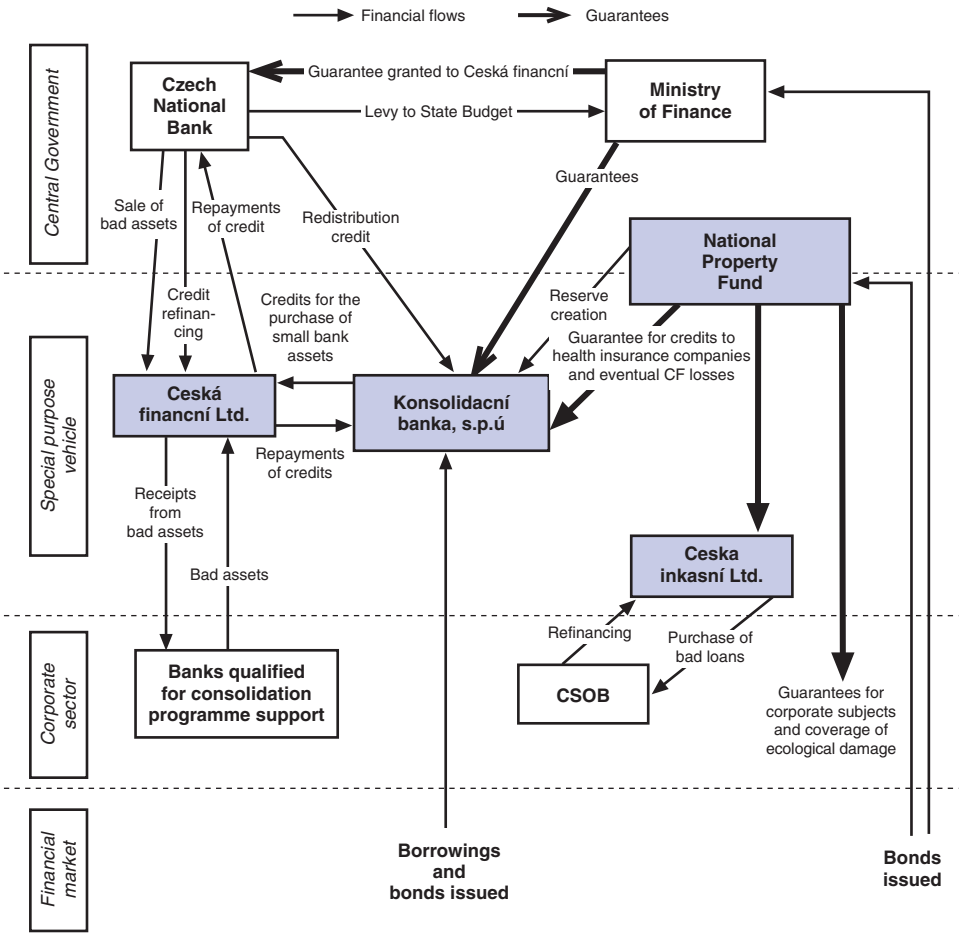
Medium-term risks

The need for fiscal policy to tighten is all the more pressing since the extent of the budget shortfall appears to have been underestimated in official statistics. Indeed, in early 1998 the authorities revised their estimate of the public debt from Kc 120 billion to Kc 240 billion (7.3 to 14 per cent of GDP) after reviewing the financial position of a number of quasi-government entities (Table 8.A). While this attempt to increase the transparency in the government accounts is welcome and should permit a more accurate formulation of future fiscal policy, the government's liabilities, and implicitly the size of past deficits, are still understated. At least three factors mean that government debt may still be underestimated by as much as Kc 115 billion (7 per cent of GDP). The first concerns the government's exposure to the banking sector, deriving not only from its large stakes in the three large commercial banks, but also from the possibility of further bailouts; the second pertains to the true financial position of the National Property Fund (NPF); and the third involves the actual extent of local government indebtedness.

As discussed in Chapter III, the state continues to be extensively involved in the banking sector, both through ownership positions in three of the four largest banks and through several bad-loan banks which it created over various points in time to help institutions clean up their balance sheets. Figure 12 shows the relationships among different institutions and Table 8.B provides an indication of the state's exposure to the sector. It is, of course, impossible to determine exactly to what extent the liabilities listed will be transferred to the state and many of them are offset by assets that are not recorded here. Nevertheless, the exercise is useful in providing an idea of the potential magnitude of the problem.

The clearest risk comes from *Konsolidacni banka* (KoB) which is wholly state-owned and to whom the government has already had to transfer Kc 10 billion to cover operating losses. In 1999, the government will be required to pay a maximum of Kc 69 billion (or 4 per cent of 1998 GDP) to KoB to cover the share of so-called TOZ credits (see OECD, 1996, p. 31) that remain unpaid at that time. KoB also provided the bulk of the assets granted to *Ceska financni*, the agency established in October 1996 and charged with temporarily taking on some of the

Figure 12. **SPECIAL STATE-OWNED INSTITUTIONS AND THEIR RELATIONSHIP WITH THE GOVERNMENT**



Source: Ministry of Finance.

bad loans accumulated by a number of small banks. At the end of 1997, *Ceska financni*'s gross bad loans amounted to Kc 25 billion. Finally, the state is responsible for *Ceska inkasni*, the company that was set up to deal with foreign assets and liabilities accumulated under the communist regime (see OECD, 1996, p. 54).

Table 8. **Government liabilities**

A. Estimated Government Debt (Kc billion, end-1997)

Central Government	90
Local authorities	30
Konsolidacni banka	76
Ceska financni	22
Ceska inkasni	20
Total	238
Per cent of GDP	14

B. Potential government liabilities in the banking sector

	Bad loans of banks			Government's share in bad loans		
	Bad loans	Provisions	Net	Ownership stake	Gross[1]	Net[2]
	Kc billion			Per cent	Kc billion	
Loan hospitals[3]						
Konsolidacni banka	71	10	61	100	71	61
Ceska financni	25	2	23	100	25	23
Ceska inkasni	27	20	7	100	27	7
Sub-Total	123	32	91		123	91
Commercial banks						
Komercni banka[4]	67	19	48	49	33	24
Ceska sporitelna[5]	30	–	–	45	14	–
CSOB[6]	11	11	0	65	7	0
Sub-Total	108	30	48		54	24
Grand Total	231	62	169		181	115
Per cent of GDP					11	7

1. Bad loans times the government's ownership stake divided by 100.
2. Bad loans net of provisions times the government's ownership stake divided by 100.
3. All outstanding loans of the ''loan hospitals'' are assumed to be sub-standard.
4. Data are for 1997 Q1.
5. Data are for 1996 and are estimates based on the average share of bad loans in the banking sector.
6. Data are for 1996 but exclude loans made by the CSOB to the Slovak collection company.

Source: OECD (1996*a*), Ministry of Finance and Company reports for commercial banks.

The financial situation of this company is difficult to assess since it has to be evaluated together with that of its sister institution in the Slovak Republic *(Slovenska inkasni)*; however, by the beginning of 1997 about Kc 27 billion of non-performing loans were on the books of *Ceska inkasni*. The total of these banking-sector gross liabilities represents Kc 123 billion or 7.5 per cent of GDP, which if realised would increase the national debt by one-third, raising it to

21 per cent of GDP. The CNB also has bad loans in its portfolio, mostly originating from the small bank consolidation programme and from claims on the National Bank of Slovakia. Overall, at the beginning of 1998, the CNB's gross bad loans amounted to Kc 59 billion (3.5 per cent of GDP) and are partially offset by provisions of Kc 35 billion.

The government's ownership position in the three large banks also represents a potential liability, although here the range of uncertainty is larger. Already, in 1998, the purchaser of *Investicni a Postovni banka* (IPB) insisted that the government assume Kc 17 billion of IPB's outstanding loans[11] as a precondition of its sale. Similar conditions might be imposed by the purchasers of the other three banks. Thus, if, as a worst case scenario, the government was obliged to assure the totality of these bad loans, the potential additional fiscal burden would amount to 11 per cent of GDP, raising the upper estimate of total national debt to 25 per cent. Of course, these liabilities would, to a certain extent, be offset by provisions and by the asset value of these banks, although on the basis of the IPB sale, the banks are likely to sell at a considerable discount from their book value.

In addition to liabilities stemming from the banking sector, there is mounting concern that those of the National Property Fund (NPF) may exceed the market value of its remaining assets. In the past, the assets of the NPF have been implicitly pledged as surety for bond issues, many of which were transferred to banks in order to help them cope with their old non-performing loans. In addition, the NPF is still used as a source of financing by the government.[12] At the same time, however, because privatisation is almost complete, the NPF has fewer and fewer assets, the saleability of which is increasingly dubious, and it may well not be able to honour past obligations let alone future ones. Increasingly, the management of the NPF has argued that it is not in a position to take on any more liabilities and, in January 1998, when the government transferred an additional Kc 5 billion to *Ceska financni*, the NPF declared that it did not have the money and that it would need to borrow it,[13] thus adding to its debt and, ultimately, the state debt. Furthermore, a number of the enterprises that remain in state hands are performing very poorly, especially the railways, and require continuous state assistance including loan guarantees which may generate even greater demands on the fiscal purse.

Finally, the deteriorating financial situation of local authorities poses another medium-term risk to the fiscal balance, and a new law regulating their borrowing is expected to be discussed by Parliament this year. Although local governments must apply to the Ministry of Finance before issuing municipal bonds, they are free to take on bank loans and, for the moment, the Ministry is sorting out the total value of those still outstanding, implying that its estimates of the general government debt is understated by this amount. It does, however, include outstanding non-bank debt of local authorities of Kc 30 billion at the end of 1997, or 2 per cent of GDP, which, although relatively small, may prove burdensome as the formula for revenue sharing between central and local governments was changed in 1996 to the detriment of the latter.[14]

The government has pledged itself to rationalise the activities of the various bad loan institutions and to improve its governance over municipal borrowing. At the same time, its recent efforts to clarify its debt position and its stated desire to make its public finances as transparent as possible by taking stock of these hidden liabilities and their potential impact on its own accounts are welcome initiatives, which should contribute to better management. The wide range of off-budget funds, and the ease with which money has transferred between them, has always made the evaluation of the government's true fiscal position difficult – for outside observers, but also for the domestic authorities.

III. Pursuing the transition effort

As acknowledged by the government, the loss of competitiveness and poor export performance that underlay the May 1997 currency crisis were the result of a fundamental failure to restructure on the part of Czech firms. This chapter begins by discussing the history of privatisation and its relationship to productivity and enterprise performance. It then explains how the resulting ownership structures impeded efficient corporate governance and restructuring. It also explores the additional role played by a faulty bankruptcy law and the banking sector's own poor financial condition and how these factors prevented them from enforcing a hard budget constraint, thereby allowing firms to survive without taking fundamental steps to improve profitability. Finally the chapter describes how the access of healthy firms to new capital was limited by disjunctions in the capital market, as apparently fraudulent activities contributed to a loss of investor confidence. The chapter concludes by evaluating a number of recent government initiatives which seek to remedy these problems and indicates where additional measures might be required.

Privatisation and the resulting ownership structure

Rapid sale of nationalised firms

Both the pace and the extent of privatisation in the Czech Republic look impressive. In the mid-1980s, Czechoslovak state-owned enterprises and co-operatives accounted for 97 per cent of the national material product, a share that was even higher than in the Soviet Union (Milanovic, 1989). Voucher privatisation was the predominant method for privatising incorporated companies while auctions were used for the so-called small-scale privatisation. The widely distributed share-holdings which arose from this process were concentrated in over

Box 6. **Privatisation in the Czech Republic**

The Czechoslovak and, after the split of the country, the Czech governments sought to transfer the ownership of state assets as rapidly as possible, using three techniques: restitution, small-scale and large-scale privatisation. *Restitution* involved, when possible, the return of property confiscated by the communist regime to the original owners, or their offspring. In all, some 100 000 units were returned (Mladek, 1996), approximately 20 000 retail businesses and the rest pieces of real estate. The *small-scale privatisation* programme, which was largely completed by the end of 1993, dealt mainly with the sale, through auctions, of shops and restaurants. It generated revenues of about Kc 33 billion, or 3.5 per cent of 1993 GDP.

Large-scale privatisation was the principal method employed and involved the submission of a privatisation project to the ''owner'' of the company (usually the relevant branch ministry) for review and verification (Buchtikova, 1996, Mejstrik, 1996 and 1997). Projects were subsequently put before the Ministry of Privatisation for final approval and then transmitted to the NPF for implementation. The law allowed for the privatisation of unincorporated companies through public tender, through auction and direct sales to domestic or foreign buyers (in which case the approval of the Ministry of Privatisation as well as of the government was required). For incorporated companies, the same methods were available and complemented by: employee buyouts, restitution, free transfer of shares to municipalities or health and retirement funds, and the exchange of shares for vouchers. In some cases, a portion of the shares could be earmarked for temporary or ''permanent'' holding by the NPF.

About half of incorporated companies (in value terms) were privatised through vouchers (Table 12). Two waves of voucher privatisation took place, the first in 1992, the second in 1994. In each case all citizens over 18 were eligible to purchase one voucher booklet containing 1 000 points, which could then be used to bid on firms to be privatised or exchanged for shares in investment privatisation funds (IPF). The government saw such funds as an essential mechanism to prevent management from exercising too much power and to ensure, despite the dispersion of shareholdings, that the new owners would play an active role in the restructuring of enterprises. Over 400 IPFs were registered in the first wave alone and the competition for voucher points was fierce. About 6 million out of 7.6 million eligible citizens bought voucher booklets in each wave of privatisation and the vast majority of them exchanged their points for shares in IPFs: 71 per cent of total points ended up being held by IPFs in the first wave and 64 per cent in the second.

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1. A September 1991 federal decree specified four requirements for the establishment of an IPF: a license from the Federal Ministry of Finance; minimum capital; professional qualifications of a supervisory board; and a deposit contract with a bank. The decree was further amended depending on the problems that arose with IPFs (see Desai, 1996, p. 468).

2. Television commercial promising to pay Kc 10 000 for a Kc 1 000 voucher booklet after one year were common during this period.

Table 9. **Revenue from privatisation**

Sector	Total revenue (kc billion)	Per cent of total
Small-scale privatisation		
Shops	16	48.5
Restaurants	3	9.1
Services	6	18.2
Others	8	24.2
Total	**33**	**100.0**
Large-scale privatisation[1]		
a. Non-incorporated companies	**111**	**18.9**
Auction sale	7	1.2
Tender	18	3.1
Direct sale	53	9.0
Free transfer of property	29	4.9
Restitution	4	0.7
b. Incorporated companies	**476**	**81.1**
Vouchers	343	58.4
Public offers and tenders	18	3.1
Direct sale	29	4.9
Domestic buyers	16	2.7
Foreign buyers	13	2.2
Unpaid transfers to municipalities	50	8.5
Restitution Investment Fund	20	3.4
Other[2]	16	2.7
Total of large-scale privatisation	**587**	**100.0**
Shares owned by the NPF	230	
of which: Strategic companies	176	

1. Stock of nominal value as of 31 December 1995.
2. Mostly, transfer of shares to the Agricultural Fund.
Source: Mladek (1996), Mejstrik (1997).

400 Investment privatisation funds (IPFs) (see Box 6). Overall, about Kc 600 billion worth of assets, corresponding to 50 per cent of 1995 GDP, were privatised (Table 9). With more than 70 per cent of Czech GDP estimated to originate in the private sector, in mid-1996 the Ministry of Privatisation was abolished and the National Property Fund (NPF) and the Ministry of Finance were entrusted with the ''finishing touches''. Those enterprises that could not find a buyer and 56 so-called strategic enterprises (mostly utilities, the four big banks, steelmakers and others) continued to be owned by the NPF and, in 1997, the Ministry of Finance was made responsible for completing the privatisation of the remaining strategic enterprises (Table 10). The NPF's residual stakes in about 600 companies were worth an estimated Kc 37 billion,[15] or about 2 per cent of GDP in mid-1997.

Table 10. **Equity participation of the National Property Fund in strategic companies**[1]

Company	State's share in per cent
Aero Holding, a.s.	61.8
Chemické závody Sokolov, a.s.	73.7
Investicni a postovni banka, a.s.[2]	31.5
Jan Brecher-KV Becherovka, a.s.	94.0
Jihomoravská energetika, a.s.	46.7
Jihomoravská plynárenská, a.s.	47.7
Jihoceská energetika, a.s.	48.2
Jihoceská plynárenská, a.s.	46.7
Komercni banka, a.s.	48.7
Merocr, a.s.	100.0
Mostecká uhelná spoleènost, a.s.	46.3
NOVÁ HUT, a.s.	67.3
OKD, a.s.	45.9
Paramo, a.s.	70.9
Plzeòský Prazdroj, a.s.	17.1
Pratská energetika, a.s.	48.2
Pratská plynárenská, a.s.	49.2
Sevac, a.s.	78.9
Spt Telecom, a.s.	51.8
Severomoravská plynárenská, a.s.	47.2
Severomoravská energetika, a.s.	47.3
Severoèeské doly, a.s.	54.0
Severoèeské energetika, a.s.	48.0
Severoèeské plynárenská, a.s.	49.2
Sokolovská uhelná, a.s.	48.7
Stredoèeská energetika, a.s.	59.1
Stredoèeská plynárenská, a.s.	48.6
Unipetrol, a.s.	63.0
Vítkovice, a.s.	67.3
Válcovny plechu, a.s.	53.4
Východoèeská energetika, a.s.	48.1
Východoèeská plynárenská, a.s.	47.1
Západoèeská energetika, a.s.	48.4
Západoèeská plynárenská, a.s.	45.9
Cez, a.s.	67.6
Cpr, a.s.	100.0
Csob, a.s.	19.6
Ceskoslovenské aerolinie, a.s.	56.9
Ceská pojištovna, a.s.	30.3
Ceská sporitelna, a.s.	45.0
Škoda praha, a.s.	54.8

1. Data are for 30 November 1997.
2. *Investicni a postovni banka* a.s. was fully privatised in March 1998.

Source: National Property Fund.

Dispersed shareholdings

The privatisation process resulted in a complicated ownership framework with, in some instances, unclear corporate governance structures (see Mejstrik 1996, for example). Indeed, although the IPFs succeeded in reducing the extent of the dispersion of ownership, the overall ownership structure remains very fragmented. IPFs were prohibited from holding more than 20 per cent of any given firm's shares. However, because of the dispersion of ownership, this limit did not prevent IPFs from gaining controlling stakes in companies. Although they did compete for acquiring stakes in the most profitable enterprises, the stock of such firms was limited and the IPFs ended up with a wide range of small participations in less promising firms. As a result, currently three quarters of their assets consist of participations representing less than 5 per cent of firms' outstanding shares (Table 11). Although some funds converted themselves into holding companies in order to exceed the 20 per cent ownership cap, ownership consolidation remains an unfinished task. Recent proposed legislative changes virtually preclude further consolidation in this manner; the limit on IPF's partici-

Table 11. **Average composition of IPF portfolios**

	At the end of voucher privatisation	July 1996
By size of ownership stake		
More than 50 per cent	*	0.4
20 to 50 per cent	*	1.7
15 to 20 per cent	7.6	8.0
10 to 15 per cent	10.5	6.1
5 to 10 per cent	17.0	9.2
0 to 5 per cent	64.9	74.7
By instrument		
Shares of privatised companies	99.4	69
Money market instruments		12
Other shares		3
Bonds		5
Private		3
State		2
Other instruments	0.6	11

* The law prohibited IPFs from holding more than 20 per cent, of any one firm. However, some IPFs were converted into holding companies, thereby circumventing this limit.

Source: Crédit commercial de France (1997).

pations was lowered to 11 per cent and their transformation into holding companies now requires the approval of three quarters of their shareholders.

The corporate control structure that emerged from the privatisation process is further complicated because most of the largest IPFs are operated by management companies that are owned by the major domestic banks[16] in which the state has a controlling (and in some cases majority) stake through the NPF (Mertlik, 1997). Although ownership of the IPFs remains with their shareholders, the banks exercise a strong influence on their management (OECD, 1996*a*). Thus, the existing ownership and control structure mix, somewhat arbitrarily, many of the characteristics of the so-called ''Anglo-Saxon'' model (diffuse joint-stock ownership), the German model (a central role for the banking system as institutional investor) and ''state capitalism'' model (the state as principal shareholder).

Enterprise restructuring and the role of the financial sector

The economic goal of the transition was to replace the inefficient management of the economy with one where market forces assured an efficient allocation of resources and a rapid and sustainable growth in living standards. Privatisation, together with price liberalisation, free domestic and foreign trade and the enforcement of a hard budget constraint, are essential to the process of creating a set of incentives that favour enterprise restructuring and economic efficiency. Macroeconomic data suggest that, although some individual firms may have succeeded in restructuring, the economy as a whole has not been as successful as some of its neighbours. In their May 1997 declaration following the currency crisis, the leaders of the then-ruling coalition stated that poor corporate governance, a lack of transparency in capital markets, excessive wage growth and the failure to privatise the banking sector were among the underlying factors behind the Spring 1997 currency crisis. This section examines some of the evidence underlying this assessment and attempts to determine the best path for policy in the period ahead.

Poor aggregate productivity performance

The clearest indication of the unsustainability of the growth in living standards and the lack of effective enterprise restructuring over the past several years was the disappointing growth in productivity and the wide discrepancy in real-

wage developments. On average in the 1994-97 period, economy-wide productivity growth in the Czech Republic lagged that in Poland by a wide margin and was worse than in Hungary (Table 12), despite the fact that this latter country undertook a severe stabilisation programme in 1995 and 1996. Very rapid wage growth in the Czech Republic magnified this disadvantage as real unit labour costs grew rapidly while they were, on average, falling or stable in Poland and in Hungary. Although the large devaluation in 1990 provided a cushion by which an absolute competitive advantage was created, that advantage was being constantly eroded and had disappeared already by 1993-94.[17] As a result, goods exports, in dollar terms, stopped growing in the spring of 1996 and stagnated until the currency crisis, while imports kept increasing, although at a declining pace. The Czech Republic lost manufacturing market share throughout this period, both absolutely (exports were flat while EU imports were growing) but especially relative to Hungary and Poland whose exports to the same markets expanded very rapidly (Table 12).

Table 12. **Competitiveness and export performance**

Annual percentage change

	1994	1995	1996	1997	Average[1]
Labour productivity growth					
Czech Republic	1.9	4.4	2.7	1.7	2.7
Hungary	5.0	3.4	1.8	3.9	3.5
Poland	6.8	6.1	4.9	5.4	5.8
Change in real unit labour costs in the business sector[2]					
Czech Republic	11.2	9.8	8.0	5.3	8.6
Hungary	0.2	–14.6	–5.5	–5.0	–6.2
Poland	–3.2	–4.3	6.9	2.1	0.4
Export market growth (manufactures)					
Czech Republic	8.9	12.0	7.4	8.2	9.1
Hungary	. .	9.6	6.4	8.6	8.2
Poland	. .	13.0	4.9	8.9	8.9
Export performance (manufactures)[3]					
Czech Republic	–5.1	–4.3	–0.9	5.3	–1.3
Hungary	n.a.	–6.1	0.9	23.0	5.9
Poland	n.a.	7.4	7.0	–0.2	4.7

1. Simple arithmetic average.
2. PPI-deflated.
3. The difference between the rate of growth of Czech exports of manufactured goods and the imports of its export markets.

Source: OECD.

Insufficient restructuring

It is difficult to evaluate the extent of aggregate enterprise performance in any country, since new investments and new technologies take time to yield improvements in output and data coverage is often incomplete. In the case of the Czech Republic this analysis is especially difficult since economic transition involves massive re-allocation of resources and requires sizeable initial investments to upgrade existing plants and to seize new profit opportunities. Nevertheless, it is clear that the slow rise in productivity was not a consequence of a lack of investment, which grew rapidly throughout the period and represented fully 33 per cent of GDP in 1996. The problem is that, despite their high volume, these investments appear to have yielded relatively little in terms of additional output (Table 13). The average incremental capital-output ratio for the period 1993-1997 for the entire economy was about three times worse than in Hungary and

Table 13. **Productive investment**

	Czech Republic	Poland	Hungary
Total investments (growth rate)[1]			
1994	17.3	9.2	12.5
1995	21.0	16.9	–4.3
1996	8.7	20.6	6.3
1997	–4.9	21.9	9.6
Incremental capital-output ratio[2] **(nominal data)**			
1994	1.43	0.78	0.45
1995	2.21	0.87	0.63
1996	2.75	0.92	0.90
1997	2.76	n.a.	n.a.
Average	2.29	0.85	0.60
Memorandum item:			
Investment as a share of GDP	0.33	0.23	0.26
Foreign Direct Investment (net, US$ billion)			
1993	0.65	0.60	2.34
1994	0.87	0.54	1.15
1995	2.56	1.13	4.45
1996	1.40	2.74	1.79
1997	1.28	3.04	1.65
Average	1.35	1.61	2.28

1. Gross fixed investment, real growth rate, year on year.
2. The incremental capital output ratio (ICOR) was computed as follows:
   $ICOR_t = Investment_{t-1}/[GDP_t - GDP_{t-1}]$

Source: OECD.

Table 14. **Balance sheet of non-financial enterprises**

	In current prices (Kc billion)			In constant prices[1] (Kc billion 1994 Korony)		
	1994	1995	1996	1994	1995	1996
Sales[2]	1 927	2 149	2 328	1 927	1 997	2 064
Operating costs	1 801	1988	2 187	1 801	1 848	1 939
of which:						
Intermediate consumption[3]	1 440	1 584	1 729	1 440	1 472	1 533
Depreciation	100	110	124	100	102	110
Wages	193	218	248	193	203	220
Social security charges	67	76	87	67	71	77
Other revenue	242	337	345	242	313	305
Other costs	273	393	420	273	365	373
Total profits (before tax)	96	104	65	96	96	58
Operating profits[4]	127	160	141	127	149	125
Net acquisition of fixed assets	151	216	249	151	201	221
Change in stocks	–31	17	14	–31	16	12
	As a percentage of sales[2]					
Intermediate consumption[3]	74.7	73.7	74.2			
Wages	10.0	10.2	10.6			
Other revenues	12.6	15.7	14.8			
Other costs	14.2	16.2	18.0			
Total profits	5.0	4.8	2.8			
Operating profits[4]	6.6	7.5	6.1			
Net acquisition of fixed assets	7.8	10.0	10.7			
	Percentage change					
Sales[2]		11.5	8.4		3.6	3.4
Operating costs		10.0	9.2		2.2	4.1
of which: Wages		13.2	13.4		5.2	8.2
Other revenue		39.2	2.4		29.3	–2.3
Other costs		44.0	6.9		33.7	2.2
Total profits		8.2	–37.2		0.6	–40.1
Operating profits[4]		26.6	–12.1		17.6	–16.1
Net acquisition of fixed assets		42.8	15.3		32.7	10.0
Producer Price Index				100	107.6	112.8

1. PPI-deflated.
2. Includes the gross sales of non-financial enterprises plus the change in their stocks of own production and changes in the value of any capital machinery manufactured and installed for own use.
3. Includes ''goods re-sold'' (goods which are resold without having been physically transformed).
4. Defined as sales minus operating costs.

Source: CSO.

Poland. The relatively low levels of foreign direct investment (FDI) that the Czech Republic was able to attract over this period[18] and their concentration in few, large, projects may partly explain this.[19]

Although Czech accounting practices are somewhat different from those of other OECD countries,[20] available enterprise data, which refer to firms with more than 100 employees in industry, trade hotels and restaurants and to firms with more than 25 employees in the other sectors, show that the performance of large firms deteriorated markedly in 1996 (Table 14). Estimated operating profits declined despite strong investments (acquisition of fixed assets) carried out in the previous year. Other expenditures, mainly interest payments, are the fastest growing component of costs.[21]

Lack of financial discipline

Relatively easy access to bank credits for some firms may help explain the poor aggregate productivity performance of Czech firms. Since the beginning of the transition, banks have tended to roll over the outstanding loans of troubled firms rather than take legal action such as bankruptcy in order to force repayment. As a result, companies have been able to avoid substantial restructuring[22] and banks' classified credits grew to 16.4 per cent of GDP. Furthermore, inter-enterprise credits are also large (15 per cent of GDP) and have not been falling, while there has been a substantial accumulation of tax arrears.[23]

Deficiencies in the Czech bankruptcy law partly explain the inability or unwillingness of banks, and other creditors, to foreclose on or, at least, to refuse additional credits to failing debtors. The current law does not allow for ''workout'' bankruptcies, although it was recently amended to speed-up standard procedures. Recent changes to the law, which were approved in early January 1998, allow judges to render decisions immediately without going through the entire procedure under the Civil Process Law. Insolvent companies and individuals are now required to file for bankruptcy without delay and firms must be liquidated within 18 months of an order being given or heavy fines will be imposed. The amendment also widened and made more precise the definition of insolvency.[24] These changes should go a long way to streamlining the bankruptcy process and improving creditors' capacity to lay claim on non-performing assets. Up until now, in comparison with other transition countries, banks and other

Table 15. **Bankruptcies**

	1990	1991	1992	1993	1994	1995	1996
Czech Republic							
Number of bankruptcies filed	–	–	350	1 098	1 816	2 393	2 990
Number of bankruptcies completed	–	–	5	61	290	482	725
Reorganisations	–	–	0	1	2	2	6
Liquidations	–	–	5	60	288	480	719
Hungary							
Number of bankruptcies filed	–	–	14 060	8 229	5 900	6 461	7 477
Reorganisations	–	–	4 169	987	189	145	80
Liquidations	–	–	9 891	7 242	5 711	6 316	7 397
Number of bankruptcies completed	–	–	1 302	1 650	1 241	2 276	3 007
Reorganisations	–	–	740	510	90	21	9
Liquidations	–	–	562	1 140	1 151	2 255	2 998
Poland							
Number of bankruptcies filed	151	1 327	4 349	5 936	4 825	3 531	3 118
Reorganisations	2	76	688	665	596	465	375
Liquidations	149	1 251	3 661	5 271	4 229	3 066	2 743
Number of bankruptcies completed	29	305	910	1 048	1 030	1 030	984
Reorganisations	1	8	98	179	235	287	173
Liquidations	28	297	812	869	795	743	811

Source: EBRD (1997).

Table 16. **Credit allocation and enterprise performance**

Industry	New bank credit[1]	Rate of return of capital	Change in labour productivity
Iron and Steel	0.41	1.09	–0.4
Refining	0.41	7.30	24.6
Chemicals	0.49	7.50	8.2
Electrical material	0.40	0.46	4.4
Paper and pulp	0.52	4.56	29.9
Wood products	0.59	–1.71	–25.0
Machinery	0.49	–1.44	–16.9
Textiles	0.55	1.94	–7.6

1. Ratio of new bank credit to total equity.
Source: Desai (1996).

Table 17. **Banks: main indicators**

	End 1994	End 1995	End 1996	End 1997
	Kc billion			
Total bank assets	1 449.3	1 814.9	2 008.9	2 333.3
Total bank credits	785.8	897.2	1 013.2	1 148.0
Total reserves and provisions	87.3	104.8	117.2	129.6
Bank profits	6.4	8.1	–11.2	–6.5
Without *Konsolidacni banka* and banks under conservatorship	6.4	9.7	6.6	6.9
	Per cent			
Composition of banks' assets				
Total credits	52.9	45.8	46.2	44.9
Short-term securities	5.1	8.6	5.6	5.7
Securities in stock	6.0	8.1	8.6	4.4
Property participations	1.1	1.2	1.1	1.4
Other assets	34.9	36.3	38.6	43.6
Distribution of credits by quality				
Standard[1]	64.0	65.7	67.1	66.6
Qualified				
Watch[2]	7.8	6.6	6.3	6.1
Sub-standard[3]	5.0	4.4	3.2	2.7
Doubtful[4]	6.5	4.1	4.1	3.4
Loss[5]	16.7	19.1	19.3	21.3
Distribution of credits by maturity				
Short-term	39.9	40.8	42.7	41.8
Medium-term	29.6	28.2	25.1	23.8
Long-term	30.6	31.0	32.2	34.4
Memorandum items:				
Total loans/assets (per cent)	54.2	49.4	50.4	49.2
Total reserves and provisions/total assets (per cent)	6.0	5.8	5.8	5.6
Total reserves and provisions/qualified loans (per cent)	30.8	34.1	35.2	33.9
Loss loans/qualified loans (per cent)	46.3	55.7	58.5	63.7
Without *Konsolidacni banka* and banks under conservatorship	36.9	51.2	55.5	55.9

1. a) Payments of principal, interest or fees paid on time or overdue for less than 31 days.
   b) The bank has sufficient information on the financial and income position of the debtor within 30 days of the date it should have been presented to the bank.
   c) None of the debtor's claims, because of a difficult financial and income position, have been restructured during the last three days.
2. a) Payments of principal, interests or fees are overdue for more than 30 but less than 91 days.
   b) The bank has lacked sufficient information on the financial and income position of the debtor for more than 30 but less than 91 days since the date it should have been presented to the bank.
   c) The bank, because of the debtor's financial and income position, changed the payment schedule more than six months ago. *Reserve ratio:* 1 per cent.
3. a) Payments of principal, interest or fees are overdue for more than 90 but less than 181 days.
   b) The bank has lacked sufficient information on the financial and income position of the debtor for more than 90 but less than 181 days since the date it should have been presented to the bank.
   c) The bank, because of the debtor's financial and income position, changed the payment schedule less than six months ago. *Reserve ratio:* 5 per cent.
4. a) Payments of principal, interest or fees are overdue for more than 180 but less than 361 days.
   b) The bank has lacked sufficient information on the financial and income position of the debtor for more than 180 but less than 361 days since the date it should have been presented to the bank, or the information indicates that full repayment of the credit within its maturity is highly improbable. *Reserve ratio:* 10 per cent.
5. a) Payments or principal, interest or fees are overdue for 361 days or more.
   b) The bank has lacked sufficient information on the financial and income position of the debtor for 361 days or more since the date it should have been presented to the bank, or the information indicates that full repayment of the credit within its maturity is impossible. *Reserve ratio:* 20 per cent.
   c) In the case of the debtor being under bankruptcy or settlement procedures, the bank records the claim as a loss.

Source: Czech National Bank.

creditors have acted very slowly in initiating bankruptcy procedures (Table 15). Although the old rules probably contributed to the inaction of banks, problems with their balance sheets may have made them hesitant to foreclose on bad loans.

There is further evidence that banks may have become more captive of old debtors. For example, in 1995, banks changed the maturity of their loans to unprofitable companies to the advantage of the latter: long-term credits to such enterprises grew by 28 per cent and short-term credits decreased by 26 per cent (Buchtikova-Capek, 1997). Similarly, interviews with bankers suggest that, in some cases, domestic banks have been cross-subsidising these loss-making loans by charging above-market interest rates to healthier firms in which they, or their IPFs, have a controlling stake.[25] The need of domestic banks' to cover costs associated with bad debts may explain why they were crowded out of the ''blue chip'' market segment, which is better able to access foreign banks and non-bank sources of capital (OECD, 1996*a*, p. 60) (Table 16).

The authorities are aware of the seriousness of the bad-loan problem (Table 17), but so far, the government has avoided taking decisive action. In 1991, it established *Konsolidacni banka*, which took on Kc 110 billion of the Kc 169 billion of so-called ''inventory revolving credits'' (OECD, 1996). Between 1991 and 1996 various other measures were taken, mainly to provide resources to this new institution. In 1996, following the failure of two banks and the forced administration of a third, *Ceska financni* was established in an effort to shore up the smaller banks. Under this programme small banks were allowed to transfer a portion of their bad loans to *Ceska Financni* with the understanding that these loans would be repurchased in seven years time. Unfortunately, neither of these clean-up programmes addressed the full extent of the problem and they may have contributed to it by creating the expectation of further bail-outs, a feeling made all the stronger by the state's controlling stake in, at that time, the four largest banks.[26]

The passive role of shareholders

The banking sector is, of course, not the sole source of financing available to firms. Equity and bond markets also have an important role to play, all the more so in a country like the Czech Republic, where, because of voucher privatisation, such a large share of output is produced by listed companies. An active and efficient capital market can convey accurate information about firm value and can

Box 7. **Stock markets in the Czech Republic**

In the Czech Republic there are three markets where shares are actively exchanged: the Prague Stock Exchange (PSE), the RM-System (RMS), and the over-the-counter (OTC) market. The PSE is broadly similar to any other stock exchange; the RMS is a network of trading ''shops'' where investors, be they ''institutional'' or individual, can go and place their orders. The transaction is completed when a counterpart is found in the same trading system only. OTC trades are made directly between individuals or firms. There is no intervening market mechanism and the terms of deals are private. Although not an obligation, a trade completed in the OTC market must be registered at the Security Center (SCP) of the Ministry of Finance for the transfer of ownership to be legally recognised. It is compulsory to register the trade if more than 10 per cent of a given company changes hands, although an individual could amass more than 10 per cent through several deals without being obliged to register. The price of a registered transaction is declared by the parties involved in the trade and can diverge considerably from the prices prevailing in the other two markets. Given this flexibility on disclosure requirements, the bulk of trading (around 60 per cent) used to take place in the OTC market and then be registered at the SCP. More recently, following changes in the fees charged by the SCP, the OTC's share in all trading has dropped to 15 per cent.

Trading on the PSE*, RMS*, and SCP*

Total by type of security and by market		PSE	RMS	SCP	Total Kc billion
Volumes					
1995	Per cent	38.2	4.9	56.9	512.3
2. Q 97	Per cent	52.4	5.4	42.2	351.1
Turnover in the 2. Quarter of 1997					
Shares	Per cent of volume	46.7	14.2	39.1	116.5
Trust units	Per cent of volume	19.3	21.3	59.5	3.3
Bonds	Per cent of volume	11.2	1.3	87.5	115.1

Characteristics of particular trading groups (February 1997)

Types of stocks*	Tier 1		Tier 2	Tier 3		On RMS only[2]
	A1	A2	B2	C2	C3	
Number of stocks	8	37	52	564	1 030	399
Average daily volume of trade on PSE[1]	61 144	37 267	17 501	49 554	1 392	–
Average daily volume of trade on RMS[1]	9 415	11 176	4 468	17 947	1 003	4 264
Per cent of market capital on PSE	44.57	29.25	10.46	13.68	2.04	–
Per cent of market capital on RMS	43.30	28.31	10.11	13.27	2.09	2.92

1. All figures are in thousands of koruna.
2. A group of stocks not traded on the PSE.

* PSE: Prague Stock Exchange; RMS: RM-System; SCP: Security Center of the Ministry of Finance.

Source: Tuma *et al.* (1997).

serve to channel domestic and international savings to their most productive uses. In addition, through the appropriate monitoring of managerial decisions it can help to ensure the efficient (profit maximising) behaviour of firms. The paragraphs below first describe Czech financial markets and the extent to which share prices accurately reflect firm value and then discuss the extent to which managers act to maximise shareholders' wealth through profit maximisation.

Stock trading occurs in three separate markets in the Czech Republic, (see Box 7), and activity among them is fragmented. Czech financial markets have come under heavy criticism in recent years because of lack of transparency, poor protection of minority shareholder rights, rampant insider-trading, so-called 'tunnelling' and a generally lax regulatory environment (Box 8).[27] The information content of quoted prices is uncertain as those of even highly liquid shares differ substantially across markets, leading to low investor confidence. Registered prices of over the counter (OTC) trades frequently vary widely from those on the other two markets, both for tax and non-market reasons (including outright fraud). Although arbitrage opportunities should prevent prices in the Prague Stock Exchange (PSE) and the RM-System (RMS) from diverging significantly, the segmentation of the two markets frequently results in different prices being quoted for the same share. PSE trading is mostly done by institutional investors and is concentrated in liquid stocks. Tier one stocks, those whose volume per session exceeds Kc 300 000, face quarterly reporting requirements and represent over 70 per cent of market capitalisation but only 2.7 per cent of issues. Tier two stocks (issues with lower volumes and market capitalisation in excess of Kc 100 million for public offers and Kc 250 million for trusts) must report only semi-annually, while the rest, Tier three firms, which represent 15 per cent of capital and 94 per cent of issues, need only issue annual reports. Activity on the RMS focuses on less liquid stocks and individual trades. Prices of liquid stocks on the PSE tend to lead those on the RMS and vice versa for illiquid stocks (Tuma *et al.*, 1997). Revealingly, tests of market efficiency using the PX-50 (the index comprising the 50 most liquid and actively traded stocks[28] (see Box 7), show that the PSE is more efficient (in technical terms) than stock exchanges of neighbouring countries (Tuma *et al.*, 1997).

The situation in the OTC market is more opaque (see Box 7) and the poor reputation of Czech financial markets derives mainly from OTC deals involving illiquid stocks which represent the majority of issues, but the minority of market

Box 8. **Market practices and minority-shareholder rights**

Market fragmentation and lack of regulation encourages behaviour that in other countries is considered fraudulent. Some examples of the most common techniques employed to the detriment of minority shareholders are the following:

- **Tunnelling.** This is probably the most common practice to defraud minority shareholders. It consists of holding a sudden general meeting of shareholders, in which the shareholder who convened the meeting has the voting majority, although she may or may not have a majority stake in the company. In the absence of most shareholders, the assembly approves the purchase or sale of some assets that will result in a personal gain for this shareholder and the transaction is then carried out by the Board of Directors. No (minority) shareholder can hold the Board of Directors responsible for damaging the company since the operation was approved by the assembly of shareholders. In other OECD countries such practices are illegal because of the existence of ''due care'' clauses for members of the Board of Directors.
- **Long settlement period.** The management company of an IPF sells assets owned by the investment fund to another company and sets a long settlement period. In some cases this period was fixed at several years or consisted of instalments over a period of 30 years. The company which purchases the assets liquidates them, and distributes the proceeds to its managers/owners (including the original IPF management) and then declares bankruptcy and defaults on its delayed payment.
- **Fines.** They are agreed upon by two contracting parties in a security transaction, if some clauses are not met. Typically one of the contracting individuals has a controlling stake in the firm that is liable to the fine and a 100 per cent position in the other company. The transaction is conducted, the condition violated and fine is paid, to the benefit of the controlling shareholder.
- **Continuous transfer of shares** among different investors. A stock starts its ''journey'' among IPFs at a certain price and, after a while, comes back to the first investor at a much higher price. In this way IPFs can inflate their asset prices, the IPF manager sells his own shares at the inflated price and then allows the share price to fall to the market level.

capitalisation.[29] The apparent efficiency and self-regulation of the most liquid stocks on the PSE suggests that the initial faith of the authorities in the eventual capacity of capital markets to regulate themselves was not without foundation. However, the limited extent to which voluntary transparency and self-regulation can be observed has negatively affected the relative performance of the PSE. Recent decisions to reduce the number of listed companies, and to increase regulation and reporting requirements, are therefore appropriate.

The second critical role of financial markets is to ensure that firm management maximises shareholder value. In cases like the Czech Republic, where share ownership is widely dispersed – even following IPF-brokered consolidation of participations – the problem can be particularly difficult. Aligning managerial interests with those of shareholders is typically achieved via the shareholders' capacity to dismiss management (managerial accountability). Unfortunately, in the case of the Czech Republic many of the most serious abuses of minority shareholders have involved management teams with controlling interests (see Box 8). Although not all of these activities are illegal under Czech law, they are perhaps among the most important reasons for the poor reputation of the Czech financial market internationally.

Contrary to the government's initial expectations, the Czech equivalent to mutual funds, the IPFs, have not provided an effective supervision of management – a failure which may well be due to the previously-described link between banks and the largest IPFs and to the legally-imposed 20 per cent limit on IPFs' shareholdings. Empirically, the participation of IPFs in the ownership of a firm has no impact on its profitability (there is no difference between the average return on equity (ROE) of firms with IPF minority participations and those where a majority of shares were held by IPFs, Table 18). IPFs' managers do not see

Table 18. **Average return on equity by ownership structure**

	Per cent of shares owned by Investment Privatisation Funds					Average return	Number of firms
	0-10	10-34	35-50	51-65	66-100		
Per cent of shares owned by State:							
0-10	–11.7	–4.9	0.8	–8.0	–11.8	–8.5	1 168
11-34	–0.2	0.5	2.7	0.0		0.6	25
35-50	–13.3	–1.4	–15.1			–10.7	38
51-65	–0.2	4.8				0.9	22
66-100	–2.2					–2.2	23
Average return	**–11.1**	**–4.6**	**0.6**	**–8.0**	**–11.8**		
Number of firms	783	295	112	56	31		
Standard deviation	172.3	36	21.9	42.9	34.9		
Minimum	–3 414.2	–505.5	–152.3	–219.6	–123.9		
Maximum	548.2	21.7	124.5	16.7	40.0		

Source: Tuma *et al.* (1997).

monitoring enterprise performance and actions to maximise firm profitability as important goals. Rather, they focus on OTC trading and, less importantly, on portfolio diversification. They see enterprise restructuring as the responsibility of strategic investors.[30] Indeed, this is entirely consistent with Capek and Mertlik's (1996) finding for the Czech Republic that managerial incentives in widely held firms are poorly aligned with shareholder interests and that ownership supervision is inefficient. It also accords with the results in Pohl *et al*. (1997) that firms with clear ownership structures outperform those with widely held shares and that profitability is strongly correlated with ownership concentration and the presence of strategic investors – with foreign investors faring somewhat better than local ones.

Indeed, the relatively low levels of foreign investments in the Czech Republic, which are, in part, due to the lack of transparency discussed above,

Box 9. **Skoda-Volkswagen joint venture: a success story**

The acquisition of 70 per cent of *Automobilka Skoda Mlada Boleslav* by the Volkswagen group in 1991 (the rest is held by *Konsolidacni banka*) was one of the first foreign direct investments in the Czech Republic and, so far, the second largest joint venture, accounting for approximately 20 per cent of total foreign direct investments in the Czech Republic.

In 1990, before Skoda became integrated with Volkswagen, it employed 23 000 workers and produced 188 000 cars a year, of which only about 10 per cent were sold in western Europe and more than two thirds in Czechoslovakia. In 1997, employment had fallen to 19 000 and production almost doubled to 350 000 (62 per cent of which are exported, 37 per cent to the EU). Skoda's exports now accounts for 6 per cent of total Czech exports (it was 3.4 per cent in 1995) and for 5 per cent of total imports. Its much higher-than-average productivity growth has allowed Skoda to grant higher-than-average wages.

Following its Volkswagen emphasis on quality, Skoda has forced and coached its domestic suppliers into similar feats of restructuring. In 1993, 61 per cent of Skoda's domestic supplies were given below acceptable C ratings for quality and timeliness of delivery. By 1997 67 per cent had A ratings and only 1 per cent C ratings. As a result of this effort, Skoda's Czech suppliers are also exporting their production to other Volkswagen plants.

may also be an important explanation for the poor performance of the aggregate economy. As the case of Skoda-Volkswagen illustrates (Box 9), foreign investment brings with it badly needed capital, proven methods, technology, and market access. These skills benefit both the firm and the economy as a whole as they are gradually transferred to local employees and, through demonstration effects, domestic competitors and suppliers. Survey evidence indicates that local deficiencies are serious. As compared with other OECD countries, top managers lack industry experience, face inadequate supervision, both in terms of legal requirements and as concerns company-imposed limits. For example, according to a recent Coopers and Lybrand survey, only 50 per cent of firms prohibit senior management from engaging in other private businesses, only 16 per cent have rules requiring executive or statutory body approval of property sale and only one third have the duty to protect the interest of all the shareholders, irrespective of their stake (the so-called ''due care'' in company law).

Encouraging more rapid changes

The combination of a banking sector burdened by bad debt and unwilling or unable to take actions against its debtors and a poorly regulated capital market with passive and dispersed ownership are among the principal reasons for the poor productivity performance of the Czech enterprises over the past several years. As indicated earlier, in spring 1997, the government recognised these problems and announced its intention to take measures to complete the privatisation of the banking sector and to institute a number of reforms aimed at improving transparency in financial markets and the protection of minority shareholder rights. This section analyses the extent to which the measures announced or enacted to date address the problems identified above and offers some additional policy advice.

The sale of the state's stakes in large banks

The problems in the banking sector are two fold. On the one hand, as noted, they are burdened by bad debt, a problem which could be solved by a broad bail-out (an option so far rejected by the Czech authorities) or by a completion of privatisation and recapitalisation (coupled with a credible move towards a regulatory regime where the state would no longer be perceived as the rescuer of last

resort). The second area in need of reform concerns the banks' activities as shareholders and as managers of investment funds. While there are plenty of precedents and arguments for banks taking equity positions, their role as managers of IPFs places them in a clear position of potential conflict of interest and should be forbidden.

Progress towards completing the privatisation of the major banks has been limited, in large part because of the political climate which has reigned since the fall of 1997. It was not until November 1997, six months after the original announcement, that the cabinet decided to sell the state's remaining stakes in the three largest banks (the full privatisation of the other big bank, the IPB, was already underway at that time and was completed in March 1998). Despite the resignation of the Government and public questioning by opposition parties (including parliamentary approval of a proposal to stop privatisation until after new elections), the new Government continues to prepare the ground for an eventual sale of the state's remaining stakes in the three largest banks (see Box 10).

The decision to complete the privatisation of banks has the potential to resolve a number of the outstanding issues in this sector. This will be particularly true if the new ownership structure includes a strategic investor, or controlling, shareholder with considerable banking expertise. Privatisation should lead to a more transparent evaluation of banks' loan portfolios and a final clean up, either through a state-financed recapitalisation or a reduced purchase price and a recapitalisation by the strategic investor. A healthier bank will be in a better position to enforce a hard budget constraint on delinquent debtors while new expertise should reduce the probability of incurring new bad debts.

New, stricter constraints on banks and IPFs participations

Privatisation alone will, of course, not be sufficient to clean up the muddled incentive structure and potential conflicts of interest created, on the one hand, by the banks' position as lenders and, on the other, by their simultaneous ownership of the firms managing the IPFs that control these same debtor firms. These issues were partially addressed by the introduction of an amendment to the Banking Act, approved in January 1998, and by new limits placed on IPFs. This amendment will prohibit banks from holding controlling stakes in companies other than banks, financial institutions and companies providing banking support services.

Box 10. **Complicating factors in the full privatisation of Czech banks**

The speed and complexity of the sale of the residual state shares in the big banks varies according to the ownership structure of each bank. One of them, the CSOB, is fully owned by the Czech and Slovak authorities, with the former holding about two-thirds of the capital. In this case, the Czech authorities can reap a ''majority premium'' by selling 51 per cent of the capital to a single investor, or a consortium of investors. For the other two banks, the sale and injection of new capital is more complicated because the state is a minority, although controlling, shareholder and also because about 15 per cent of one of them (*Komercni banka*) is owned by the Slovak authorities. Thus, unless some agreement with the Slovak authorities is reached, only about one-third of the bank's capital can be sold by the Czech government.

The total amount of banks' stakes in all of these companies will be limited to a maximum of 60 per cent of a bank's equity, with a single investment totalling no more than 15 per cent. Banks are being given 3 years to divest themselves of holdings that exceed these limits. They will also be required to separate their commercial and investment banking divisions, so as to limit the likelihood that their equity positions will dictate lending policies. Furthermore, the new law forbids bank employees from holding positions on either enterprises' management or supervisory boards and strengthens the regulation of securities transactions that banks perform on their own account or on the clients' account (the same distinction has not been introduced for other financial institutions). It also increases the limit for compensation from the Deposit Insurance Fund from Kc 100 000 to Kc 300 000 per bank depositor.

The limits on bank ownership of non-financial firms as well as the separation of their lending and investment activities will limit the potential for conflict of interest and should reduce the risk of banks once again becoming captive to the bad debts of firms in which they have an ownership position. However, banks can still own an IPF's management company, or more than one of these companies. It is, thus, legally admissible that one or more bank-managed IPF hold stakes in an enterprise in which the parent bank also has an ownership position and that these holdings combined constitute a controlling interest in the company. Although the new regulations prohibit bank employees from sitting on the man-

agement boards of companies, it does not prohibit banks from nominating board members and, therefore, the potential for conflict of interest remains. In the absence of an overriding reason why IPF management firms should be bank owned, the government should pass legislation cutting this final tie and potential source of inappropriate behaviour.

In November 1997, the government also approved changes to the law on investment funds (this amendment to the Act on Investment Companies and Investment Funds has yet to be discussed in Parliament and therefore may be modified further). Such changes would give IPFs until 1 July 1999 to reduce their holdings in any one company from 20 to 11 per cent of the company's assets (11 per cent is the legal minimum for calling a general shareholder meeting) and their stakes, in a silent-partnership to a maximum of 5 per cent of the entrepreneur's property. The 10 per cent limit on the allocation of the fund's assets into a single enterprise is not to be modified. Under the new rules, agreement of a three-quarters majority of IPF shareholders would also be required before transforming an IPF into a holding company (and thereby avoid the 11 per cent limit), thus making it more difficult to defraud minority shareholders. For the same reason, the amendment also imposes clear regulations for closed investment funds. In particular, these funds would be required to open themselves if their shares traded at more than a 40 per cent discount (with respect to their declared value) within the first six months of the new act coming into force, a threshold which could fall to 25 per cent after one year. The management of the IPF would be able to repurchase outstanding shares at a discount of not more than 20 per cent in the first year and 10 per cent in the second year.

The decision to further restrict the maximum holdings of IPFs may be unfortunate in the Czech context. Although such limitations are not uncommon in the OECD and harmonisation with EU practice was the principal motivation for the reform, it is difficult to see how the change will not exacerbate corporate governance problems. The introduction of the three-quarters majority rule for the transformation of a fund into a holding company has the important consequence of making legitimate transformations extremely difficult and thus of further impeding the process of ownership consolidation. In countries like the Czech Republic, where financial markets are underdeveloped, large shareholders can play an important role in corporate governance (Giavazzi and Battaglini, 1998) and these advantages may outweigh the costs associated with the risk that owner-

ship concentration results in the creation of oligopolies or monopolies in particular sectors. Other institutions such as the Competition Office are more appropriately charged with ensuring that there is no abuse of any eventual dominant position that may emerge. The protection of minority shareholders' rights is a separate issue which is the responsibility of institutions like the newly-created SEC.

The Securities and Exchange Commission

The establishment of a clear, well enforced legal climate where minority shareholders can invest with confidence that the law and financial institutions will protect them from fraudulent practices is perhaps the most critical challenge facing the Czech Republic. The recently passed Act on the Stock Exchange Commission (SEC), approved by Parliament in January 1998, constitutes a first step in this direction. The Commission is expected to perform the same role as do regulatory institutions in other OECD countries. Unlike them, the Czech SEC is a central state administrative authority with no rule-making authority, funded through the state budget with a chairman and board appointed (and recalled) by the President of the Republic (following the suggestions of the government). Its main powers are:

- To enforce remedies and charge fines of up to Kc 100 million (about $3 million) in cases of proven failure to comply with regulations.
- To prevent the trading and movement of securities and freeze financial means of firms or individuals suspected of failing to comply with SEC regulations.
- To provide public information on the activities of capital market participants and concerning Commission decisions.
- To oversee issuers', investors' and brokers' fulfilment of information requirements.
- To collect data on trades done on public markets, as well as those done outside these markets.

The SEC will be required to prepare and submit to the Government and the Lower House of Parliament a yearly report on the situation in capital markets, and provide a twice-yearly report to the parliamentary budget committee on its activities and management. It must co-operate with the Ministry of Finance and the Czech National Bank in preparing and interpreting laws in this area.

Approval of the ''SEC law'' is an important first step in restoring investor confidence in Czech financial markets. More, however, needs to be done. So far there have been no proposals to make the activities conducted in the OTC market more transparent. Trades conducted there are particularly opaque and the discrepancy between the recorded prices of OTC transactions and those of the PSE contributes to the impression that minority shareholders' rights are not adequately protected. The government should give very serious consideration to banning this mechanism – or greatly increasing the reporting requirements for OTC trades – including creating the obligation that large deal makers offer the same terms to any and all market participants. As currently constituted, the SEC is not fully independent. In particular, it is a state organisation, whose board is politically appointed and which has no rule-making authority. These features need not prevent the SEC from doing its job, but they do mean that investors are more likely to take a wait and see attitude and remain more cautious than they would have with a more independent authority. The overall success of this reform will depend on the speed with which rules and regulations are passed and the extent to which they promote transparency and succeed in protecting small shareholders.

Summing up

Much progress has been made in the Czech Republic in transforming one of the most centrally-planned economies in the world into a genuine market economy. The speed and method of the privatisation process created strong popular support for the transformation of the economy but resulted in a structure of corporate governance that did not promote effective enterprise restructuring. Following the currency crisis of May 1997, actions have been taken to stimulate such restructuring by means of clearer rules of corporate governance. Much remains to be done, however. Among the many pressing needs, the following appear to be the most important ones:

- The bankruptcy law requires revisions. In particular, the authorities should evaluate the introduction of workout bankruptcies to speed up the liquidation of those enterprises that have no future and to encourage the rapid restructuring of those that could be profitable. In this respect, international accounting standards should be adopted as soon as possible to allow

investors and lenders to properly assess the financial situation of enterprises.

- Bank privatisation should be accelerated. Preferably, the remaining, and controlling, state stakes should be sold to single investors with demonstrated banking expertise. This would facilitate the emergence of a competitive banking system, improve the allocation of credit and better promote economy wide restructuring by increasing the availability of credits to viable firms and forcing uneconomic ones to confront more directly their restructuring needs.
- The role of banks should be more clearly defined. At present banks can own enterprises both directly, within certain limits, and indirectly through the IPFs they manage. The recently-approved amendment to the banking law has not changed the situation sufficiently. If the authorities decide to adopt the so-called ''German model'', it would be more transparent, and ultimately more efficient, to let banks own companies directly, within certain limits, rather than through a web of participations. In such a case, banks would be directly and clearly accountable for enterprise performance and could be expected to exert more efficient control of management. Alternatively, the separation of banks from the enterprise sector should be sharpened and the opportunity for IPFs to hold controlling stakes expanded. In either case, the possibility for banks to own IPF management companies should be abolished.
- Regulation of the stock market should be increased to avoid the continuation of dubious practices to the detriment of minority shareholders. The new SEC may help in this regard but its lack of a rule-making function could seriously hinder its effectiveness. The government should consider providing the Commission with the power to issue regulations and increase its independence.

Action in each of these domains is critical, in particular because they reinforce one another. Banking privatisation is essential if that sector is to be freed of its debt burden and to be able to play an active role in firm restructuring. Financial-sector reform can support this process. By freeing IPFs from bank control and affording minority shareholders adequate protection from fraudulent practices, the capital market can once again become an alternative source of much needed

capital. In this respect, increasing the reporting requirements of traded firms and eliminating the secrecy surrounding large trades would, along with a reinforcement of the SEC's independence from political interference, go a long way to restoring international confidence in Czech capital markets.

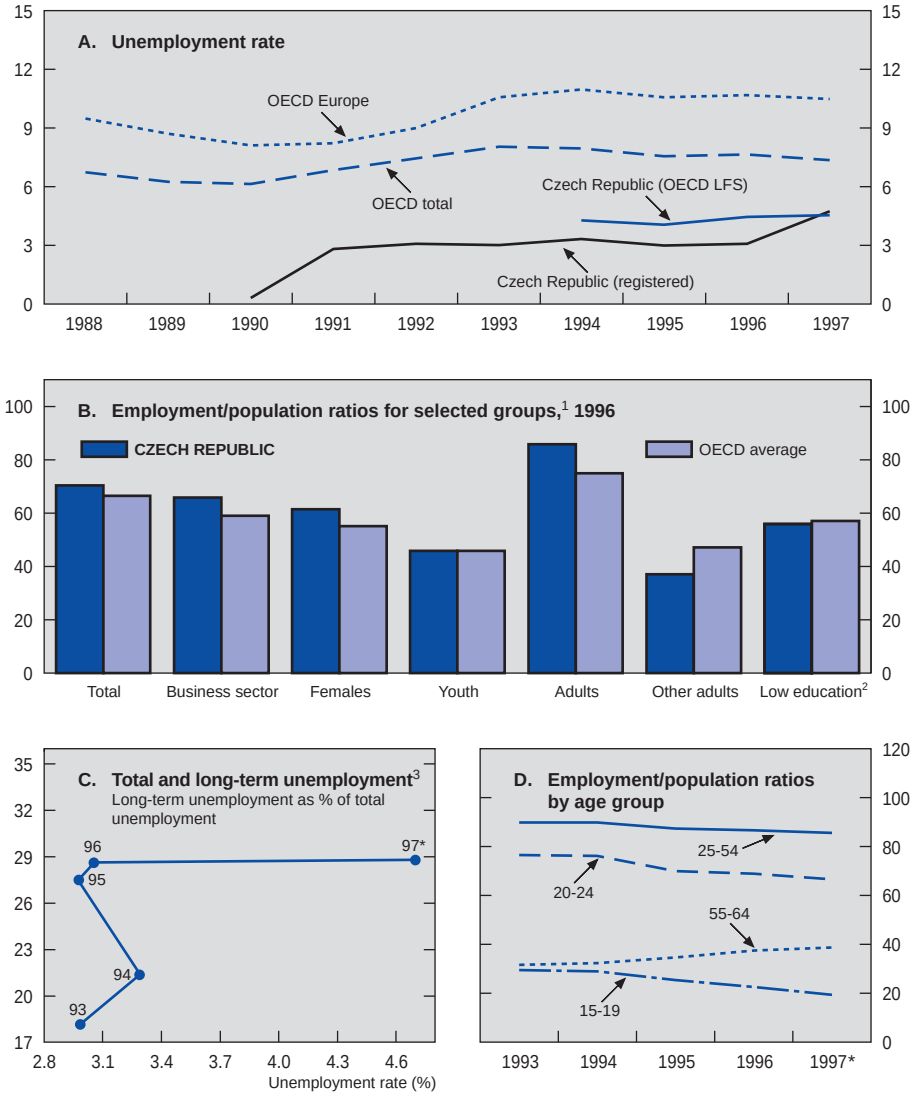
IV. Implementing the OECD Jobs Strategy

Alone among the former communist countries, the Czech Republic has managed to keep unemployment rates and other social costs of transformation low. Prior to 1997 unemployment was less than 4 per cent and employment rates were generally high. Explanations of the ''Czech miracle'' and the role of labour market policy have focused on a number of factors including the high (compared with other transition countries) rates of labour market turnover, the willingness of the government to progressively tighten the initially generous provisions of the unemployment insurance system and the emphasis placed on the rapid reintegration of the unemployed into the work force through employment subsidies. In addition to these policies, favourable initial conditions, including a well educated population, a technologically advanced economy (significantly less reliant on heavy industry than other former communist countries), a programme of labour supply reduction and wage controls during the period 1990-93 have been cited as important factors behind early success. The discussion in Chapters II and III suggests that the sharp initial devaluation, macroeconomic overheating and delayed restructuring might also have played a role in this regard. In 1997, unemployment began to rise and is expected to continue to do so as economic growth slows and involuntary layoffs increase as firms are increasingly constrained to restructure.

Against this background, the current chapter examines the labour market of the Czech Republic, drawing from the lessons learned in the *OECD Jobs Study* and subsequent analysis. As the Czech Republic is experiencing its first bout of rising unemployment and – potentially – large-scale labour dislocation, the chapter pays particular attention to how Czech institutions, which have served well in the past, might, on the basis of experience elsewhere in the OECD, need to be adjusted in order to avoid a permanent rise in structural unemployment. The first section of this chapter analyses labour market and employment performance

Figure 13. **KEY DEVELOPMENTS IN THE LABOUR MARKET**

Per cent



* Estimate based on autumn 1997 data.
1. Per cent employed in each working-age population group.
2. Completed less than upper-secondary education, 1995.
3. Long-term unemployment is defined as individuals looking for work for one year or more.

Source: Czech Statistical Office; OECD.

over the past six years. The specific policy requirements that emerge are then discussed, followed by an assessment of the scope for further action in the various areas identified.

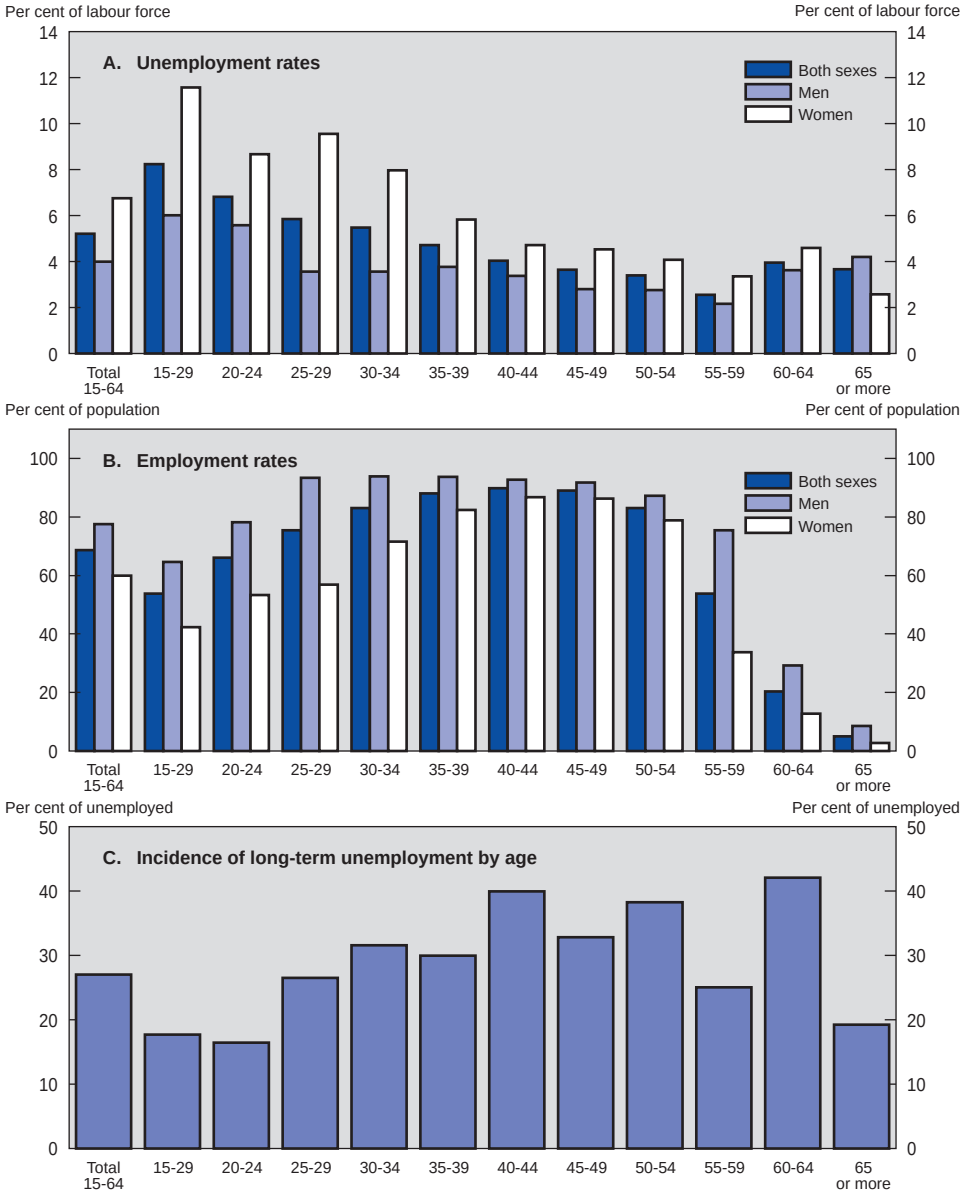
Labour market and employment performance

According to the labour force survey, the unemployment rate in the Czech Republic (which corresponds roughly to the OECD standardised definition) was 5.7 per cent in the fourth quarter of 1997, up from 3.9 per cent a year before. Despite the increase, it remains one of the lowest rates in the OECD and compares favourably with OECD and European Union averages of 7.2 and 10.7 per cent respectively (Figure 13, Panel A). Registered unemployment was 5.5 per cent in March 1998. Employment rates for most classes of workers are higher than the OECD average (Figure 13, Panel B), and for individuals aged 25 to 54 the rate is 85 per cent, the second highest in the OECD. The overall rate is reduced to 70 per cent (nevertheless the ninth highest rate in the OECD area) because only 54 per cent of older workers (55 to 64 years of age) work, reflecting in part low statutory retirement ages (55 for women and 60 for men). As in all countries, employment rates of individuals with low educational attainment are below the national average, falling to 24 per cent among those without any secondary qualification. The incidence of long-term unemployment has been rising and was 29 per cent in autumn 1997 (Figure 13, Panel C).

Unemployment is concentrated among the young, low-skill workers and in certain regions. Unemployment rates among the very young (age 15 to 19) are particularly high and employment rates low (Figure 14). This does not appear to reflect a permanent problem as rates for older youths (20-24 years old) are much closer to national averages. Employment rates of younger women are significantly lower than those of same-age males, a discrepancy that diminishes with age and which may reflect child-rearing activity. Female unemployment rates are higher than male rates at all ages, an effect that is particularly pronounced for women between 20 and 34 years of age. The incidence of long-term unemployment (LTU) for men is 30.6 per cent and for women 27.3 per cent. Unlike other countries, there is no strong concentration of LTU within a particular age group; rates rise with age until the 55 to 60 age group, which is affected by retirement.

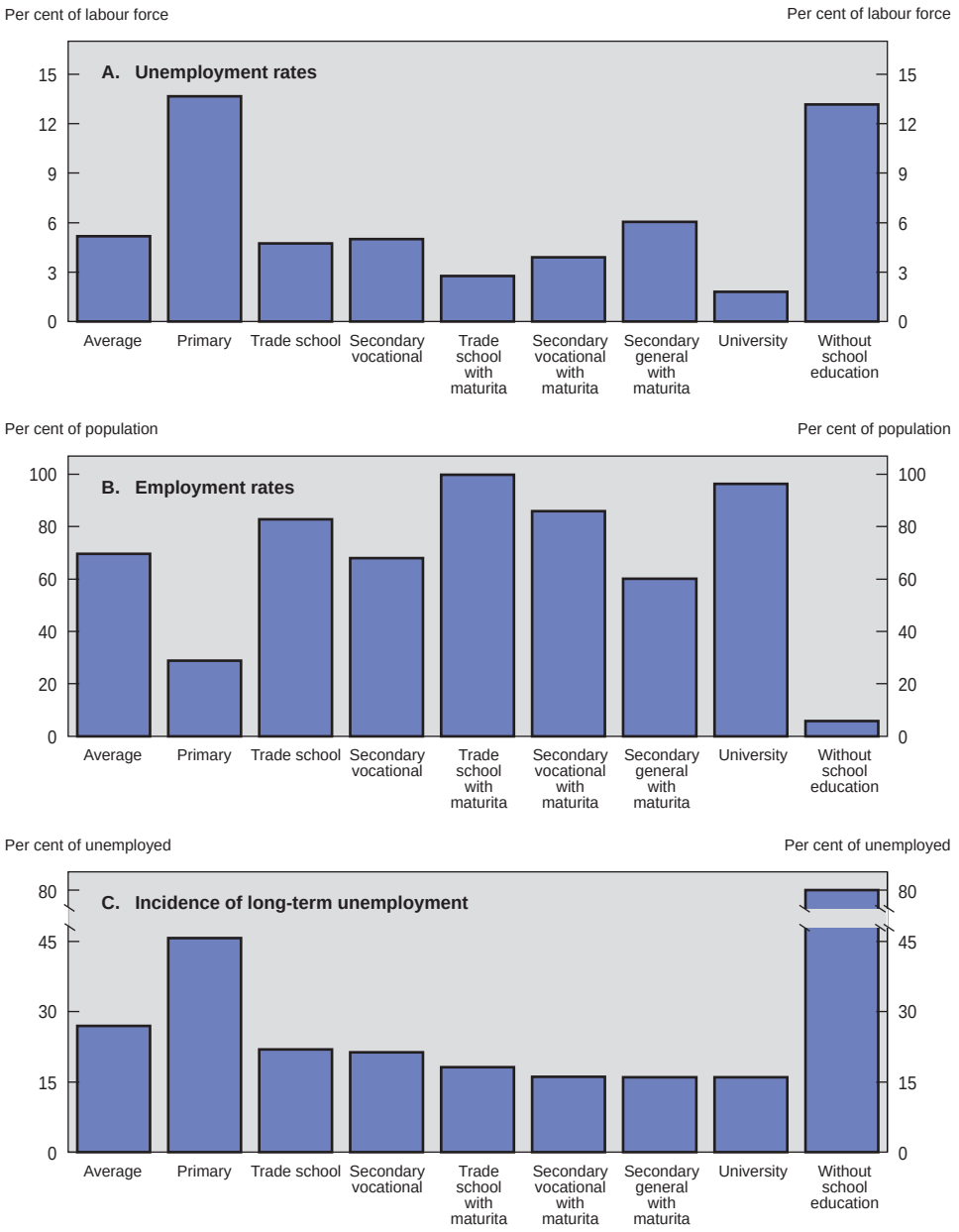
Figure 14. **LABOUR MARKET INDICATORS BY AGE AND SEX**

1997



Source: Czech Statistical Office.

Figure 15. **LABOUR MARKET INDICATORS BY EDUCATIONAL ATTAINMENT**



Source: Czech Statistical Office, *Employment and Unemployment in the Czech Republic*, Autumn 1997.

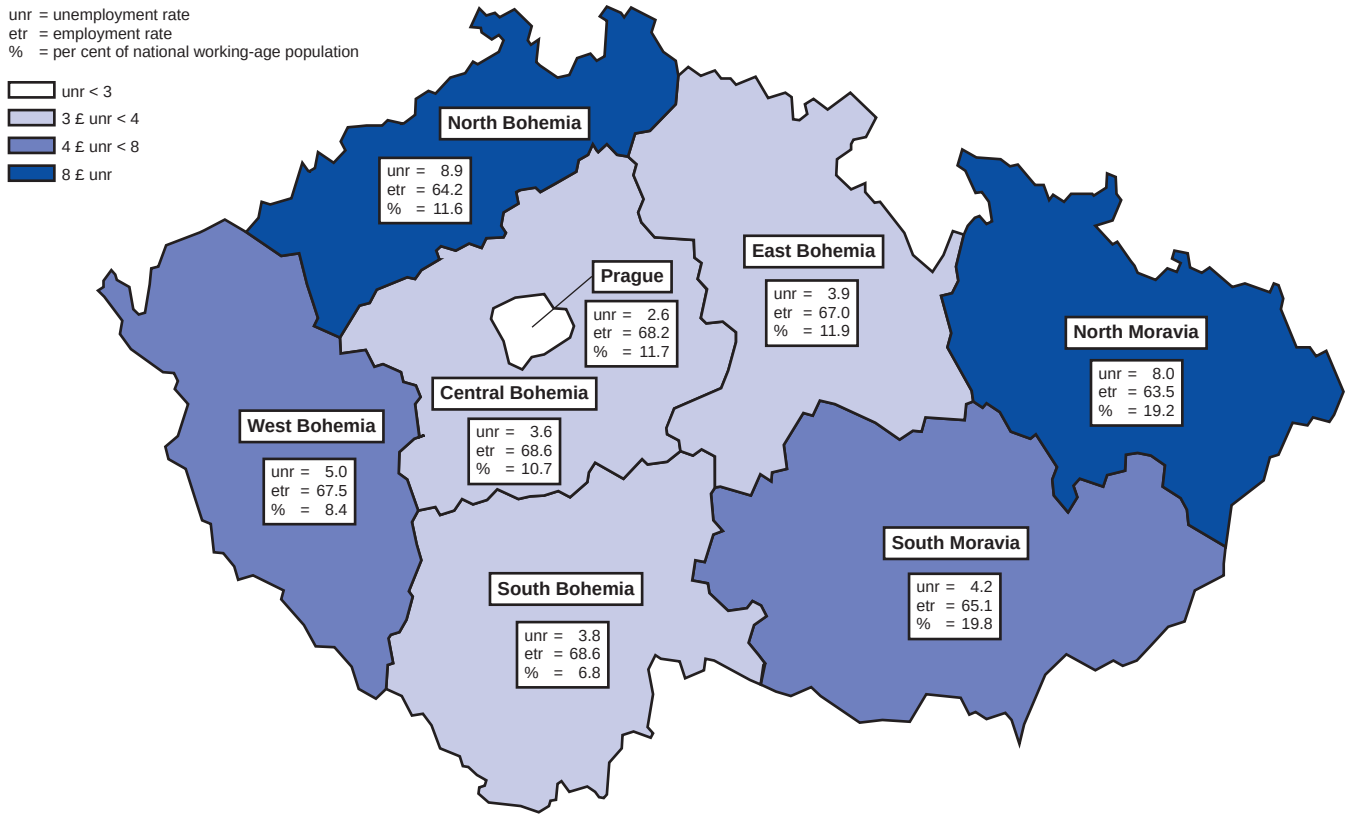
Workers with no more than a primary education represent 25 per cent of the population over 15 and have very high unemployment rates and extremely low employment and participation rates. Between 1993 and 1997, the number of jobs held by these workers fell by 28 per cent. In contrast, employment rates of workers with secondary and higher qualifications are high, although those whose highest educational attainment was secondary vocational schools without the *Maturita* (a certificate necessary for admission to university) and those that received the *Maturita* from general secondary school are lower. With the exception of university graduates, whose labour market performance is the best, graduates from the vocational stream, with *Maturita*, have the most labour market success (Figure 15).

As a share of total employment, self-employment rose slightly, from 8.8 per cent in 1993 to 11.8 per cent in 1997, about average within the OECD area. The incidence of part-time employment is relatively low; only 3 per cent of employed men and 9.8 per cent of employed women work part-time as compared with OECD averages of 7.7 and 31.2 per cent respectively.[31] Less than one in twenty indicate they are working part-time because they cannot find full-time work.

The very low aggregate unemployment rate in the Czech Republic hides a wide variation across regions. Unemployment is lowest in Prague, 2.6 per cent, and highest in North Bohemia, 8.9 per cent (Figure 16). The geographic distribution of unemployment reflects, among other things, the proximity of regions to developed markets. Regions in the west and south, which share borders with Austria and Germany, have the lowest unemployment rates while those bordering Poland and Slovakia have the highest rates. Although falling, gross mobility across regions is relatively high: about 0.5 per cent of the population moved between them in 1995 (approximately the same level as observed in other OECD countries).[32] Net flows between regions are insignificant, with none higher than 0.1 per cent (Erbenova 1995). Commuter flows are the principal source of labour mobility.[33] Slovaks who continue to work in the Czech Republic have a special status and constitute 50 per cent of all foreign workers and have the largest share of permanent and long-term work permits.[34]

Labour market turnover is high as compared with other transition economies (Scarpetta, 1995), but closer to the average of OECD countries. Approximately 0.3 per cent of the working-age population becomes unemployed each month (the fourth lowest rate in the OECD), either through unsuccessful labour market entry

Figure 16. **UNEMPLOYMENT BY REGION**



Source: Czech Statistical Office.

or job-loss (including quits), while 10.5 per cent of the unemployed leave unemployment (the tenth highest exit rate) – either by finding work or leaving the labour force.

It is difficult to determine the extent of microeconomic restructuring that has occurred using aggregate statistics. This task is complicated even further because labour force survey data are only available since 1993. According to these data, 17 per cent of the unemployed are new entrants, 30 per cent lost their jobs due to restructuring, 10 per cent were dismissed and 8 per cent came to the end of a fixed-term contract. Individuals with low educational attainment (primary or Trade School secondary) comprise 70 per cent of all job-losers – a share which rises to 80 per cent in the manufacturing sector. The share of employment among firms with 99 or more employees (24 or more prior to 1995) fell from 80 per cent of total employment in 1989 to 50 per cent in 1996 and reflects the increasing importance of small and medium enterprises of which there were over 1 million registered in 1995. Among those firms reporting data, employment shares have fallen substantially in agriculture and mining, and risen elsewhere (Table 19).

Table 19. **Sectoral employment**

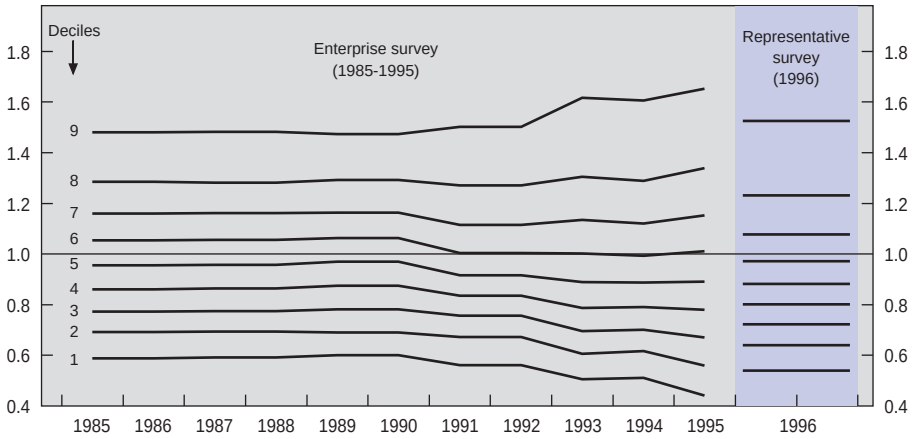
Per cent of total employment

	1990	1992	1993	1994	1995	1996
Agriculture	11.8	8.7	6.9	6.9	6.3	6.2
Mining	3.5	2.5	2.3	2.0	1.9	1.2
Manufacturing	32.9	32.1	31.2	29.2	28.8	28.2
Electricity, gas and water	1.5	1.9	1.8	1.9	1.8	1.7
Construction	7.5	8.3	9.3	9.1	9.0	9.6
Trade	9.8	11.0	12.6	14.4	14.9	15.4
Hotels and Restaurants	1.7	2.0	2.3	2.8	2.8	3.1
Transport and communications	7.0	7.4	7.9	7.2	7.1	7.2
Financial Intermediation	0.5	1.0	1.3	1.6	1.7	1.8
Real estate and Business	7.1	6.9	6.3	7.0	7.8	7.6
Public administration	1.8	2.5	2.7	3.0	3.2	3.3
Education	5.9	6.6	6.7	6.6	6.4	6.4
Health	5.2	5.5	5.4	5.3	5.2	5.3
Other community services	3.8	3.6	3.3	3.0	3.1	3.0
Total (per cent)	100.0	100.0	100.0	100.0	100.0	100.0

Source: CSO, Statistical Yearbook of the Czech Republic, table 10.2, (1996).

Figure 17. **DISTRIBUTION OF EARNINGS**

Relative earnings by decile



Source: Czech Statistical Office.

Manufacturing share in total employment declined by 4 percentage points or by 12 per cent. The service sector (trade, hotels and restaurants and financial intermediation) was among the fastest growing sectors. Despite the transition away from a controlled economy, employment in public administration grew by 68 per cent.

Figure 17 indicates that while there has been some widening of the earnings distribution it has not been dramatic. The data for 1996 came from a purpose-built representative survey, while the earlier data derive from an increasingly unrepresentative enterprise survey. According to the former, less than 10 per cent of workers earn more than 150 per cent of the average wage and very few earn less than 50 per cent. Since 1989 the distribution has widened somewhat, driven principally by a small increase in the relative wages of the upper decile and a small decrease in the wages of the lowest decile. The ratio of the earnings of the richest decile to the poorest decile, the so-called D9/D1 ratio, rose from 2.45 in 1989 to 2.82 in 1996, which is in the middle of the range observed in the OECD

Table 20. **Earnings dispersion in the OECD**

Latest year available

Country	D9/D5	D5/D1	D9/D1
United States[3]	2.10	2.09	4.39
Canada[4]	1.84	2.28	4.20
Hungary[1]	2.17	1.92	4.17
Portugal[5]	2.47	1.64	4.05
United Kingdom[2]	1.89	1.80	3.40
Poland[3]	1.97	1.72	3.39
France[4]	1.99	1.65	3.28
New Zealand[4]	1.76	1.73	3.05
Japan[4]	1.85	1.63	3.02
Austria[4]	1.47	2.01	2.95
Australia[3]	1.77	1.65	2.92
Czech Republic[2]	**1.73**	**1.63**	**2.82**
Italy[5]	1.60	1.75	2.80
Switzerland[2]	1.73	1.59	2.75
Netherlands[5]	1.66	1.56	2.60
Finland[3]	1.66	1.41	2.34
Germany[5]	1.61	1.44	2.31
Sweden[3]	1.59	1.39	2.21
Denmark[6]	1.57	1.38	2.17
Belgium[4]	. .	1.47	2.08
Norway[6]	1.50	1.32	1.98

1. Data concern 1997.
2. Data concern 1996.
3. Data concern 1995
4. Data concern 1994.
5. Data concern 1993.
6. Data for Denmark concern 1990 and for Norway 1991.

Source: OECD.

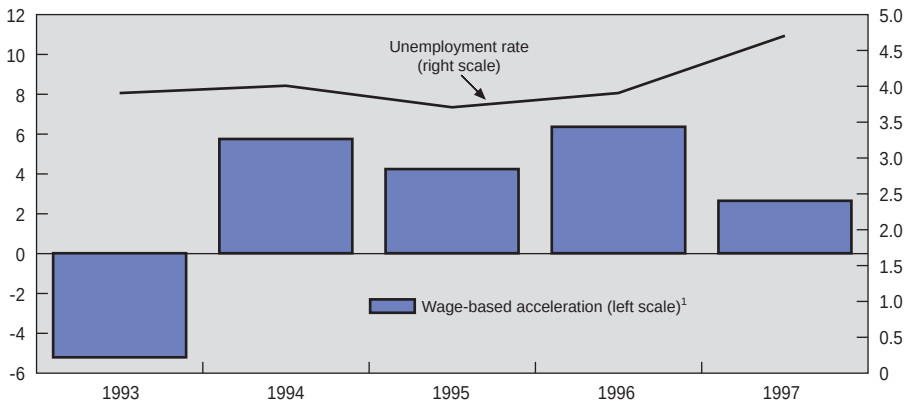
(Table 20). Internal rates of return to education are another indicator of wage dispersion (OECD, 1997*a*). These are high for males with a secondary education (the second highest in the OECD area), but decline substantially for university education where they are the third and fifth lowest among OECD countries for men and women, respectively. However, the university and secondary premia taken together imply that a university graduate can expect to earn 240 per cent of the salary of someone with less than upper secondary qualifications, the third highest ratio within the OECD. In 1996, the wages of male workers were 26 per cent higher than those of female workers.

The earnings structure across regions has been relatively stable over time and the regional rankings have not changed since 1993. Abstracting from Prague where average wages have been rising, the dispersion of wages across the other regions is broadly stable (the variance actually fell from 21.4 to 17.2 between 1993 and 1996). Relative wages by ownership and sector of activity indicate a narrowing of the wage premium paid by foreign firms from 50 per cent in 1993 to 23 per cent in 1996. Co-operatives and NGOs paid the lowest relative wages in 1993, a condition that intensified during the four years for which data are available.

A number of factors complicate the evaluation of the so-called natural or structural rate of unemployment in the Czech Republic. On the one hand, labour force survey (LFS) data are available only since 1993 (although administrative figures exist since 1990) and, perhaps, more importantly the economy has yet to pass through a full business cycle. Nevertheless, wages rose dramatically in the Czech Republic, by more than 50 per cent in dollar terms between 1994 and

Figure 18. **WAGE-PUSH INFLATION AND THE UNEMPLOYMENT RATE**

Per cent



1. Defined as the increase in real compensation (GDP deflator) less productivity. It measures the extent to which wage increases contribute to inflation.

Source: Czech Statistical Office.

1996, implying a remarkable loss in competitiveness. The persistence of significant wage-push inflationary pressures for each of the past four years suggests that the non-accelerating wage inflation rate of unemployment lies well above recent recorded levels of unemployment[35] (Figure 18). The substantial slowdown in nominal wage growth in 1997 reduced but did not eliminate the inflationary impulse coming from the labour market.

Policy requirements

The transformation to a market-oriented economy has dominated developments in Czech labour markets in the past seven years and will continue to do so over the medium-term. In this respect, it is not always possible to identify the precise role that particular institutions have played in these developments, nor what role they are likely to play in the future. Czech labour market policy has placed the accent on minimising the social cost of economic transition and labour market dislocation through a policy of wage restraint (during the period 1991-93), labour supply reduction (in the first few years) and a concerted effort to reinsert the unemployed into the work force. These micro-level policies were supported by a macroeconomic environment, which, as noted in previous chapters, was generating unsustainable levels of growth and only limited restructuring. The low unemployment rates and high rates of employment (especially for workers 25-55 years of age) bear testament to the success of the programme in delaying some of the social costs of transition. However, with the slowdown of output, unemployment began to rise in 1997. In this regard, great care needs to be exercised in order to prevent the rise in cyclical unemployment from transforming itself into high structural unemployment. The labour market in the Czech Republic appears to share a number of the features that were identified in the OECD *Jobs Study* as contributing to such an increase. In particular, despite a relatively stringent unemployment insurance scheme, the benefits available from it and social assistance systems combine to generate substantial work disincentives for some population groups, while employment protection legislation is relatively strict and may cause long-term unemployment and the structural rate of unemployment to ratchet upwards as the economy slows. The remainder of this chapter analyses these problems and proposes solutions. A synopsis of the recommendations arrived at is provided in Box 11.

Box 11. **The OECD Jobs Strategy: synopsis of recommendations for the Czech Republic**

The *OECD Jobs Study* sets out a strategy based on nine recommendations for improving the ability of OECD economies to cope with structural change. The nine distinct policy areas covered included the macroeconomic policy framework and the creation and diffusion of technological know-how. With respect to labour and product-market flexibility it identified the need for initiatives in the following areas: working time flexibility, the entrepreneurial climate, wage and labour cost flexibility, employment security provisions, active labour market policies, labour force skills and competencies and unemployment and related benefit systems.

Following from the detailed review of labour market and employment performance and the assessment of policy requirements, this chapter identifies the need for the Czech Republic to move ahead in the following areas:

Reform unemployment and related benefit systems

Re-examine the basis upon which benefits in the social assistance and state social support systems are determined. To preserve work incentive, additional benefits awarded to larger families need to be reduced in line with international practice.

Strengthen the monitoring of access to disability pensions in order to restrict access to the physically handicapped. Entitlement should be periodically verified in order to ensure that this resource remains available to those in genuine need.

Reform employment security provisions

Relax reporting and notice requirements for restructuring firms. The government's plan to reduce notice periods is a step in the right direction, while the law concerning collective dismissals could also be. In addition, the requirement that firms actually find alternative employment for certain classes of workers should be relaxed.

Improve labour force skills and competencies

Improve the preparation for university studies of students following vocational and technical streams. Further efforts should be consecrated to improving access and graduation rates from tertiary education. In this regard, overall efficiency would benefit from the establishment of a standardised entrance examinations at the secondary and university-levels.

Enhance the effectiveness of active labour market policies

A systematic evaluation of active labour market policies should be instituted. An explicit effort is needed to design programmes in such a way that the influence of the programme on labour market success can be separated from other factors.

Enhance product market competition

Rent controls should be lifted as soon as possible. The current strategy of raising controlled rents should be complemented by a reinforcement of owners' property rights and a programme of privatisation of state- and municipality-owned rental accommodation.

Enhancing the ability to adjust and adapt

The wage-formation system

Wage bargaining in the Czech Republic is multi-level; structures exist for nation-wide bargaining, but most wage-setting actually occurs at the firm-level (see Box 12). During the period 1991 to 1995 the government played an active role in wage setting and imposed obligatory guidelines, which included maximum and minimum wage increases and fines for non-compliance (although firms could apply for exemption from these limits). During this period the central wage bargaining institution, the tri-partite General Agreement, continued to meet and agree to standards on such issues as industrial relations, employment, occupational health and safety and social policy, but was unable (except in 1993) to agree on wages. Since 1995, the government has played a less active role, although its 1994 election promise to double average wages by the year 2000 probably contributed to the excessive wage increases observed during the period 1994-1997.

The minimum wage was first implemented in 1991 at Kc 10.8 per hour (about 53 per cent of average wages) and subsequently raised to Kc 12 in 1992, Kc 13.6 per hour in January 1996 and Kc 14.8 in January 1998 (Table 21). However, prices and average wages grew much more quickly, so that both its real and relative values have been falling. At present, the statutory minimum wage is approximately 20 per cent of the average wage (perhaps the lowest relative minimum in the OECD) and less than 1 per cent of employees earn it, mostly young workers whose earnings are a supplement to household income.[36] Employees receiving partial invalidity pensions and young employees may be paid 75 per cent of the minimum wage, while those on full invalidity can be paid 50 per cent.[37] In addition to a minimum wage, there are also three wage ''tariffs'' that dictate the minimum salary that can be paid to workers of certain skills who are not otherwise covered by a collective bargain. These tariffs range from 100 to 174 per cent of the legal minimum wage for unskilled and skilled workers respectively. Like the minimum wage to which they are tied, the real and relative values of these tariffs have been falling. The minimum wage levels in collective agreements, when stipulated, are typically between 10 and 20 per cent higher than the legal minimum.

Box 12. **Wage bargaining institutions in the Czech Republic**

Bargaining structures:

The top-level tripartite body in the Czech Republic is the Council of Economic and Social Agreement, which is composed of three voluntary members from each of the trade union and employers associations and the government, with the Minister of Labour and Social Affairs sitting as chairman. Although the Council has no legal standing, it is consulted on selected issues of common interest with the aim of promoting solutions and fostering social peace.

Firms are represented by two nationwide organisations: the Confederation of Employers' and Entrepreneurial Unions (1.8 million members) and the Union of Industry and Transport (0.9 million members). Larger companies are more likely than small and medium enterprises (SMEs) to be members in an employers association, although certain smaller associations deal primarily with the needs of SMEs.

There are two big trade union associations: the Czech and Moravian Chamber of Trade Unions (CMKOS) which include 34 separate unions, covering 16 384 enterprises with 2.3 million members, and the much smaller Confederation of Arts and Culture with eighteen unions and 138 000 members. In addition there are several smaller trade union organisations.

There is another form of institutionalised tripartite social dialogue, the so-called ''consultative bodies'' comprised of representatives of trade unions, employers, co-operatives, organisations of people with disabilities and labour offices. These bodies are established by regional labour authorities in order to promote co-operation in the labour market and to ensure co-ordinated implementation of the State employment policy.

Wage agreements:

Although only enterprise and industry or branch-level collective agreements are explicitly described in law, plant-level bargains are also common. Provisions negotiated at higher levels in the wage bargaining system are binding upon lower levels.

The majority of agreements are made at the enterprise level; CMKOS concluded 8 733 such agreements in 1995 versus 29 higher level agreements in 1996. Branch or industry level agreements are common in the private sector. In certain companies with a complex organisational structure a limited number of plant-level collective agreements exist. Lower-level agreements (*i.e.* shop-level) are rare and usually involve addenda to those concluded at a higher level.

Administrative extension of bargains:

A union or employer or one of their associations can apply to the Ministry of Labour and Social Affairs (MLSA) to have the provisions of collective agreements extended to their area of activity or apply to have the period of a contract extended. Although actively employed, the administrative extension of wage agreements does not impact a large percentage of employees.

Table 21. **Minimum wages and wage tariffs**

Per cent of average wage

	1992	1993	1994	1995	1996	1997 estimate
Minimum wage	48	38	34	29	26	23
Tariff 1: low-skill workers	48	38	34	29	26	23
Tariff 2: medium-skill workers	59	46	42	35	32	29
Tariff 3: high-skill workers	77	60	57	48	44	40

Source: Ministry of Labour and Social Affairs.

The law guarantees a worker an overtime premium equal to 25 per cent of average earnings for above normal hours, and 50 per cent for work performed on public holidays and a premium for night or hazardous work equal to at least Kc 3.2 per hour. Standby work must be remunerated at a rate of at least one-tenth the average wage.

Despite the fact that real wages grew unsustainably fast for much of the period 1994-97, the wage-bargaining system *per se* does not appear to have had a significant impact on labour market performance. The distribution of wages has widened somewhat and the low minimum wage may explain the relatively high employment rates of less skilled workers (although as discussed below social assistance acts as a wage floor for certain classes of workers). Although there are structures that could support a centralised wage-bargaining system, as yet they have not exercised much influence. Government imposed wage bargains and decentralised bargaining appear to dominate and while government-sponsored wage restraint in the early transition contributed to low unemployment rates then, it also contributed to the catch-up effect in the later 1990s.

Increasing the flexibility of employment and working time

Czech law recognises three legal forms of employment: *principal employment; parallel employment;* and *work outside of employment relations* (Box 13). All employment contracts must be written, the principal employment contract can be fixed-term or indefinite, full-time or part-time. Wages and any trial period may also be stipulated. Parallel employment refers to a second job, which by law must involve fewer hours than a full work week. The third category refers to specific

Box 13. **Employment protection legislation**

Employment contracts

Unless explicitly counter-indicated, employment is of indefinite duration. All employment contracts must be written, describe the nature of the work, the start date and where it is to be performed. Wages and any trial period may also be stipulated. Fixed-term contracts are permitted, although workers under 18, with disabilities or with graduate or apprentice qualifications (in the job area) can only be hired to a fixed-term contract at their written request. Fixed-term employees who continue to work, with their employers' agreement, beyond the initial duration of their contract are automatically converted to permanent employees.

Pecuniary penalties and other disciplinary actions are proscribed for poor performance. Only after delivery of a written warning of the possibility of dismissal, and repeated infractions or poor performance during the six months following the warning, can a notice of dismissal be drawn up.

Working time

The legal maximum work-week is 43 hours (including 2.5 hours of obligatory breaks). This limit has been reduced by ministerial decree to 40 hours in a number of sectors and social partners are free to agree to shorter norms. Firms are allowed only limited flexibility in the scheduling of working-time, the difference between individual weeks may not exceed 3 hours and the working day cannot be longer than 9½ hours. However, the law does allow for an uneven distribution of working hours (when agreed to by employers and employees), in such cases the average weekly working time over a four week period may not exceed 43 hours.

Compulsory overtime is limited to 150 hours per year and 8 hours in any given week and may be required only in exceptional cases following discussions with the competent trade union body of the workplace. Employees, on a voluntary basis, can perform additional overtime work exceeding the limit set by law, although this overtime work must be approved by the local public employment service.

Employers are required, to the extent possible, to allow for part-time employment. The consent of both employee and employer is required for a part-time contract, which can be requested by either party. A worker can be placed on shift work only following consultation with his representatives and after an annual medical exam. Workers deemed medically unfit for shift work must be transferred to day shifts.

Workers in the Czech Republic are entitled to a minimum of three weeks annual leave with full pay (four weeks after fifteen years service), which can be extended by collective agreements. In addition, firms are required to provide additional paid leave in certain cases (*i.e.* performance of civic duties, military reserve service, paid educational

(continued on next page)

(continued)

leave and serious personal reasons -- including seeking new employment). Employers may also provide leave without pay or arrange that lost working time be made up.

Rules on hiring and firing

Firms with more than 19 employees may be required to employ individuals with reduced work abilities and those with severe disabilities (up to 4.5 and 0.5 per cent of the workforce respectively). Firms who fail to accept a worker recommended to them by the PES may incur financial sanctions. Responsibility for the placement of the disabled rests with the PES (and may not be appealed).

Firms may not impose pecuniary penalties on workers for poor performance. Only after delivery of a written notice warning of the possibility of dismissal and repeated infractions or poor performance during the six months following the warning can a notice of dismissal be drawn up.

Notice of dismissal rules

Each dismissed worker must be given written notice at least two months in advance (three months for organisational changes), specifying the reasons for the layoff or dismissal. For large-scale layoffs, the employer must provide the trade union and the PES with three months advance notice explaining the reasons for intended measures and the number and structure of employees likely to be affected. They must discuss possible measures to minimise the size of the layoff and find alternative employment for affected employees within the enterprise. A firm cannot serve notice to an individual unless it is impossible to offer him another job at his current site or in the area he lives. The employer is then obliged, in co-operation with the competent labour office, to actively assist the employee in obtaining other suitable employment. The notice period is indefinite in the case of certain classes of workers (pregnant women, single parents of children less than 15 years old and disabled employees, individuals on leave during military or public service). The firm must continue to pay such workers until new suitable jobs have been found for them. A purchaser of an enterprise is obliged to assume all of the responsibilities of the previous owner towards the firms' employees.

Valid reasons for redundancy include: firm closure; the transfer of an activity to another employer where there is no possibility of employment; and internal redundancy for technical or organisational reasons. Temporary or technical layoffs are permitted under Czech law but employees must be paid their full wage unless a lower amount (not less than 60 per cent) is agreed to in a collective agreement.

Severance pay

A worker is entitled to a minimum of two months severance pay in addition to his notice period. In the case of dismissal for organisational reasons the notice period is three months.

tasks which cannot be covered in a normal contract or which cannot be accomplished during normal working hours. There are few restrictions on fixed-term contracts and the law makes no distinction between them and temporary work. Firms are prohibited from signing youth and graduates of vocational training or university to fixed-term contracts unless it is at the prospective employee's written request. Employees covered by a collective agreement and disabled workers may not be signed to a fixed-term contract. Fixed-term employees who continue to work, with their employers' agreement, beyond the initial duration of the contract have their contracts automatically converted to permanent ones.

The rules governing employment, hiring and firing and working-time in the Czech Republic are relatively rigid. Notice periods are lengthy (between two and three months) and the administrative and consultative obligations imposed upon firms seeking to lay off workers are onerous compared with other OECD countries :

- The conditions under which a firm may lay off workers are relatively flexible, but firms' capacity to discipline unsatisfactory employees is severely restrained. Temporary or technical layoffs are permitted, but employees must be paid 100 per cent of their average earnings, a condition which can be reduced to 60 per cent by collective agreement.
- Firms must satisfy the public employment service (PES) and unions that a laid off worker cannot fill any other post within the company and must actively assist laid-off workers to search elsewhere. In certain cases, firms cannot end an employment relationship until suitable work is found for the employee concerned or a suitable offer is refused.
- Minimum severance pay falls within the high range of OECD countries.
- Annual leave provisions are neither particularly generous nor limited.
- Firms with more than 19 employees may be obliged to fill up to 4.5 per cent of their positions with individuals having reduced work abilities and 0.5 per cent with severe disabilities. Firms that refuse such workers may incur financial sanctions.

Experience in other OECD countries indicates that employment protection rules such as these can have important distortionary impacts on the labour market. They contribute to excessive hiring and firing costs and reinforce the bargaining position of employed workers (insiders) to the detriment of unem-

ployed workers (outsiders). However, while officials indicate the rules are applied rigorously, and some firms complain about them, it is not clear to what extent these rules constitute a binding constraint. Until recently, job-losing rates have been low as compared with both transition countries and other OECD countries. The recent rises in unemployment have been due to decreases in hiring rates, rather than increased lay-offs, which means that as unemployment rates rise and the pool of unemployed grows, exit rates are falling and, as in other OECD countries with tight employment protection regimes, structural and long-term unemployment rates are rising.

Taxes and transfers

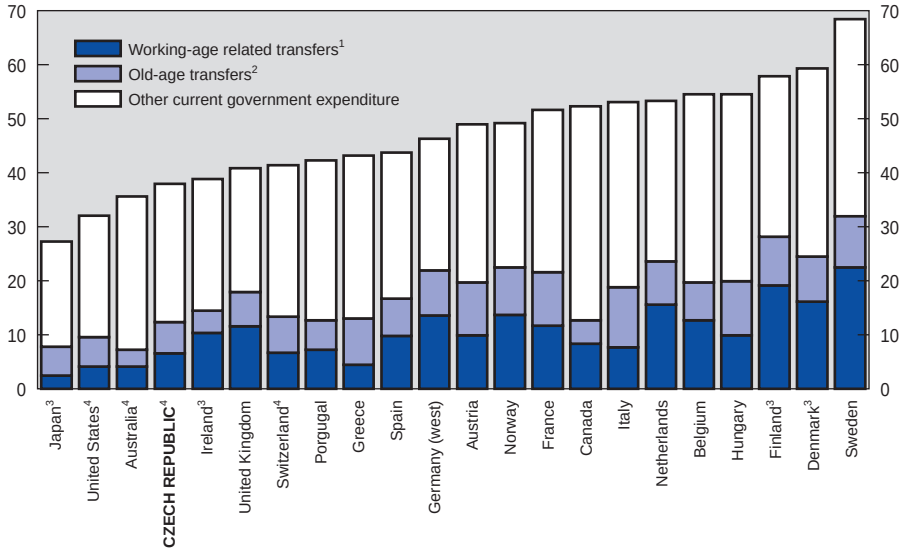
Among the principal challenges facing policy-makers across the OECD is that of maintaining an adequate social-welfare safety net, without at the same time damaging work incentives either by excessively generous benefits or via their interactions with the tax system. The Czech social security system as a whole was recently the subject of an OECD (1998*b*) review. The following discussion draws from that report, but focuses more directly on the labour market implications of the tax-benefit system.

In the Czech Republic, state support to individuals is provided through a ''three pillar'' system of social security, consisting of *social insurance* (pensions, health, sick-leave and unemployment insurance), *state social support* and *social assistance*. Benefits under the last two schemes can be made available to a person having exhausted unemployment benefits, but unemployment is not itself a condition of benefit entitlement, nor does receipt of unemployment insurance preclude access to *state social support* or *social assistance*. The former is the principal source of aid for families with children and was introduced in the mid-1990s due to concerns about growing poverty among these households. Its benefits are legal entitlements designed to raise household income levels towards the official minimum living standard (MLS). The latter is a cash benefit directed at households in distress living below the MLS and, as such, is the principal source of aid for single individuals. It is means- and asset-tested and available only if all other benefit possibilities have been exhausted and income remains below the MLS.

As share of GDP, the Czech Republic spends relatively little on social transfers (Figure 19). Pensions and health-care are the largest items of social expenditure. Excluding health care expenditure, which has increased by 30 per

Figure 19. **GOVERNMENT SPENDING AND SOCIAL TRANSFERS**

Per cent of GDP (1993)



1. Includes disability pensions, sickness compensation, survivors benefits, family cash benefits, unemployment benefits, housing benefits and other contingencies.
2. Includes old-age cash benefits, residential care, home-help services, day care, rehabilitation services and other benefits in-kind.
3. 1994.
4. 1995.

Source: Ministry of Finance of the Czech Republic; OECD, Social Expenditure Database.

Table 22. **Social security payroll taxes**

1997	Contribution rates		Total
	Employee	Employer	
Sickness benefit	1.1	3.3	4.4
Pension	6.5	19.5	26.0
Employment Policy	0.4	3.2	3.6
Total	8.0	26.0	34.0

Source: Ministry of Labour and Social Affairs.

cent as a share of GDP since 1990, spending on social security transfers represents about 14 per cent of GDP, the same level as in 1990. *State social support* expenditure represents 1.8 per cent of GDP, down from approximately 2.6 per cent in 1990, while *social assistance* has been relatively stable at about 1.1 per cent (Table 23). Social security expenditure is financed from general revenues, with local governments paying some of the costs themselves. Payroll taxes are imposed to pay for sickness insurance, pensions, and employment policy (unemployment insurance and ALMP), but there is little relationship between the revenues generated by these levies and the costs of the associated programmes. Table 22 indicates the compulsory contributions (expressed as a per cent of gross earnings) paid by employers and employees. In addition, for eligible individuals who are not working, the state pays a compulsory health-insurance fee, which is a fixed portion of the minimum wage. In many OECD countries, very high payroll taxes have contributed to a process of disemployment of low-skilled workers. The overall tax wedge, which includes both the effects of payroll taxes and

Table 23. **Social security expenditure in the Czech Republic**

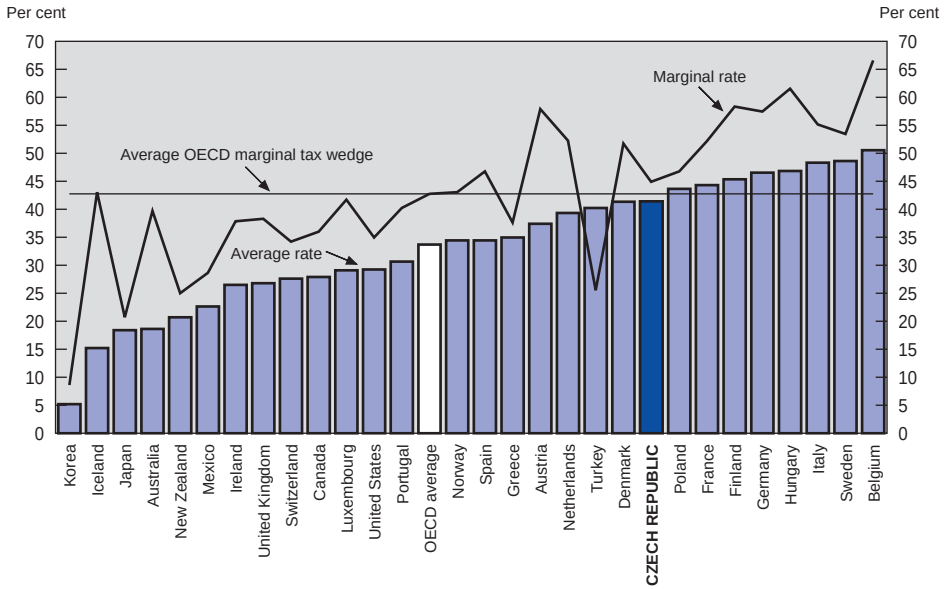
Per cent of GDP

	1993	1994	1995	1996	1997
Social insurance	16.6	17.3	16.9	16.7	17.1
Pension benefits	7.5	7.7	8.2	8.4	9.1
Health care expenditure	7.0	7.4	7.1	6.8	6.6
Sickness and maternity benefits	1.2	1.5	1.4	1.3	1.2
Unemployment and employment policy	0.2	0.2	0.2	0.2	0.2
State compensatory benefits (pensioners)	0.7	0.5	0.0	0.0	0.0
State Social Support	2.1	2.1	1.9	1.9	1.8
State social support	0.0	0.0	0.1	1.8	1.8
Family allowances	1.5	1.6	1.4	0.1	0.0
State compensatory benefits (children)	0.6	0.4	0.5	0.0	0.0
Social assistance	1.0	1.0	1.0	0.9	1.1
Social care benefits	0.3	0.3	0.3	0.3	0.3
Social care services	0.7	0.7	0.7	0.6	0.8
System administration					
System administration expenditure	0.2	0.3	0.3	0.3	0.3
Total	19.9	20.7	20.1	19.8	20.3

Source: Statistical Year-Book of the Czech Republic; Ministry of Labour and Social Affairs.

Figure 20. **AVERAGE AND MARGINAL TAX WEDGES**[1]

Single person receiving 67% of an average production worker's income



1. Data refer to 1996. The average wedge is the sum of employees' and employers' social security contributions and personal income tax as a percentage of gross labour costs, *i.e.* gross wages plus employers' social security contributions. The marginal tax wedge is the percentage of increased gross labour costs represented by additional employees' and employers' social security and income tax contributions, following a rise in wages.

Source: OECD Tax Equations.

income taxes, is the ninth highest in the OECD (Figure 20). So far, non-employment among those with low educational attainment is low, but it is now growing and these workers are disproportionately represented in the layoffs of restructuring firms. As structural adjustment accelerates, it is likely that such workers will become increasingly susceptible to layoff, unemployment and ultimately labour force withdrawal.

The benefits most relevant to the able-bodied working-age population are unemployment insurance, the various aids to families with children that comprise the state social support system and the social assistance benefit. With the exception of the unemployment insurance system, these benefits are income tested,

Box 14. **Principal social security programmes**

Unemployment insurance

Unemployment insurance is paid by the public employment service for up to six months. In 1997, the maximum replacement rate for the first three months was 60 per cent and for the second three months it was 50 per cent. In 1996, approximately 50 per cent of the registered employed were receiving benefits. To be eligible for benefits a person must have worked at least twelve months in the preceding 36-month period and within any 36-month period may have been in receipt for no more than twelve months in total. Benefits are subject to a relatively low ceiling (1.5 times the Minimum Living Standard [MLS] of a single person), with the result that, on average, they are only about 25 per cent of recipients' previous earnings.

Income-tested state social support

Benefits under the system of state social support are administered by district offices of the Ministry of Labour and Social Affairs (MLSA). Payments are also made by local authorities of so-called ''entrusted'' municipalities. These benefits are the main source of social aid to households with children.

A *child allowance* is granted to families with dependent children whose household income does not exceed the MLS by more than 300 per cent. Approximately 81 per cent of dependent children receive these benefits (Dlouhý, 1997). The rate of the allowance varies from 32 per cent of the child's MLS for families earning up to 110 per cent of their household MLS, to 14 per cent of this amount for families earning 3 times their MLS.

The *social allowance* is a grant provided to households whose income is less than 1.6 times the MLS. As household income increases from 0 to 1.6 times the household MLS, the benefit falls from a maximum of the MLS determined ''needs'' of the children to 0. This amount is increased when one or more of the parents have a long-term disability or in the case of lone-parent families.

The *housing allowance* is provided to the registered owner or renter of a flat whose household income does not exceed 1.4 times the MLS. There are also additional housing related benefits (see Box 16).

There is also a *transportation allowance* available to support the commuting costs of children in households with low incomes.

Social assistance

Individuals whose household income, inclusive of benefits received through state social support, may be granted additional benefits in kind and cash on a recurring or one-time basis. Eligibility for benefit is means- and asset-tested and is conditional on the demander having applied for all social support benefits to which they might be eligible. The social assistance system also covers individuals with long-term disabilities. The benefit for a single person living alone is equal to 34 per cent of the net earnings of an

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average production worker but is more than 100 per cent of this amount for couples with three or more children. For a single worker, it is equal to 121 per cent of the minimum wage a ratio that can rise as high to 500 and 700 per cent in the instance of couples with large families.

Checks on non-declared income are not made unless authorities have received information making them suspect fraud. Implicitly this means that the suspected client has to prove he is not guilty when legal action is undertaken. Municipalities have no incentive to pursue fraud surveys.

while social assistance is also asset tested. Following numerous reforms (see OECD, 1995), the unemployment insurance system is now relatively ungenerous with strict eligibility requirements, moderate replacement rates, a low benefit ceiling and short duration (Box 14). However, the interaction of state social support and social assistance with unemployment insurance significantly increases the generosity of the overall benefit system. The OECD index of gross unemployment benefit entitlements, which measures the combined support of unemployment insurance and social security benefits for households without children, ranks the Czech system as the second most generous in the OECD[38] (Table 24).

Work disincentives are even more severe for beneficiaries from households with children. The incremental benefit received as household size increases is proportionally much larger in the Czech Republic than in other OECD countries (Table 25). The problem arises because benefits and eligibility conditions for the income and asset-tested programmes are set relative to the MLS, which for a wide range of households is higher than the net average wage (Box 15). For households with more than two children, it is actually higher than the net earnings of the average production worker and, as a result, a benefit recipient with three children would see almost no impact on his or her earnings if they went from not working to a job earning two-thirds of this amount[39] (Figure 21).

These disincentives arise because some benefits are withdrawn gradually as income rises, while others are abruptly ended when an earnings ceiling is passed.

Table 24. **Average gross replacement rates**[1]

Countries	Average
Australia	27
Austria	26
Belgium	42
Canada	27
Czech Republic	**47**
Denmark	71
Finland	43
France	38
Germany	26
Greece	22
Hungary	16
Ireland	26
Italy	20
Japan	10
Netherlands	46
New Zealand	30
Norway	39
Poland	28
Portugal	35
Spain	32
Sweden	27
Switzerland	30
United Kingdom	18
United States	12

1. Data from the OECD Database on Unemployment benefit Entitlement and Replacements Rates, except for Czech Republic, Hungary and Poland, Boeri and Edwards (1997). Data refer to 1995 except for the Czech Republic, Hungary and Poland where data are based on rules in 1996.

Source: OECD Database on Unemployment benefit Entitlement and Replacements Rates; Boeri and Edwards (1997), Table 5b.

Table 25. **Implicit equivalencies for additional household members**[1]

	Czech Republic	Belgium	Netherlands
Adult (couple)	**77**	33	48
+ 1-2 children	**62**	25	7
+ 3-4 children	**66**	43	11

1. Additional benefit attributed as a per cent of a single person's benefit. These equivalencies for children are approximate, as they vary with the age of the children. Data are for July 1997.

Source: OECD (1998*b*), The Battle against Exclusion: Social assistance in Belgium, the Czech Republic, Netherlands and Norway.

Box 15. **The Minimum Living Standard**

The Minimum Living Standard (MLS) is supposed to represent the minimum amount of money that a household of given composition would require for its subsistence. It consists of two parts, the first of which provides funds to cover the material needs (food and essential goods, *i.e.* clothes) of an individual of a given age. The second part provides for household needs (including shelter, heating and basic appliances) and depend solely upon household size. Thus, the monthly minimum living standard for a family consisting of two adults and two children aged 5 and 8 years would be Kc 8 810, consisting of Kc 7 160 for personal needs and Kc 1 650 for household expenses.

The minimum living standard, July 1997

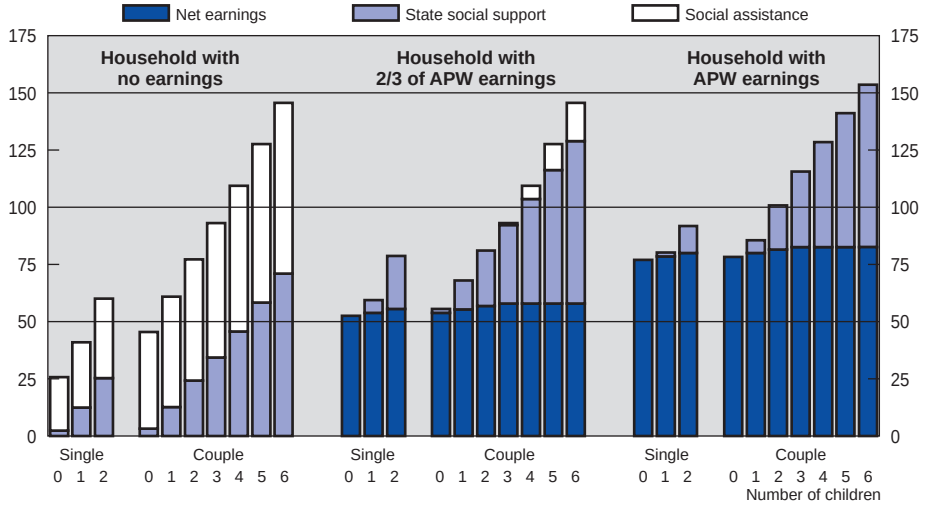
	Adult	Age of child			
		0 to 6	6 to 10	10 to 15	15 to 26
Personal needs (food, clothes and essential goods)	2 020	1 480	1 640	1 940	2 130
	Size of household				
Household needs (shelter, heating and basic appliances)	1	2	3 to 4	5+	
	1 020	1 330	1 650	1 860	

The combination of benefit withdrawal and the tax system yields effective marginal tax rates (EMTRs), which, in the Czech Republic, are very high for a wide range of households (Figure 22), but especially for households composed of an adult couple neither of whom are working. Such a household with three or more children would gain no additional income if either adult were to accept work earning two-thirds the average production wage.

The detailed data necessary to evaluate the extent of distortions introduced by these EMTR are not available. Nevertheless, high and rising rates of unemployment, non-employment and long-term unemployment among the Romany (who tend to have large families) and the unskilled (who are more likely to have low wages) are consistent with the hypothesis that social benefits are distorting

Figure 21. **NET EARNINGS AND SOCIAL SECURITY**

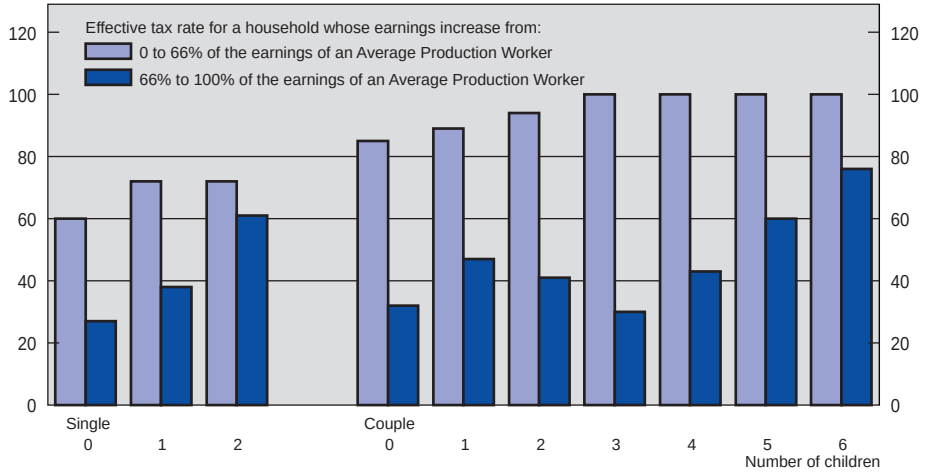
Per cent of gross Average Production Worker (APW) earnings



Source: Ministry of Labour and Social Affairs.

Figure 22. **ESTIMATED EFFECTIVE MARGINAL TAX RATES**

Per cent



Source: OECD calculations based on data supplied by the Ministry of Labour and Social Affairs.

labour supply. Local PES and social assistance officers estimate that in June 1997 about two thirds of benefit recipients had no real interest in looking for work and only did so in order to qualify for benefits (OECD 1998*b*). As unemployment rates rise and more individuals are exposed to these benefits, the incidence of long-term unemployment and non-employment can be expected to rise further, as they have done in many other member countries with similarly generous systems.

There is also a wide range of additional benefits available to members of the working-age population (Box 16). Although early retirement was used in the transition process to ease the cost of adjustment, since 1996 the programme has been much less generous. Nevertheless, these benefits still provide a financial incentive to early retirement and in 1997 their share in total new pensions increased to 26 per cent from 18 per cent in 1996. In addition, there is some evidence that the relatively high benefits offered by the disability system (and apparently lax monitoring of eligibility requirements) have encouraged people to seek this as an alternative to standard social benefits. In 1995, 6.3 per cent of the working-age population were receiving a disability pension – an 11 per cent increase since 1990. This compares with disability rates below 4 per cent in many OECD countries.[40] Similarly, both the incidence of and expenditures on sick leave increased substantially during the 1990s. On average, 6.0 per cent of the labour force was on sick leave in 1996 as compared with a rate of 4.8 per cent in 1990. Although this increase may result from a general deterioration in the health of the population it is unlikely to explain the whole increase. Under the current system, firms are not financially responsible for employees on sick leave and, therefore, have no incentives to police its use, all the more so in a period of slow demand when the firm economises the absent worker's salary. Provisions for maternity leave and parental leave are generous as compared with other OECD countries.

The issue of rent controls is discussed below, but in the case of low income earners living in state-owned apartments, the difference between the rent actually paid and the market rent (an implicit subsidy) may represent as much as 50 per cent of these individuals' money incomes and substantially reduces incentives to move in order to find employment.[41]

Box 16. **Other Income Support schemes**

Early retirement programmes

In 1996, 16 per cent of all new pensioners in the Czech Republic took early retirement. The basic retirement age is 60 for men and 53-57 for women (depending on the number of children), but is scheduled to gradually rise until, in 2007, it reaches 62 years old for men and between 57 and 61 years for women. It is possible to retire up to three years prior to the standard retirement age. Although initially offered widely, access to early-retirement is more restricted now and implies an almost actuarial decrease in pension. There are no prohibitions against working beyond retirement age although there is an implied financial penalty, benefits for late-retirees are increased by 1 per cent of the basis for each 90 days of work.

Take-up of the pre-retirement benefit does not allow for other earnings. After reaching retirement age, the maximum permissible income level – including additional earnings – is set at twice the Minimum Living Standard (MLS). Two years after reaching retirement age, all additional income restrictions cease to exist.

Disability

In 1995, there were 537 000 disability pensioners (6.3 per cent of the working-age population) of whom 117 000 were receiving a partial disability pension. Since 1990, the number of disability pensioners has increased 11 per cent although the population has remained stable. The average disability pension paid in 1995 was 30 per cent higher than the minimum wage.

Maternity and parental leave

A first-time mother is entitled to 28 weeks of *maternity leave,* which is extended to 37 weeks in the case of multiple births or a single mother. In addition, a *Parental allowance,* equal to 110 per cent of the MLS, is granted to a parent who personally provides for at least one child under four *years of* age (under seven if suffering from a long-term incapacity) and who does not work or who works less than two hours per day or earns less than their individual MLS. A third special sickness leave may be granted to a parent caring for a child up to 10 years old with serious special needs that cannot provided for by normal child-care channels. The state social support provides additional support for lone-parents families. The employment contracts of individuals on parental or maternity leave may not be cancelled or altered except under exceptional conditions upon their return to work, their previous (or a similar) post must be made available to them.

A maintenance allowance is provided to the dependents of individuals engaged in unpaid military service in the amount of two-thirds of the MLS of the dependent person. Additional benefits include: a foster-care allowance equal to four times the MLS of the foster child; a one-time maternity grant equal to four times (five times in the case of

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multiple births) the MLS of the baby(ies) and a funeral grant of Kc 3 000 payable to the person that arranges the funeral.

Non recurrent benefits

Non-recurrent benefits and services are also available which target low-income groups, who need not necessarily be regular social assistance claimants. These benefits generally cover essential but exceptional expenditures (e.g. contributions towards school trips of dependent children, or the acquisition of refrigerators, exceptional housing costs, exceptional medical expenses, vehicle grants, transportation grants and collective meals) and are given at the discretion of local authorities.

Heating and housing benefits

Following the hike in energy prices in July 1997, the government introduced a heating benefit that will be phased out by the end of June 2000. Initially it pays 50 per cent of a family MLS for households with no income and is clawed back at a 62 per cent rate as income rises to a maximum of 1.6 MLS. The maximum benefit is scheduled to fall to 0.35 MLS in July 1998 and 0.2 MLS in July 1999.

A similar measure was introduced following rent hikes in July 1997, but this benefit is also to be phased out by the end of June 2000. It is available to renters only and its amount varies by size of town. Qualified renters living in Prague will receive 1.8 times the base amount, while those living in towns with fewer than 100 000 inhabitants will receive only half the basic benefit. This benefit was initially set at 0.6 times the MLS for a household with no income and is gradually clawed back at a rate of 62 per cent as income rises to 1.6 times the MLS. In July 1998 the base amount will fall to 0.4 MLS and to 0.3 MLS in July 1999 before being eliminated 1 July 2000.

Active labour market policies (ALMP)

Low unemployment and high employment rates have permitted the Czech Republic to concentrate its employment policy on helping the least skilled and those most prone to unemployment. Total expenditure on labour market policy was just 0.4 per cent of GDP in 1997, one of the lowest ratios in the OECD. Approximately half of all spending went to active measures including the operations of the PES, which consumed 50 per cent of the ALMP budget, the remainder being shared between training programmes, youth measures, subsidised employment and measures for the disabled (Table 26). Since the beginning of the transition the number of individuals participating in ALMP has fallen from a

Table 26. **Labour market programmes**

	1991	1992	1993	1994	1995	1996	1997
	Spending as a per cent of GDP						
Public employment services and administration	0.09	0.09	0.10	0.11	0.10	0.09	0.11
Labour market training	0.01	0.01	0.01	0.01	0.01	0.01	0.01
Youth measures	0.01	0.04	0.03	0.01	0.01	0.01	0.01
Subsidised employment	0.08	0.15	0.04	0.04	0.03	0.02	0.02
Subsidised to regular employment in the private sector	0.05	0.09	0.02	0.02	0.01	0.01	0.00
Support of unemployed persons starting enterprises	0.02	0.03	0.01	0.00	0.00	0.00	0.00
Direct job creation (non-profit)	0.01	0.03	0.02	0.02	0.02	0.01	0.01
Measures for the disabled	0.00	0.01	0.01	0.01	0.00	0.00	0.00
Unemployment insurance	0.23	0.18	0.16	0.18	0.14	0.14	0.21
Early retirement for labour market reasons	–	–	–	–	–	–	–
	Programme participants at end of year (thousands)						
Labour market training	4.30	3.70	3.30	3.00	2.40	2.40	1.50
Youth measures	14.40	21.9	7.00	6.50	5.10	4.80	2.50
Subsidised employment	40.10	95.9	79.10	47.50	28.30	21.80	20.50
Subsidised to regular employment in the private sector	21.70	64.20	56.40	35.40	20.00	13.60	10.50
Support of unemployed persons starting enterprises	12.00	26.00	19.50	9.00	5.00	3.50	3.00
Direct job creation (non-profit)	6.20	5.70	3.20	3.10	3.30	4.70	7.00
Measures for the disabled	–	1.40	1.00	0.70	0.72	0.62	0.43
Unemployment insurance	16.40	62.30	93.40	78.30	67.60	93.40	126.70
Early retirement for labour market reasons	–	–	–	–	–	–	–

Source: Ministry of Labour and Social Affairs.

Table 27. **Employment office networks, staff members, and work-load indicators**

	A	B	C	D/(A+B)	U/C	Flow-UC	Flow-V/C
	Number of regional head-quarters	Number of local offices	Total staff of labour offices	Average staff per labour office	Unem-ployed persons per staff (end of year)	New cases: monthly flow per staff	Notified vacancies: monthly inflows per staff
Austria, 1994	..	96	4 230	44	76	14	5
Czech Republic 1997	**77**	**238**	**4 400**	**517**	**47**	**7**	**..**
France, 1995	22	800	36 600[1]	46	140	19	7
Germany, 1994	..	184	55 900	303	10	9	5
Hungary, 1996	20	176	4 197	21	119	11	9
Japan, 1991	..	479	15 284	27	85	20	44
Norway, 1994	18	168	4 234	25	26	4	6
Spain, 1994	52	753	15 062	20	176	11[2]	3[2]
United Kingdom, 1991	9	1 100	38 400	35	..	..	5

1. Employment services including unemployment benefit administration.
2. Vacancies exclude ''nominated vacancies'', for which employers already have candidates; inflows include those who immediately register an employment contract without experiencing unemployment.

Source: Ministry of Labour and Social Affairs; OECD.

peak of 122 900 in 1992 to 24 500 in 1997 with a dramatically reduced reliance on subsidised employment explaining the bulk of the decrease.

The public employment service (PES) operates a network of 77 regional offices and 238 branch offices that are responsible for the administration of unemployment insurance, training programmes, job-placement services, counselling, job-creation schemes and monitoring compliance with the labour code. The PES is well staffed and funded and staff-client ratios are high given past levels of unemployment (Table 27), but, relative to the labour force, staffing levels are similar to those observed in other OECD countries. Low unemployment has translated into a low case-load and allowed officers to focus more of their attention on difficult cases, including social assistance recipients. In 1996, there were on average 160 700 registered unemployed (78 per cent of the unemployed according to the labour force survey definition) and, of these, less than half received unemployment insurance. Over the entire year, 31 220 individuals participated in various ALMP,[42] the largest share (43 per cent) in subsidised employment programmes and the second largest (38 per cent) in training programmes (Table 26).

Box 17. **The Pro-active Labour Market Intervention Fund (PALMIF)**

PALMIF was created in 1992 under the auspices of the European Union's PHARE programme to support government labour market policy during the transition. The programme has involved five phases and was recently evaluated by the OECD (1997). It provided funding to support new, innovative ALMP's programmes aimed at local problems, with an eye to encouraging the decentralisation of decision making in the Ministry of Labour and Social Affairs and providing experience with projected-based funding. In the period 1992-1995 some 800 jobs were created and some 3 400 individuals trained in PALMIF related projects.

The programme succeeded in its principal aims of exposing PES employees to alternative ALMP techniques and in giving them experience with project-based funding. However, as indicated in the OECD evaluation, because programmes were not designed so as to afford an evaluation of their impact on the labour market, it is not known to whether or not they actually improved the employability of workers or added to net employment.

Although the PES does not have a monopoly on job-placement services, all vacancies and hires by firms must be reported to it. The PES provides active placement services to the registered unemployed and the disabled. Unregistered job seekers, including the employed, are not entitled to active support but are eligible for PES counselling and may consult the listings of vacancies, which include addresses and phone numbers of prospective employers. The PES has drawn upon experience in Germany and aid from PHARE in designing its placement techniques. In particular, the Pro-active Labour Market Intervention Fund (PALMIF) has provided an opportunity for experimentation and innovation in the provision of both placement and training activities (Box 17). The Ministry of Labour and Social Affairs (MLSA) realises that the task of the PES will become much more difficult as unemployment levels rise and vacancies fall. Nevertheless, it feels that the tools, equipment and methodology that it has put into place with the help of western experts will be able to deal with these increased demands.

The registered unemployed are generally required to meet with their PES officer once every two weeks and show proof of job search (in the form of a signed form from prospective employers). Individuals who refuse suitable jobs or

are deemed by the PES not to be actively looking for work can be dropped from the unemployment register for a period of three months. These decisions are subject to appeal, in part, because unemployment registration is a condition for access to most social assistance benefits. In general, it appears that work-availability conditions are well enforced for most classes of able-bodied benefit recipients, approximately 14 per cent of the individuals leaving the benefit system do so because of cut off. However, enforcing job search is also difficult for some groups and PES officers indicate that they turn a blind eye to the as many as 66 per cent of their clients who are not seriously looking for work.[43] Occasionally employers specify that they do not want Romany workers and many PES officers respect this wish, arguing that doing otherwise would hurt firm-PES relations and the service's capacity to fulfil its other functions. There are provisions for benefit cut off if an individual refuses to participate in an active labour market programme, but they are rarely applied because PES officers feel that if individuals do not wish to work, the chances of a successful outcome from compulsory attendance are low. In general, it appears that work-availability conditions are enforced relatively well for most groups of able-bodied benefit recipients, although standards may fall as unemployment rates and case-loads increase.

As discussed in the previous sections on labour market flexibility, the PES is charged with monitoring and enforcing the compliance of firms with a number of labour market rules and, in the past, with incomes policies. The PES is also responsible for placing disabled workers, which it does through subsidies to firms that hire them and fines levied upon those who refuse to take on a proposed disabled employee. The quota system is supplemented by subsidised sheltered work often organised as co-operatives (of which there are about 70 employing about 10 000 disabled people). The PES supports ''Ergo'' diagnostic centres to assess the working potential of newly handicapped individuals and to determine where their skills can be applied. The handicapped represent 3 per cent of total employment and the severely handicapped 0.2 per cent.[44] Particular problems are encountered with placing those who have ''reduced working ability'' (a status given by the district labour office, based on a medical examination). Fifteen per cent of the long-term unemployed fall into this category, although they represent only 2 per cent of the labour force. It is not clear that the fault lies with firms, since benefit levels for these workers are sufficiently generous to make work relatively unattractive.[45]

Job creation schemes

The MLSA provides subsidies, in the form of lump sum payments to employers who agree to employ an unemployed worker in a newly-created post for a period of at least two years. The amount of the subsidy may be as much as Kc 80 000 (the equivalent of about three-quarters of the minimum wage over the entire two-year period) but is generally lower, averaging Kc 40 000. The amount awarded is at the discretion of the PES, although budgetary restrictions limit the economy-wide amount available for the programme. About 90 per cent of programme participants complete the two-year employment period. If employment is terminated prematurely, the employer is constrained to reimburse the PES on a pro-rata basis or hire another job-seeker.

In addition, the PES operates a number of ''work stages'' for school leavers. These programmes which are aimed at providing participants with practical work experience, last at least one year, with the employer receiving a subsidy equal to one year's minimum wage. The programme was used extensively at the beginning of the transition, but both expenditures and participation have tapered off in recent years as the number of school leavers has declined. Finally the MLSA also provides public works employment, mainly for the long-term unemployed. Participation in this programme, the principal goal of which is to maintain labour force attachment, has fallen but has remained roughly stable since 1993.

Training programmes

As compared with other OECD countries, both expenditures and participation in PES supported training programmes are low. Although there is provision for PES and MLSA controlled training centres, most training is provided by independent public and private entities, of which there are more than 2 000 working under contract with the PES. These centres are unevenly distributed over the territory of the Czech Republic and tend to concentrate on white-collar skills. There are few rules concerning the content and quality of the training provided. A registered job-seeker eligible for UI benefits can receive a training allowance of up to 70 per cent of his previous wage for the duration of the training (20 per cent more than the UI replacement rate) with a ceiling of 1.8 times the MLS plus compensation for training costs. If not eligible for unemployment insurance, a

registered job-seeker undertaking training will receive social assistance and compensation for training costs. Training covers both re-qualification programmes and more generalised programmes. In addition, the PES supports employer sponsored training of employed workers but this represents a small proportion of PES supported trainees.

The PES also operates a number of specialised programmes aimed at groups with particular labour market difficulties. ‘‘Chance’’, a programme that has been tested in a number of sectors and whose coverage is expected to be expanded, targets youth that have dropped out of the formal education system who normally form one of the most difficult groups to reach because they do not apply for jobs. The PES, in co-operation with other state and non-governmental organisations, actively seeks these people out. The programme eschews any semblance of a class-room training system, preferring to involve participants in enterprise-level on-the-job training. It is considered successful, although demanding and costly. In general the students participating in training at enterprise level subsequently end up in employment with the same employer. ‘‘Romstart’’, a similar targeted programme, is aimed at young gypsies. Evidence from other OECD countries suggest that such ethnically-based schemes are counterproductive and that resources are more effectively deployed when programmes focus on the reintegration of the unemployed rather than on their ethnic attachments.

A relatively tight control of job-search conditions and an aggressive programme of subsidised employment for the unemployed have been hallmarks of the Czech PES. No doubt, they have helped prevent long-term unemployment from rising higher and have contributed to relatively high exit rates from unemployment and may have helped to counter-balance the disincentive effects emanating from high replacement rates in the social security system. Experience in other countries that have operated similar systems which sought to balance generous social support with strict enforcement of job search criteria suggests that these systems become increasingly difficult to manage as unemployment rises. In the case of Sweden and Finland, the governments were eventually obliged (at least temporarily) to lower replacement rates as their systems increasingly relied on passive measures and job search criteria could not be effectively monitored as case loads rose.

Increasing the knowledge base, efficiency and innovative capacity

Upgrading skills and competencies

In the Czech Republic – as in all OECD countries – labour-market performance in terms of employment, unemployment, and wages is directly related to educational attainment: unemployment and low wages, as noted above, are concentrated among the less-educated. In 1994, the Czech Republic spent 6.2 per cent of GDP on education, the seventh highest ratio in the OECD. Since then, spending has fallen as a share of GDP. Spending and teacher-student ratios are about average at the primary level but, relative to other countries and expenditures at the primary level, the Czech Republic expends considerably more resources per student at the secondary and especially the university levels.[46] Schools (including state schools) now enjoy a great deal of freedom; they are legally autonomous and can sell their services (such as adult education) and accept funds from private individuals or municipalities. Nevertheless, the Ministry of Education continues to provide the vast majority of financing through a per-student allocation.

Basic education, which covers the nine years of compulsory education, is largely unstreamed and provides a primary grounding in both academic and practical skills. The quality of Basic education appears to be high; young Czechs score very well in international tests of mathematical and scientific ability[47] and even more encouraging, high scores are relatively evenly distributed among Czech students as compared with those in other countries. On the other hand, the system seems to favour young boys' acquisition of technical knowledge; they outperform girls on standard tests by a much wider margin than in other OECD countries.[48]

At the *upper-secondary level,* about one-sixth of students are enrolled in the academically oriented Gymnasia, which offer a *Maturita* certificate (necessary for university entrance); the remaining students follow a vocational or technical stream, about half of which also receive the *Maturita* (Table 28). While a large proportion of the curriculum of the Technical and Vocational schools is supposed to overlap with that of the Gymnasia, there are few controls and the quality of education represented by *Maturita* varies widely. Nearly all Gymnasia graduates are admitted to university as compared with only one-third of *Maturita* holders from the Technical schools and an even smaller percentage of Vocational school

Table 28. **New entrants to secondary education**

Per cent of total

	1989/90	1990/91	1991/92	1992/93	1993/94	1994/95	1995/96	1996/97[2]
Total[1]	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**
Gymnasia	**15.0**	**15.9**	**16.9**	**17.1**	**16.7**	**17.7**	**17.7**	**51.7**
4-5 year	**15.0**	**–**	**12.9**	**12.4**	**10.4**	**9.4**	**8.7**	**2.2**
State	15.0	–	12.3	11.2	9.1	8.3	7.9	2.1
Non-state	–	–	0.5	1.2	1.3	1.1	0.8	0.1
Multi-year	**–**	**–**	**4.1**	**4.7**	**6.3**	**8.3**	**9.1**	**49.5**
State	–	–	3.8	4.2	5.5	7.4	8.1	43.9
Non-state	–	–	0.3	0.6	0.8	0.9	1.0	5.6
Technical schools	**24.0**	**26.3**	**29.6**	**28.6**	**30.9**	**29.9**	**30.6**	**18.7**
Maturita	**24.0**	**–**	**23.7**	**25.6**	**28.9**	**28.9**	**30.0**	**18.2**
State	24.0	–	22.5	22.4	23.3	22.1	24.3	16.3
Non-state	–	–	1.2	3.2	5.6	6.8	5.6	1.9
Non-maturita	**–**	**–**	**5.9**	**3.0**	**2.0**	**1.0**	**0.7**	**0.5**
State	–	–	5.2	2.2	1.6	0.8	0.5	0.2
Non-state	–	–	0.7	0.7	0.4	0.3	0.2	0.3
Vocational schools	**61.0**	**57.8**	**53.4**	**54.3**	**52.4**	**33.6**	**32.5**	**20.1**
Maturita	5.7	5.3	4.6	5.4	5.8	3.9	3.3	0.7
State	5.7	5.3	–	5.1	5.3	3.5	3.0	0.5
Non-state	–	–	–	0.3	0.5	0.4	0.4	0.2
Non-maturita	55.3	52.4	48.8	49.0	46.6	29.6	29.2	19.4
State	55.3	52.4	–	45.2	41.4	25.8	25.4	16.1
Non-state	–	–	–	3.7	5.2	3.8	3.7	3.4
Integrated schools	**–**	**–**	**–**	**–**	**–**	**18.8**	**19.2**	**9.4**
Maturita	–	–	–	–	–	7.0	7.4	3.1
State	–	–	–	–	–	6.9	7.4	2.5
Non-state	–	–	–	–	–	0.1	0.0	0.6
Non-maturita	–	–	–	–	–	11.8	11.7	6.4
State	–	–	–	–	–	11.6	11.7	6.4
Non-state	–	–	–	–	–	0.1	0.0	0.0

1. Excluding new entrants to special schools for the handicapped.
2. The dramatic change in the structure of new entrants in 1996/97 reflects a legal change requiring 9 instead of 8 years of basic education.

Source: Ministry of Education, Youth and Sports, Database; Institute for Information and Education.

graduates. Mobility between the different streams is theoretically possible, but in practice occurs rarely.

The concentration of secondary students in the Technical and Vocational streams and the difficulty with which they accede to university means that, despite apparent success at the level of the Basic schools, the system as a whole fails to provide a high average level of educational attainment. In contrast to

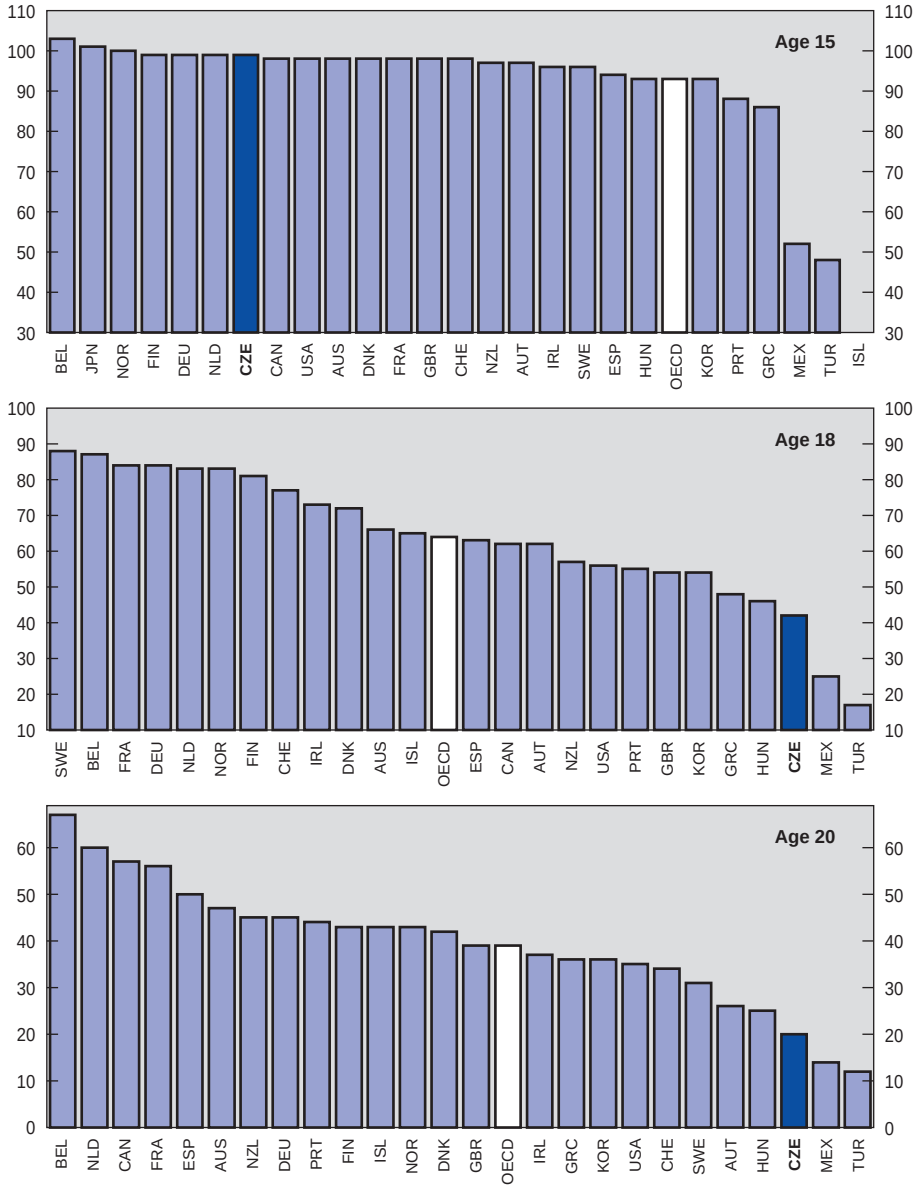
results from the Basic schools, soon-to-graduate students perform poorly on international tests of mathematical and scientific attainment. Principally because of the short duration of many secondary programmes, enrolment rates drop markedly from 97 per cent at 16 years old to 72 per cent at 17 years (the fourth lowest rate among OECD countries) and 42 per cent at 18 (much lower than the OECD average of 64 per cent). Nevertheless, the ratio of upper-secondary school graduates to the population at typical graduating age is only slightly below the OECD average; in addition, recent changes to the duration of secondary level courses and the increase of compulsory schooling to nine years should continue to yield rising enrolment rates. By age 24, only 4 per cent of the cohort are attending schools compared with 16 per cent on average in the OECD (Figure 23). In part, this rapid drop off is explained by the lack of opportunities for further education. Although possibilities for non-university tertiary education have expanded in recent years, they remain limited and the increase in university admissions has been outstripped by the increase in qualified school leavers. Only one in two applicants to university are accepted (22 per cent of youth) and even fewer graduate. In 1994, only 14 per cent of young adults had university-level degrees and 1.6 per cent had graduate degrees as compared with OECD averages of 30 and 3.5 per cent.

As compared with the 1980s, the overall role of the public-sector in adult education has fallen substantially, although it has been increasing in recent years. This largely reflects the collapse of institutional arrangements through which secondary and tertiary-level courses (although generally considered of lower quality) were provided to workers in enterprise-sponsored evening courses. Increasingly, the private sector (including for fee courses provided by public institutions) is playing an important role in adult education both independently and in the context of the ALMP training programmes already discussed. Programme delivery tends to vary widely in terms of content and quality. While co-financing and normal market mechanisms should ensure that superior courses survive, there may be room for the government, in co-operation with firms and worker-groups, to create a strategic framework and systematic system of evaluation in order to ensure that progammes correspond to the economy's needs.

With the return to democracy, the previous rigidly controlled school system was substantially decentralised (OECD 1996*b*). The previous monopoly of Basic schools at the primary and lower secondary level is increasingly being challenged

Figure 23. **ENROLLMENT RATES BY AGE**

Per cent



Source: OECD, *Education at a Glance.*

by Gymnasia, some of which now accept students at the lower secondary level. Private and church-run schools are increasingly common especially at the secondary level: as of 1995/96, 15 per cent of students entering the secondary school system enrolled in such private schools. Responding to a demographic bubble in the late 1980s, and early 1990s, the number of Basic and Technical schools and Gymnasia grew significantly. Since then, both the number of students and schools have been falling. So far, the stock of teachers has fallen less quickly and student-teacher ratios have dropped by as much as 15 per cent. Technical schools have held their own in terms of numbers and enrolments, while vocational schools are experiencing a decline, which is explained in part by the emergence of new ''Integrated'' schools that combine the curriculum of the Technical and Vocational schools. At the tertiary level, five new regional universities have opened up, bringing the total to 27. University enrolment rates have been rising and, increasingly, bachelor-level courses are being offered. In addition, a whole new category of tertiary institution has been created: the so-called ''higher professional schools'', of which there were 158 in 1997. Unlike the universities, these ''higher'' schools, one-third of which are private, can charge fees and a number of them include business schools or technical schools which co-operate with major universities. Although there are some problems with official recognition of these degrees, they are increasingly accepted as equivalents by business.

The decentralisation of the education system has created a number of problems. At the Basic-school level there is no systematic testing or evaluation of educational attainment, with the result that students are required to sit separate entrance exams at each secondary institution to which they apply. The university entrance certificate, the *Maturita*, is awarded at the entire discretion of schools and the quality of education it represents is of widely varying quality. As a result, each university also imposes separate entrance exams on applicants. By the same token, increases in the range of schools operating at the Basic and secondary level may result in an increased *de facto* streaming of students and reduced possibilities for mobility. To counter this tendency towards fragmentation in the education system, the 1996 OECD *Reviews of National Policies for Education* for the Czech Republic argued that the infrastructure charged with ensuring national standards at the Basic and secondary school level needed to be reinforced. It argued that the Czech School Inspectorate should be strengthened and should evaluate the quality of education being delivered by schools, while the

establishment of a regional school authority would improve the uniformity and success with which the national curriculum is applied. The review recommended that the *Maturita* should be standardised at the national level and differentiated across specialisations. The 1996 OECD review argued that the general educational components of the curriculum in the Technical and Vocational schools should be reinforced if graduates from these schools were to improve their chances of gaining university admittance. It recommended that more emphasis be placed on practical skills in the general schools in order to improve the labour market chances of students who end their studies at this level. The poor labour market performance of Trade and Vocational School graduates without the *Maturita* and general school students with it, suggests that these qualifications are not well respected in the market and their curricula may warrant review. Equally important, the report argued in favour of a diversification of the content of university-level education and the desirability from both a pedagogic and financial point of view of relying less on in-class formal instruction and more on self-study.

Product market competition

Since the beginning of the economic and political transition, the Czech Republic has maintained a consistently pro-enterprise policy stance and, as a result, the share of the private sector in GDP rose from about 4 per cent to an estimated 75 per cent. Whereas in 1990 there were only 19 000 registered firms, in 1997 there were about 1.5 million (although half were not active, either because they were out of business or because they never succeeded in starting up). Three-quarters of all firms are classified as small businesses, most are small owner-operated ventures and employ only six people, on average. Companies with fewer than 100 employees generate 20 per cent of GDP and employ 24 per cent of the work force. The regulatory environment for small and medium enterprises (SMEs) is relaxed and imposes relatively few legal or administrative requirements. Shops may open any day of the week and there are no restrictions on their hours of operation. Some of the programmes that the government operates in support of these firms are briefly described in Box 18.

The increasing importance of market forces in shaping developments has been less marked among larger firms. Most of the large state-owned enterprises were initially broken up into smaller units, which were subsequently privatised.

Box 18. **Programmes for Small and Medium Enterprises (SME)**

The government operates, through the Czech-Moravian Guarantee and Development Bank (CMGDB), seven distinct programmes in support of small and medium enterprises. The programmes all have the objective of supporting the process of establishing and developing SMEs principally by facilitating their access to capital and through business risk-sharing. There are four basic programmes: GUARANTEE (ZÁRUKA), START, DEVELOPMENT (ROZVOJ) and CREDIT (KREDIT); and three supplementary programmes: REGION, REGENERATION (REGENERACE) and SPECIAL. The programmes focus on facilitating entrepreneurs' access to bank credits, orienting credits towards investments, expanding business investment in selected municipalities and districts and enhancing employment prospects for selected sub-groups of the population. Additional support to the agricultural, forestry and fishery sectors is provided through the Ministry of Agriculture. Programmes operated by the Ministry of Labour and Social Affairs (described above) and the Ministry of Education in support of R&D (see below) as well as programmes aimed at energy conservation also provide support to SMEs.

Some of these have performed well, others less so. The ownership structure following the voucher privatisation insulated many uneconomic firms from competitive pressures and slowed the pace of restructuring. Chapter III discusses the government's plans for further privatisations, the success of which will be dependent, in part, on the quality and appropriateness of the regulatory environment that is set up. For the moment the details and timing of these reforms remain undecided. A wider range of activities remain outside the competitive sphere, either because they are dominated by state-owned monopolies or because they are subject to price regulation (Table 29). The list includes almost all so-called ''natural'' monopolies, including fixed-line telephony (partially privatised), gas and electricity production and distribution, heating, the railroad, the post office and, surprisingly, third-party liability insurance. Many of these activities can be made partly or wholly competitive and are increasingly being opened up and subjected to market forces in other countries.

Reflecting the ideological agenda of the previous regime, the prices of a number of so-called ''essential consumer goods'' (energy, housing, telecommunication, heating and health services) were kept well below their market levels

Table 29. **Controlled, non-market prices**

Administratively set prices (maximum prices)	Prices regulated on the basis of *ex post* cost and profits
Natural gas (wholesale and retail)	Drinking water and sewage services
Electricity (wholesale and retail)	Central heating
Telephone – fixed line, mobile and radio phones	Inter-city passenger bus tariffs
Railroad passenger tariffs	Postal services
Rents in non-co-operative apartments	Subsidised urban public transport
Health services	

Source: Ministry of Finance.

and, despite a number of large increases, remain so. Other prices are regulated by the Ministry of Finance according to a cost-based price principle, the basis of which is not publicly known. Below-market energy costs for consumers are cross-subsidised by excessive prices for Czech firms, with the predictable impacts on their competitiveness. Rent controls may introduce even more serious distortions. Despite large increases in maximum prices, controlled rents in some areas are only one eighth of market rates and fail to pay for the maintenance of buildings. Strong tenant-rights legislation gives lease-holders *de facto* property rights to their apartments and has led to the establishment of a relatively open – but illegal – market in leases. Although rents on new construction and new leases are not subject to controls, the price margin between free and controlled-market rates is such that virtually no rental construction is being undertaken at a time when the number of households and therefore the demand for apartments is rising rapidly.[49] Erbenova (1995) argues that the lack of a rental market is an important factor in the failure of migration to equilibrate regional labour markets, and notes that a high share of inter-regional migration involves a bilateral exchange of apartments. In an effort to equalise controlled and market rates, the government has announced its intention to increase maximum rents much more quickly than inflation. In July 1997, they were raised by, on average, 50 per cent with increases of 100 per cent in Prague and of 62 per cent in other cities with more than 100 000 inhabitants. A similar 26 per cent average increase is scheduled for July 1998. Although these efforts will serve to reduce the extent of distortion, it would take about six[50] further years of 50 per cent annual rent hikes to equalise market and controlled rents in Prague, a programme which may prove difficult to sustain politically.

Box 19. **The Competition Office**

In 1996 the Competition Office instigated 24 cases against firms having entered into agreements harmful to competition, including an agreement between the Ministry of Industry and petrol distributors to raise fuel prices. Of these 24 cases, thirteen resulted in the imposition of fines totalling Kc 16 470 000. Administrative proceedings were undertaken in 25 instances for abuse of dominant position, including a finding that the state-owned third-party insurance company abused its monopoly position when charging different fees to different groups for the same services. Fines totalling Kc 31 125 000 were imposed in fifteen of the cases. In 1996, eleven Competition Office decisions were appealed to the high court and decisions rendered in eight cases. Only one ruling was completely repealed, while in three other cases, aspects of the initial decisions were modified. In the area of mergers and acquisitions the Office conducted 75 administrative proceedings. Of the 73 applications for permission to merge all but one were approved. The other two cases involved actions undertaken by the office against firms that failed to get permission prior to merging. The office is also involved in a significant amount of competition advocacy (*e.g.* support for free trade agreements, surveillance of municipal bodies and bodies of state administration to encourage conformity of their decisions with the Act on the Protection of Economic Competition, surveillance of public procurement to promote competition, and lobbying to introduce competition rules into new or existing regulatory regimes). In this context, its actions have included requesting that a municipality open up what had been a closed tender and a verification of the pricing system in the gas distribution sector.

In conformity with international obligations, Czech competition law has been modelled upon and is being harmonised with that of the EU. Since 1996, responsibility for the promotion and protection of competition lies with the independent *Office for the Protection of Economic Competition*. It is charged with policing restrictive agreements, ensuring against the abuse of dominant monopoly positions, the approval of mergers and acquisitions and enforcement of public procurement legislation. Previously, these functions were the responsibility of the, now disbanded, Ministry of Economic Competition. The authorities are considering expanding the responsibilities of the office to include investigation of anti-dumping cases. In its first year of operation the office was relatively active, pursuing some 387 cases (see Box 19), the majority of which were resolved without resort to the courts or the administrative measures at the office's disposal.

In some sense, the government's desire to let markets find a solution to the allocative problem went too far. Thus, as described in Chapter III, the lack of regulation in the stock market and poor protection of minority shareholders' rights resulted in a loss of international investor confidence in the Czech stock exchange. This has likely been a factor in the relatively low inflows of foreign direct investment, especially as compared with Hungary. The recently-announced measures to improve financial market regulation and the creation of the new securities exchange commission should go some way to improving this situation. Nevertheless, as indicated in Chapter III more needs to be done.

Technology and innovation

In the 1980s, the Czech Republic enjoyed an important technological advantage as compared with other eastern European countries in a number of sectors, particularly in the weapons field, aeronautics and the chemical industry. Following the opening of the economy some of these apparent advantages were lost but many remain and new ones are being revealed. Technological progress, new management, marketing and financial techniques have been acquired through foreign direct investment and less importantly from the advice of western governments and non-government agencies. Foreign enterprises and joint ventures bring with them best-practice technologies that are transferred directly to local employees and indirectly through demonstration effects to domestic competitors (see Box 9). Having access to new products and production techniques from their international affiliates, foreign and joint-venture firms tend to be more innovative than domestic ones, both in terms of product and process innovation.

In contrast with other countries, the Czech Republic offers little in the way of tax incentives to firms performing R&D. Until recently, the government has preferred to keep tax schedules as simple as possible and deliver R&D support through direct subsidies. International co-operation, particularly within the context of the EU's research programmes, has become a cornerstone of Czech science and technology policy for acquiring and diffusing knowledge. The Czech Republic participates in a network of 62 EU Innovation Relay Centres through the FEMIRC-CZ, an innovation centre in Prague which provides technology-transfer services to firms and encourages participation in Community research and technology development programmes. In addition, business and innovation centres have been established in Prague, Brno and Plzen to promote small

business creation. Government support to R&D represents about 0.5 per cent of GDP, a figure that the authorities would like to see rise to 0.7 per cent. A 1997 concept paper opened up the possibility for employing tax incentives but so far it has not been implemented.

R&D policy making and programme delivery is decentralised. Basic science and R&D policy are the responsibility of the Ministry of Education, Sports and Youth, while the Ministry of Industry and Trade and that of Health look after industrial and health-care R&D respectively. The Academy of Sciences and the Grant Agency of the Czech Republic are the institutions responsible for distributing funds to academia and independent researchers. The Research and Development Council co-ordinates these agencies, is charged with advising the government and preparing the state budget proposal for R&D, based on inputs from all agencies with R&D responsibilities. It maintains a database of all agreed projects and another including resulting publications and patents. In 1996 some 4 634 projects were supported following selection through public tender. Funding is split approximately evenly between basic and applied research and development projects.

Specific programmes run by the Ministry of Industry and Trade include:

- *Technos,* which supports the R&D projects of innovative enterprises for a period of less than 3 years. The programme is accessible to any firm in the Czech Republic and consists of a loan for up to 50 per cent or Kc 5 million and, if the project involves several participants, a grant of a similar amount;
- *Park,* which provides support to the establishment and maintenance of Science and Technology parks that function as business incubators and disseminators of technology. The programme requires the existence of a concrete business plan, firms having contracted to occupy at least 50 per cent of a new park's area and 70 per cent of existing ones;
- *The Export Effectiveness of Czech Industry,* which supports the development of new industrial products, materials and technologies; and
- *Centres of High Technologies,* which seek to facilitate the transfer of technology from basic research to industrial applications.

Overall, measures of research and development activity *per se* indicate a decline in activity since 1990. R&D expenditure as a share of GDP has fallen from 2.1 per cent of GDP in 1991 to an estimated 1.2 per cent in 1995, as

compared with an OECD average of 2.3 per cent. Output, as measured by patent applications is growing rapidly and is dominated by non-residents who in 1994 applied for fully 22 times more domestic patents than residents. Under communism, the central planning system allocated a large share of resources to R&D activity, which was concentrated in large firms and in a number of special research institutes that focused on applied R&D (and were not integrated into the university system which concentrated on basic research). Since then, the government has sought to liberalise and rationalise R&D activity. As a result, the share of universities in total R&D has increased from 1.6 per cent in 1991 to about 9 per cent in 1995 (or 0.1 per cent of GDP, the lowest in the OECD) and university-based researchers now represent 13 per cent of all researchers. At the same time, the number of research institutes has been dramatically reduced and total employment in R&D fell from 82 000 to 32 000, or 0.5 per cent of the labour force.[51] Nevertheless, there remain 99 state-owned or controlled research organisations and institutions (43 depending on the Ministry of Culture and 39 upon the Ministry of Health). The government finances about of one-third of this activity and performs about 26 per cent. Government researchers represent 36 per cent (the second highest ratio) of all researchers as compared with an OECD average of 9.5 per cent.

The Czech Republic, like neighbouring transition countries, has made steady progress in adjusting its research infrastructure along the lines of more advanced OECD countries. While recent programmes and schemes to support technology and innovation have been modelled on the experience of western countries, several obstacles remain, notably the relative lack of resources to ensure broader impacts. Low replacement rates of equipment in research institutes, for example, could stifle co-operation with industry or foreign research institutes. Improving management abilities within research institutes would also contribute to enhancing their contribution to innovation. The recent establishment of the Czech Association of Research Organisations is a positive initiative for improving networking and sharing best practices.

Recent policy actions

With the rise in unemployment that began in earnest during 1997, the government has been paying increasing attention to labour market policy which,

perhaps understandably, had not previously been a major legislative focus. As yet, few concrete steps have been taken, although the MLSA plans a major revision of the labour code, moving towards a much more liberal regulatory stance. In the near term, a bill will be prepared that would reduce notice periods and eliminate the requirement that firms discuss individual dismissals with trade unions. There are also plans to put into place rules, broadly based on EU directives, concerning collective dismissals. A new law on pensions came into effect in January 1998 which, among other things, seeks to respond to the rise in full-time disability pensioners. Under the new legislation, eligibility criteria have been tightened and the number of new pensions granted has been declining, although the number of partial-disability pensions has simultaneously increased.

As of January 1998, the conditions governing the unemployment insurance system have been further restricted. The maximum replacement rates were reduced from 60 to 50 per cent during the first three months of an unemployment spell and from 50 to 40 per cent during the second three months, while the payment to trainees was reduced to 60 per cent. The minimum living standard (MLS) was revised in April 1998. Reflecting increases in housing costs, the household component of the minimum rose disproportionately resulting in a moderate fall in the implicit equivalences for additional household members.

The government is contemplating a number of initiatives in the educational sector. Of particular interest is the introduction of a programme of comparable *Maturita* which seeks to gradually standardise this qualification. In addition, the government has initiated a programme gradually decentralising some of its authority in the educational sphere to the regional level and a recently passed amendment to the Higher Education Act allows for private providers of tertiary education.

Assessment and scope for further action

Czech labour market performance over the past several years has been exemplary. In the early years of the transition, government-sponsored wage moderation and early retirement packages served to minimise inflows into unemployment, thereby minimising the extent of labour adjustment required. Limited enterprise restructuring and the initial devaluation also played a role here. The inevitable disincentive effects of the social insurance system were offset by

excess demand conditions in the labour market and by an aggressive policy of reinsertion followed by the PES. Nevertheless, very high social benefits for large households probably contributed to the rising incidence of long-term unemployment, which in the case of the Romany population was exacerbated by discriminatory hiring policies and their tacit acceptance by the PES. Beginning in 1997 output growth slowed and the unemployment rate began to rise rapidly.

As outlined in the previous chapters, there are a number of reasons to expect that the recent slowdown in growth will not reverse itself soon and that, without substantial structural reforms, productivity growth is likely to remain moderate. In this context, labour market policy will no longer be able to rely on rapidly-expanding demand to keep unemployment low. Increasingly, the government will need to concentrate on ensuring that the inevitable increase in inflows to unemployment that accompanies structural change do not convert themselves into a permanent rise in the unemployment rate. Simultaneously, it will need to ensure that an adequate level of social protection continues to be provided to the population.

It is, of course, impossible to evaluate with certainty the extent to which current policies will succeed in reaching these goals nor to know precisely which policy reforms will produce the greatest benefits. However, experience in other OECD countries and the lessons from the *Jobs Study* do offer a number of insights, which are elaborated upon below. One important and sometimes counter-intuitive theme emerging from that study and the subsequent country-specific reports is that in periods of uncertain demand, stringent employment security rules can, by raising the fixed costs of hiring, slow the pace at which hiring occurs, resulting in higher rates of long-term and structural unemployment. So far, there is only some evidence in the Czech Republic that these rules, despite being among the most strict in the OECD, have contributed to rising unemployment. However based on experience elsewhere, there is a realistic expectation that they will begin to do so as the current slowdown progresses and labour demand conditions grow less tight. The government's intention to liberalise the labour code will, when passed, serve to enhance the labour market's capacity to adjust to external shocks with a minimum of unemployment. The bill currently under preparation to reduce statutory notice periods and eliminate the requirement that firms gain union approval before proceeding with individual layoffs would, if enacted, constitute an important first step towards reform in this area.

On the other hand, the announced plan to establish a legal framework for large-scale layoffs remains too vague to judge its probable labour market impact. Such rules have the potential to contribute to a buildup of structural unemployment, but EU rules in this regard are compatible with a wide range of national legislation, some of which allows for considerable flexibility, and some very little. The authorities should ensure that the new framework is designed to facilitate the efficient reallocation of labour rather than prevent or slow the pace at which firms can organise their production.

The interaction between labour market performance and social equity is one of the thorniest labour market policy issues. The theoretical and empirical relationship between high benefits and poor labour market performance – especially among the less skilled – is well understood, as is society's desire to ensure an adequate standard of living to all citizens. The approach taken to the problem in the Czech Republic is laudable. Social benefits are determined in relation to an objectively-based social minimum, generally employing sensible rates of benefit clawback. Unfortunately, the ''objectively''-based social minimum is too close to average wages, and replacement rates for childless households are the second highest in the OECD. As a result, in contrast with a number of other countries, social security benefits, not the minimum wage or unemployment insurance, serve as a wage floor and are the source of the most important work disincentives for the less skilled. The problem is all the more serious for large families, where benefit rates can exceed average wages by a large margin. To date, the distortionary impacts of these benefits have been reduced by relatively tight enforcement of job-search conditions, although the evidence suggests that for some classes of workers these rules are not enforced. To help enforce job-search conditions, benefits should be refused to all recipients that decline work or training. Nevertheless, as unemployment rises it will become increasingly difficult for the PES to maintain close monitoring and international evidence suggests that replacement rates will have to be lowered to restore work incentives. Higher wages are, of course, an alternative means of lowering replacement rates, but, unfortunately, wages cannot be raised until productivity improvements are achieved. Thus, in the short term, it would appear that a lowering of benefit levels, especially for larger households, will be necessary.

Active labour market policy (ALMP) in the Czech Republic has concentrated on a rapid reinsertion into the labour force through subsidised employment,

close scrutiny of job-search criteria and, to a lesser extent, on training. These programmes almost certainly contributed to keeping measured unemployment and long-term unemployment low, although the lack of any systematic evaluation of these programmes means that it is not clear whether or not they had any impact on participants' employability. As unemployment rates rise, monitoring of job-search among benefit recipients will continue to be a priority, but increased demands on limited funds for these programmes will increase the importance of evaluating their efficiency in a systematic manner.

Efforts at reducing labour supply through early-retirement programmes helped keep measured unemployment low at the beginning of the transition and also served to maintain popular support for the reform process. Although the most important labour-supply reduction programmes were abolished in 1995, early-retirement remains a financially attractive option under the current pension scheme and there is evidence that a rising portion of the labour force has been using the disability pension to finance labour force withdrawal. The recent reform of the latter system will help to reduce outright reductions in labour supply, but because partial disability pensions are expected to replace many of the full pensions, it would appear that the disability system will continue to contribute to premature labour-force withdrawal. The government should resist pressures to expand access to programmes of labour supply reduction of these kinds which are not only expensive, but have been shown to have little net impact on unemployment rates, over the long run.

Rent controls and the moribund rental market represent a serious barrier to labour mobility and a major economic distortion. The government's current scheme whereby it hopes to raise controlled rents to market rates in a number of steps appears unworkable. So far, political resistance has been limited as the first tranche, although representing a 100 per cent increase in Prague, was relatively small in absolute terms. Future increases are likely to be less easily accepted as each subsequent per cent increase will represent a substantially larger share of households' disposal income. In the absence of reform, pressures on the housing stock are likely to be aggravated. Owners are not investing in maintenance and are unable to rent their apartments at market rates, despite having the legal right to do so, because restrictions on those rights have transferred *de facto* ownership of the apartments to their tenants. As the state and municipal governments own 90 per cent of rental units, a programme that combined a privatisation of apart-

ments with a significant strengthening in owners' rights could help speed the pace of rent liberalisation. Privatised apartments would be immediately freed of rent control restrictions, while the stock of rental accommodation should expand as incentives to invest and build are restored.

The tradeoff between economic efficiency and the economy's capacity to provide an acceptable level of support to its least fortunate members highlights the need to raise productivity levels. Chapter III has indicated a number of reforms that should speed this process but in the longer term the educational system is the principal tool by which skills are created and transmitted to the population. There seems to be considerable scope for improving and monitoring the quality of education delivered by different institutions. Although test scores of primary school graduates are high, closer supervision of the quality of education given at the basic-school level would obviate the need for entrance exams at the secondary-school level. Similarly, the introduction of a nationally-recognised *Maturita* and/or university entrance examination would reduce the need for students to sit multiple tests and could form part of a more generalised effort to consolidate and homogenise somewhat the quality of secondary education. The current project of comparative *Maturita* constitutes an encouraging first step in this regard. At the same time, a national monitoring structure could be used to increase the quality of general education delivered by the Technical and Vocational schools and thereby improve the chances of their graduates to enrol in university. Indeed, performance at the secondary level on international tests is poor, in marked contrast to results at the primary level. As teacher-student ratios are relatively high and have been rising because of the fall in the student-age population, the authorities should consider allowing teacher-student ratios to return to their previous levels and employ the liberated resources elsewhere to improve the quality of education delivered in a budget neutral manner. Finally, although university-level enrolment rates are rising, particularly in bachelor's programmes and the notion of an intermediate first degree is gaining acceptance, more could be done to ensure that graduation rates also begin to rise. Given the autonomy of the universities, the government should examine the structure of their financing to increase their incentives to further expand enrolment and the transferability of credits within and especially between tertiary-level institutions, including ''Higher professional'' schools. The possibility, included in the new Higher Education Act, of permitting private-sector institutions at the tertiary level represents a positive development.

Notes

1. From May 1993 to May 1997, the koruna was pegged to a basket made of the US dollar (with a weight of 35 per cent) and the Deutschemark (with a weight of 65 per cent).
2. In a move destined to choke off the supply of koruna, the Czech National Bank (CNB) passed a rule limiting both domestic and foreign banks' access to the Lombard facility to 20 per cent of their registered capital. At the same time, the government used moral suasion to convince domestic banks not to act as intermediaries in the interbank market (since the four largest banks were owned by the government, it is likely that they did not act against the currency). The bank initially allowed the repo rate to fluctuate before subsequently setting at a punitive 75 per cent, while CNB officials issued reassuring statements on the availability of foreign reserves and on 20 May arranged a one-year $2 billion revolving credit (which was not used) with foreign banks on very favourable terms (Libor plus 10 basis points), thereby demonstrating market confidence in the koruna and boosting its reserves.
3. For example, the *Trinecke zelesarny* steel maker granted a 9.5 per cent wage increase for 1998 (equal to expected inflation at that time) and further increases were made dependent on productivity growth.
4. Rents rose by 50 per cent on average, electricity and gas prices by 15 per cent and heating by 33 per cent. In total, these increases contributed to 3.2 percentage points of the 3.5 per cent increase in the CPI in July.
5. Czech National Bank, Monthly Bulletin, No. 10, 1997. Prices of imported goods such as household electronics rose by between 3.7 and 4.2 per cent in the first two months following the devaluation.
6. Since January 1998, the Czech Statistical Office (CSO) has produced a measure of net inflation, which excludes the effects of regulated price and indirect tax increases. According to this measure, which is described more fully in Chapter II, average inflation in 1997 was 6 per cent, as compared with an 8.5 per cent increase in the all goods CPI. The CSO has not published data according to this definition for earlier years, so it is not possible to determine to what extent ''net inflation'' accelerated.
7. The *Act on the Czech National Bank, Act No. 6/1993*.
8. ''Net inflation'' is not to be confused with ''core inflation'', a similar, but different, concept that has been published by the Czech Statistical Office for several years.
9. Net inflation is independently calculated by the Czech Statistical Office (CSO) and is published every month together with the data on headline inflation.

10. The inflation targets were prepared using a CNB estimate of net inflation, which did not exclude the impact of changes in indirect taxes and which was lower than the number ultimately produced by the CSO by 0.56 percentage points.
11. The loans covered housing and construction projects but carried very low interest rates.
12. The NPF ceased transferring funds to the state budget in 1995 but it is still used to finance spending, such as the 1996 transfer of funds to *Ceska inkasni* and additional funds associated with the 1997 floods.
13. See *Mlada fronta Dnes*, 30 January 1998, p. 14.
14. Since 1996, 20 per cent of corporate profit taxes and 64 per cent of income tax revenues are assigned to local authorities. Before 1996, revenues from the personal income tax on wages and entrepreneurial income were entirely assigned to local authorities and all corporate income tax revenues were kept by the central government.
15. See *Ceskomoravsky Profit*, 14 October 1997, p. 3.
16. The IPFs of the seven largest banks, for example, held 40 per cent of total voucher points in the first wave (Buchtikova, 1996).
17. The real exchange rate had appreciated to its pre-devaluation level by early 1994.
18. In comparing FDI flows, it should be remembered that, contrary to the other countries in the region, Czech authorities did not grant fiscal advantages to foreign investors.
19. For example, the partial sale of SPT Telecom in 1995 accounted for half the FDI in that year.
20. For example, investments are not accounted for according to the International Accounting Standards (IAS) methodology, since they can be registered either as inventories, material assets or immaterial assets.
21. Problems in data collection and definition could have affected the compilation of statistics as well.
22. As described in Chapter IV, employment protection legislation is strict and may have affected restructuring, although it is difficult to estimate the effect of legislation on labour flexibility in a transition period. Total employment, in fact, did not change much between 1990 and 1995 (it declined from 5.3 million to 5 million). however, dependent employment declined significantly, from 5 million to 3.1 million in the same period, indicating that there was both voluntary and involuntary labour shedding in some sectors (like mining, agriculture and manufacturing). This suggests also considerable job-creation in areas (like retail trade or financial intermediation) that were neglected in planned economies and where independent workers represent a large proportion of the workforce.
23. According to press reports (*Hospodarske noviny*, 29 October 1997), the Ministry of Finance at that time estimated that underpayments of social security contributions to be Kc 32 billion in 1997 alone (about 2 per cent of GDP) and tax underpayments another Kc 33 billion. By definition these estimates are constantly changing: in early 1998, the Ministry of Finance estimated that social security arrears for 1997 amounted to Kc 11 billion and that it was able to recover 2-3 billion of tax underpayment during the last months of 1997 through increased tax discipline. The stock of tax and social contributions arrears is, however, still growing.
24. Previously, bankruptcy proceedings could only be brought against firms facing ‘‘primary insolvency’’ (defined as the overhang of total overdue debt minus receivable). The nominal

stock of primary insolvency has remained around Kc 35 billion in the past three years, declining from 2.6 per cent to about 2 per cent of GDP. Inter-enterprise debt was excluded from the initial definition, because it was felt that a number of enterprises, which entered the transition with large net liabilities, would eventually be able to pay them off and become profitable (Hayry-McDemott, 1995).

25. Since banks have a controlling stake in these enterprises, they can easily prevent the same enterprises from borrowing from other banks.

26. The state succeeded in divesting itself of its hold in *Investicni a Postovni banka* in March 1998.

27. This reputation may be responsible for the relatively low levels of foreign portfolio investment received by the Czech Republic. The lack, or incomplete, regulation of the Prague Stock Exchange has been a long-standing issue of debate (see, for example, the previous Survey, p. 105). The authorities' stance was that regulation of the stock exchange would be obstructive to the development of a free-market economy (see Veverka, 1997).

28. Most of these stocks are also listed as foreign depository rights on one or more western exchanges (most often Frankfurt or Berlin, but occasionally London or New York); this means that they must meet all disclosure standards and other requirements set by those exchanges.

29. Nemecek (1997) reports that ''informed trades'', *i.e.* transactions where one of the two parties operated with private information, accounted for less than 0.2 per cent of total transactions among the 170 most liquid stocks on the PSE, as compared to 16 per cent on the New York Stock Exchange, which is consistent with the view that non-transparent trading is taking place on the OTC.

30. Crédit Commercial de France (1997).

31. OECD (1997*a*) Employment Outlook Table E.

32. Gross flows between regions, as high as 0.9 per cent in the 1960s, fell to about 0.7 per cent in the 1980s. Since the transition, the fall in migration rates accelerated dramatically, declining by as much in five years as in the previous 25 (from 0.69 per cent in 1990 to 0.48 per cent in 1995) (Statistical Yearbook of the Czech Republic).

33. Prague was the only district to receive a net inflow – equal to 12.8 per cent of its labour force, while Central Bohemia (the region surrounding Prague) had the highest outflow rate, fully 8.5 per cent of its workforce.

34. There are approximately 73 000 Slovaks who do not require work permits but must register at labour offices. There are 65 000 foreigners with work permits, with Ukranians (30 800) and Poles (13 200) the largest represented national groups. In addition, 52 000 foreigners work on the basis of a trade licence issued under the authority of the Ministry of Industry and Trade. There are about 10 000 Polish workers employed in big construction companies – part of a debt-repayment scheme. Americans and Germans are prevalent among highly qualified personnel in banks, insurance and teaching. In addition to this legal in-migration, the Czech Republic is increasingly perceived as a good entry point for individuals hoping to gain access to the European Union. In 1996, 23 705 persons over half of whom were from the former Yugoslavia were refused entry at the border.

35. Real-wage growth exceeded productivity growth by a wide margin throughout the period 1994-97, which would have led to an acceleration in inflation had this inflationary pressure not been offset by an equivalent deflationary pressure from import prices.

36. At least one survey indicates that only 0.1 per cent of workers receive the minimum wage.

37. For employees remunerated by monthly pay, the minimum wage is Kc 2 650 (originally Kc 2 000 and respectively Kc 2 200) a month. Where the wages of an employee do not reach the minimum level in a calendar month, the employer is required to make up for the difference.

38. Boeri and Edwards (1997), estimate the generosity of benefit systems in seven transition countries and for seven household groups. According to their calculation, the Czech system is the most or second most generous in six of the seven household cases.

39. In 1992, the MLS was equal to or greater than 50 per cent of the earnings of more than half of working households.

40. It is, of course, extremely hazardous to compare disability rates across countries with different health and demographic profiles. Nevertheless, the United States, Canada, Australia, Belgium, Greece, Ireland and New Zealand all have disability rates below 4 per cent as did Germany and the United Kingdom before recent increases (OECD 1997).

41. Based on the assumption that market rent is equal to 33 per cent of economic income.

42. Total inflow into active measures. At the end of 1996, there were a total 29 620 people enrolled in ALMP.

43. This situation, described in OECD (1998*b*), is little changed from that described in OECD (1995).

44. *Monthly Statistics of the Czech Republic,* June 1997, Table 35.

45. Despite having created twenty sheltered jobs, one local PES office was unable to fill them even though it had over 400 disabled workers on its register. For example, in Ceska Lipa 20 per cent of the 419 unemployed people are deemed to have limited working capacity. Incomes from social-assistance benefits and employers pensions are between Kc 8 000 and Kc 10 000 per month, about the average wage – which is sufficiently high to make unattractive most jobs for which they are qualified.

46. *Education at a Glance,* OECD (1998*a*).

47. Czech grade 4 students had the fourth highest ranking in the OECD, while at the Grade eight level rankings ranged from first to seventh; for more detail see OECD (1998*a*).

48. In 1995, only Greece, Ireland, Denmark and Korea showed a larger discrepancy in mathematics and only New Zealand, Korea and Denmark in science.

49. The Ministry of Labour and Social Affairs estimates the shortage to be about 300 000 flats.

50. The gap between market rents and maximum rents will close by 2004 (based on an assumption of 50 per cent annual rent increases in Prague, 25 per cent nationwide and the inflation which is expected to fall to 2 per cent by 2004.

51. Data derived from OECD (1997*b*) *Main Science and Technology indicators.*

Glossary

CMKOS	Czech and Moravian Chamber of Trade Unions
CMGDB	Czech-Moravian Guarantee and Development Bank
CNB	Czech National Bank
CNB-120	The Prague Stock Exchange index computed by the CNB on the basis of the 120 most traded shares
CSO	Czech Statistical Office
CSOB	Ceskoslovenska Obchodni Banka
IPB	Investicni a Postovni Banka
IPF	Investment Privatisation Fund
KoB	Konsolidacni Banka
NPF	National Property Fund
OTC	Over the counter market
PALMIF	Pro-active labour market intervention funds
PHARE	Poland/Hungary aid for restructuring the economy
PSE	Prague Stock Exchange
PX-50	The Prague Stock Exchange index computed by the PSE itself on the basis of the 50 most traded shares
RMS	RM-System
SCP	Stredisko Cennych Papiru (Securities Centre at the Ministry of Finance)
SEC	Securities and Exchange Commission
TOZ	Trvale se Obracejici Zasoby (permanent revolving inventory credits)

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Annex

Chronology of main economic events

1996

May

General elections. The former majority retains power although its seats are reduced to 100 of 200 in the Lower Chamber.

June

The Ministry for National Property Administration and Privatisation ceases its activities. The remaining privatisations are to be conducted by the Ministry of Finance.

November

Establishment of *Ceska financni*, owned by *Konsolidacni banka*, to cope with small banks' bad assets.

1997

February

The Czech National Bank (CNB) purchases *Ceska financni* from *Konsolidacni banka*.

April

On 16 April, the government introduces a package to respond to the growing imbalances in the economy. Introduction of the import deposit scheme.

May

On 27 May, after considerable market pressure, the CNB decides to abandon the previous exchange regime and let the currency float, within non-binding bands.

On 28 May, the government adopts the Stabilisation and Remedial Package to help restore internal and external balance and promote structural change.

July

On 1 July, the government announces increases in a number of regulated prices. The average increase are: 50 per cent for rents; 15 per cent for electricity and gas; 39 per cent for heating. Social contributions for low-income households are also introduced.

On 1 July, the minimum living standard is increased by 5 per cent.

On 23 July, the government approves, in principal, the sale of its remaining stake (34 per cent) in *Investicni a Postovni banka*.

At the end of the month, severe floods hit the northern and eastern regions of the country.

August

The government approves the ‘‘General concept’’ for the sale of its residual stakes in the other three big banks.

On 1 August, pensions are increased by, on average, 10.5 per cent.

On 21 August, the import-deposit scheme is abolished.

November

The government begins to prepare the privatisation of its residual stakes in the remaining three big banks, by opening a tender for strategic advisors.

The law establishing the Security and Exchange Commission is approved by the Lower House.

The amendment to the banking law establishing the introduction of ‘‘Chinese Walls’’ is approved by the Lower House.

The government approves a draft law for a change in the regulatory framework for investment funds.

At the end of the month, the government resigns.

December

The Senate sends back to the Lower House both the amendment to the banking law and the ‘‘SEC law’’.

1998

January

On 1 January the minimum wage is increased by 6 per cent (Kc 2 650 per month).

On 1 January excise taxes are increased (except tax on wine) and the VAT rate on electricity and gas is changed from 5 to 22 per cent.

On 1 January, the prices of household thermal energy are fully liberalised.

The revised ‘‘SEC Law’’ and the banking law amendment are approved by the Lower House.

The new government is sworn in.

March

The sale of the state’s residual stake in IPB is completed.

A number of regulated price increases are approved, including a 24 per cent increase in electricity prices and a 27 per cent increase in rents to come into effect in July. Prices charged for gas rise by 27 per cent for households and 10 per cent for other consumers.

April

The Security Exchange Commission begins operation.

Telecommunication prices are increased by 2 per cent.

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1993-96	1993	1994	1995	1996
A. Percentage change					
Private consumption[1]	5.5	2.9	5.3	6.9	7.0
Gross fixed capital formation[1]	9.3	–7.7	17.3	21.0	8.7
GDP[1]	3.0	–0.9	2.6	6.4	3.9
GDP price deflator	11.8	16.2	11.0	10.1	8.7
Industrial production[1]	3.1	–5.4	2.1	9.2	7.1
Total employment	0.2	–1.6	1.2	0.8	0.4
Compensation per employee (business sector)	17.4	16.6	18.4	17.7	17.0
Productivity per worker (CSO basis)	2.7	1.9	1.9	4.4	2.7
Unit labour costs	16.0	19.4	16.5	13.9	14.3
B. Percentage ratios					
Gross fixed capital formation as per cent of GDP	30.9	28.0	29.6	32.8	33.0
Stockbuilding as per cent of GDP	1.2	0.4	0.5	1.2	2.7
Foreign balance as per cent of GDP	–3.6	1.8	–2.1	–5.4	–10.0
Compensation of employees as per cent of GDP	48.1	46.1	48.1	48.5	49.9
Direct taxes on households as per cent of GDP	4.3	3.0	4.8	4.7	4.7
Household saving ratio as per cent of disposable income	12.4	11.7	10.5	14.0	12.7
Unemployment rate as per cent of labour force	3.8	3.6	4.0	3.7	3.9
C. Other indicator					
Current balance (million US dollars)	–1 498.0	455.8	–786.8	–1 369.1	–4 292.2

1. In constant 1994 prices.
Source: Czech Statistical Office and OECD.

Table B. **Supply and use of resources**

Billion koruny, constant 1994 prices

	1992	1993	1994	1995	1996	1997
Private consumption[1]	527.5	542.7	571.5	611.5	654.8	666.2
Public consumption	261.8	261.5	255.5	250.3	260.6	255.0
Gross fixed capital formation	313.8	289.7	339.9	411.2	446.8	425.1
Final domestic demand	1 103.1	1 093.9	1 166.9	1 273	1 362.2	1 346.3
Stockbuilding	–24.1	4.4	6.2	14.9	34.7	45.6
Total domestic demand	1 079.0	1 098.3	1 173.1	1 287.9	1 396.9	1 391.9
Exports of goods and services	564.4	606.9	608	705.6	743.9	819.9
Imports of goods and services	531.3	586.8	632.5	771.9	871.4	930.0
Foreign balance	33.1	20.1	–24.5	–66.3	–127.5	–110.1
Gross domestic product	1 112.1	1 118.4	1 148.6	1 221.6	1 269.4	1 281.8

1. Including non-profit institutions serving housholds.

Source: Czech Statistical Office and OECD.

Table C. **Labour market indicators**[1]

	1993	1994	1995	1996	1997
Main indicators, thousands					
Unemployment	204	201	189	199	242
Employment	4 988	5 050	5 081	4 918	4 889
Dependent	4 487	4 539	4 493	4 315	4 285
Self-employed	501	511	588	603	605
Labour force	5 192	5 250	5 270	5 117	5 131
Working age population (15-64 years)	6 891	6 957	7 028	7 067	7 089
Derived indicators, per cent					
Unemployment rate					
Total	3.9	3.8	3.6	3.9	4.7
Male	3.3	3.3	3.2	3.3	3.9
Female	4.7	4.4	4.1	4.6	5.8
Youth[2]	34.5	34.6	31.6	30.4	28.3
Participation rate					
Total	75.3	75.5	75.0	72.4	72.4
Male	80.7	80.9	80.6	80.5	80.4
Female	70.0	70.1	69.4	64.4	64.4
Employment population ratio	72.4	72.6	72.3	69.6	69.0
Sectoral civil employment, thousands					
Employment	4 848	4 885	5 012	4 918	4 889
Agriculture	333	340	314	308	285
Mining	111	101	92	89	89
Manufacturing	1 512	1 428	1 445	1 411	1 373
Electricity gas and water	88	90	91	100	92
Construction	453	444	450	467	480
Wholesale and retail trade	609	702	749	637	660
Hotels and restaurants	112	137	142	155	165
Transport and communications	385	353	355	388	382
Financial intermediation	65	76	85	95	97
Real estate	303	340	389	256	253
Public administration and defence	133	146	162	254	269
Education	324	321	322	311	307
Health and social work	263	258	262	274	272
Other community and personal services	159	147	154	172	165
Sectoral civil employment, annual change					
Employment	–1.6	0.8	2.6	–1.9	–0.6
Agriculture	–22.0	2.1	–7.8	–1.9	–7.5
Mining	–10.2	–9.4	–8.9	–2.8	0.0
Manufacturing	–4.4	–5.5	1.2	–2.4	–2.7
Electricity gas and water	–4.7	3.0	1.1	9.4	–8.0
Construction	11.0	–1.9	1.3	3.7	2.8
Wholesale and retail trade	11.9	15.3	6.7	–14.9	3.6
Hotels and restaurants	11.0	22.8	3.5	9.2	6.5
Transport and communications	5.2	–8.3	0.7	9.2	–1.5
Financial intermediation	26.9	17.8	11.5	12.0	2.1
Real estate	–10.5	12.2	14.2	–34.2	–1.2
Public administration and defence	7.5	10.2	10.5	57.1	5.9
Education	–0.7	–0.8	0.0	–3.3	–1.3
Health and social work	–1.9	–1.9	1.6	4.4	–0.7
Other community and personal services	–9.8	–7.6	5.2	11.5	–4.1
Memorandum items					
Incidence of long-term unemployment[3]	18.1	21.4	30.7	28.6	
Productivity index, 1993 = 100	100.0	101.4	110.5	114.3	

1. Labour force survey definitions.
2. Individuals 15-24 years old.
3. Unemployed for 12 or more months, as a per cent of total unemployment.

Source: Czech Statistical Office and OECD.

Table D. **Costs and prices**

Annual percentage changes

	1993	1994	1995	1996	1997
Rates of pay					
Compensation per employee (business sector)	16.6	18.4	17.7	17.0	12.2
Average monthly earnings (manufacturing)	25.4	16.2	18.2	17.9	12.7
Productivity per employee (business sector)	0.7	1.4	5.9	3.8	1.8
Unit labour cost					
Nominal	19.4	16.5	13.9	14.3	10.2
Real[1]	3.2	5.5	3.8	4.9	3.6
Prices					
GDP deflator	16.2	11.0	10.1	9.4	6.6
Private consumption deflator	21.5	10.7	9.1	8.0	7.9
Consumer price index	20.8	10.0	9.1	8.8	8.5
Consumer price index, food			11.9	7.7	4.7
Producer price index (industrial goods)	9.2	5.2	7.6	4.8	4.9

1. Deflated by the GDP deflator.

Source: Czech Statistical Office and OECD.

Table E. **Monetary indicators**

	1993	1994	1995	1996	1997
Monetary aggregates					
(annual percentage change)					
M1	16.3	15.2	14.3	4.9	–6.4
M2	19.8	19.9	19.8	9.2	10.1
Velocity of circulation					
M1		3.1	3.2	3.3	3.6
M2		1.5	1.5	1.5	1.4
Interest rates					
Official discount rate	8.0	8.5	9.5	10.5	13.0
3-month PRIBOR	13.1	9.1	10.9	12.0	15.9

Source: Czech Statistical Office and OECD.

Table F. **Balance of payments**

US$ billion

	1993	1994	1995	1996	1997
Current account	456	–787	–1 369	–4 292	–3 156
Exports of goods	14 229	15 929	21 463	21 691	22 530
Imports of goods	14 754	17 310	25 140	27 568	27 120
Trade balance	–525	–1 381	–3 678	–5 877	–4 590
Non-factor serrvices, credits	4 723	5 157	6 718	8 179	7 149
Non-factor services, debits	3 712	4 668	4 876	6 256	5 417
Balance of non-factor services	1 011	488	1 842	1 923	1 732
Factor income, credits	547	789	1 195	1 170	1 519
Factor income, debits	665	809	1 300	1 893	2 169
Balance of factor income	–118	–20	–106	–723	–650
Transfers, net	88	126	572	385	352
Capital account	–555	0	7	1	10
Financial account	3 025	3 371	8 226	4 297	1 082
Direct investment, net	563	749	2 526	1 388	1 275
Portfolio investment, net	1 600	855	1 362	726	1 086
Other investment, net	861	1 768	4 338	2 183	–1 279
Errors and omissions	104	–213	595	–833	297
Reserves	–3 029	–2 372	–7 458	828	1 768

Source: Czech National Bank.

Table G. **General government revenue and expenditure**

Billion koruny

	1993	1994	1995	1996
Current receipts	452.4	505.4	566.1	635.6
Direct taxes	100.6	118.3	129.8	146.1
Indirect taxes	160.4	165.5	186.6	210.1
Social security contributions	148.5	173.2	198.4	228.1
Other current recepits	43.0	48.4	51.3	51.3
Current disbursements	379.6	435.3	498.5	552.7
Government consumption	126.9	130.4	143.9	154.7
Property income paid	17.7	15.4	17.7	18.7
Social security benefits	170.2	206.4	238.4	272.0
Subsidies	64.8	83.1	98.5	107.3
Other current transfers paid	17.7	15.4	17.7	18.7
Saving	72.8	70.1	67.7	82.9
Net lending	–0.1	–8.6	–29.3	–18.8
Net lending as per cent of GDP	0.0	–0.8	–2.2	–1.2

Source: Czech Statistical Office and OECD.

Table H. **Financial markets**

	1993	1994	1995	1996	1997
Sector size					
Sectoral employment/total employment	1.3	1.6	1.7	1.9	2.2
Financial assets/GDP[1] (per cent)	126.6	131.1	138.3	131.8	141.4
Stock exchange capitalisation/GDP[2] (per cent)			71.4	53.2	
Structure of financial flows					
Credits to non-financial sector[3] (per cent of total banking assets)					
Short term	91.8	21.1	18.7	19.3	20.6
Long term	31.2	30.7	25.9	25.3	16.9
Internationalisation of markets					
Credits granted by foreign banks/total credits (per cent)	3.6	4.8	4.4		
Forex credits/total credits (per cent)	4.0	5.6	11.2	13.5	
Prague Stock Exchange Index[4]					
PX-50		550	450	530	495
CNB-120[5]	1 000	753	684	758	695

1. Ratio of total banking assets to GDP.
2. Stocks only.
3. Credits in koruny only.
4. End of period data.
5. December 1993 = 1 000; rebased in March 1995, when March 1995 was set equal to 1 000.

Source: Czech Statistical Office and OECD.

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

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